ASEAN FX Outlook: The Less Favored EM

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Humanising Financial Services

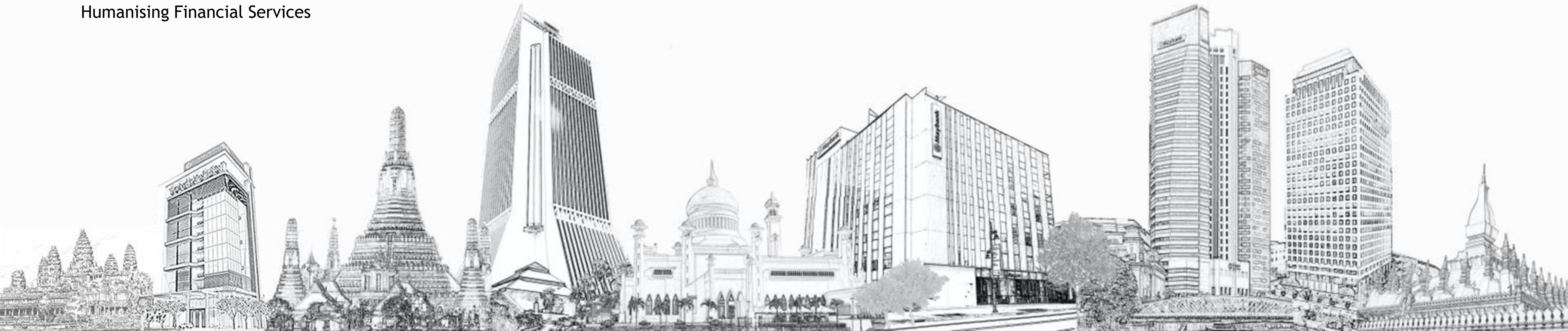
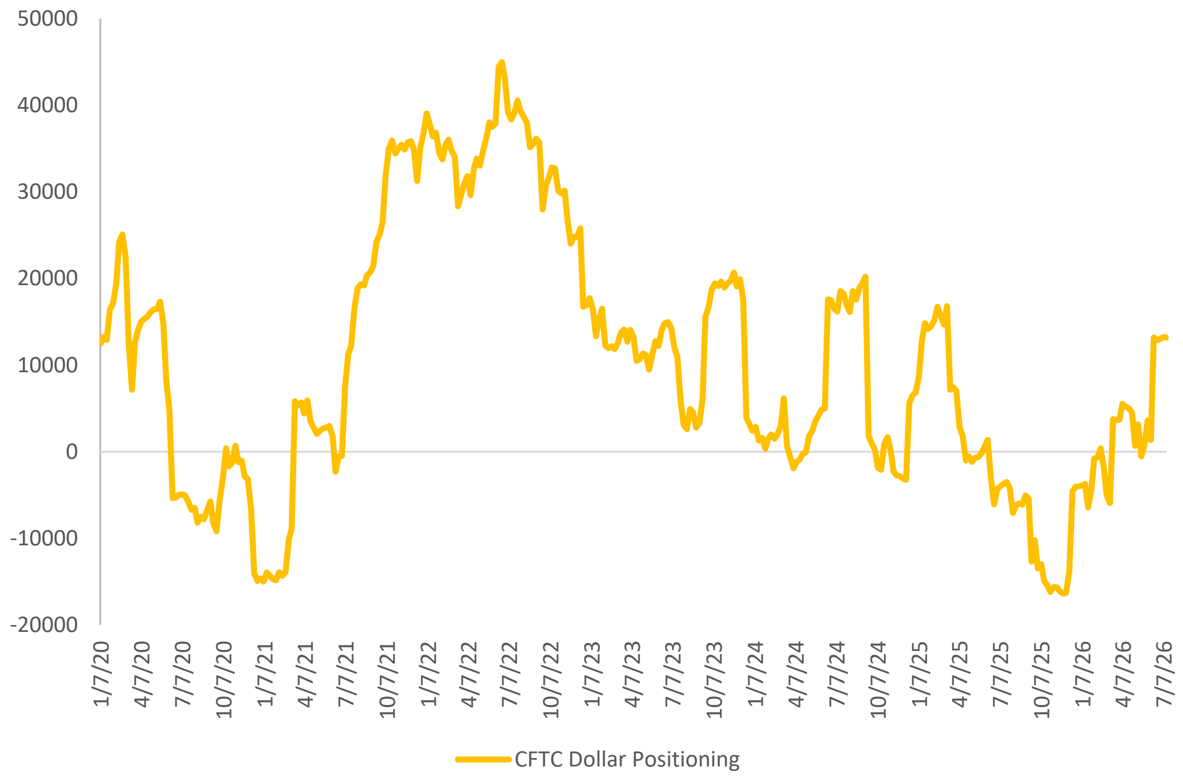


Table of Contents

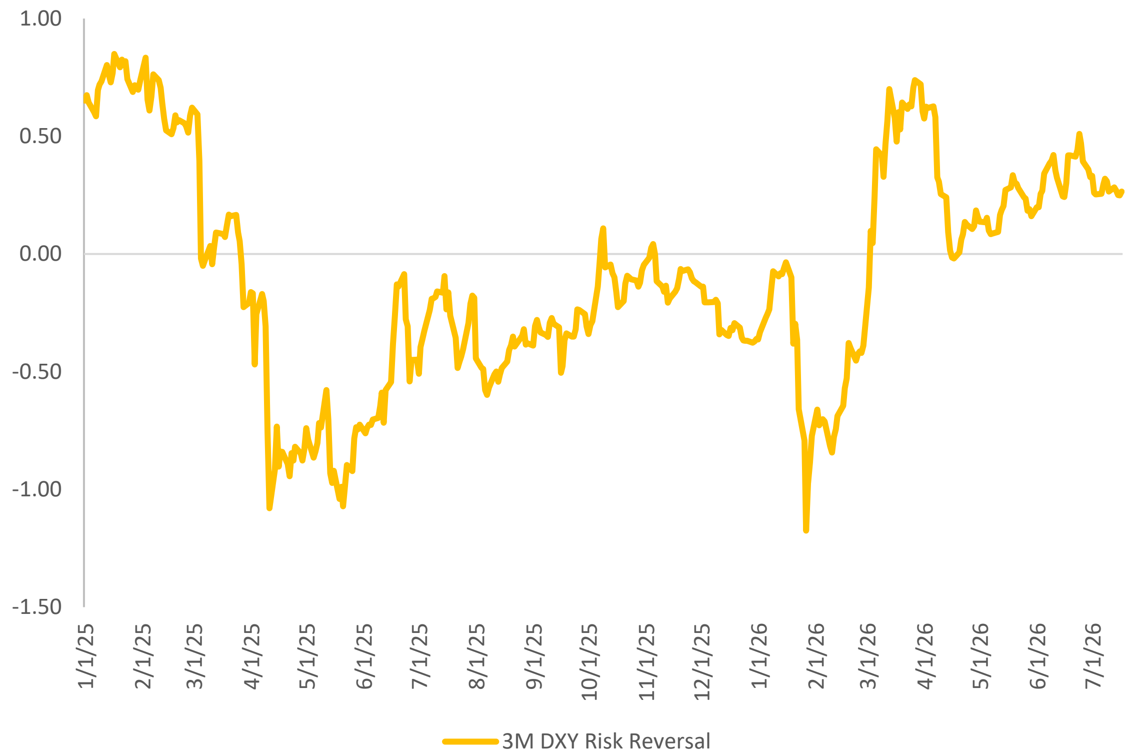
Markets Have Moved to a Stronger Dollar Positioning Story

Long Dollar Positioning Highest Since Before Liberation Day



Source: Bloomberg, Maybank FX Research & Strategy

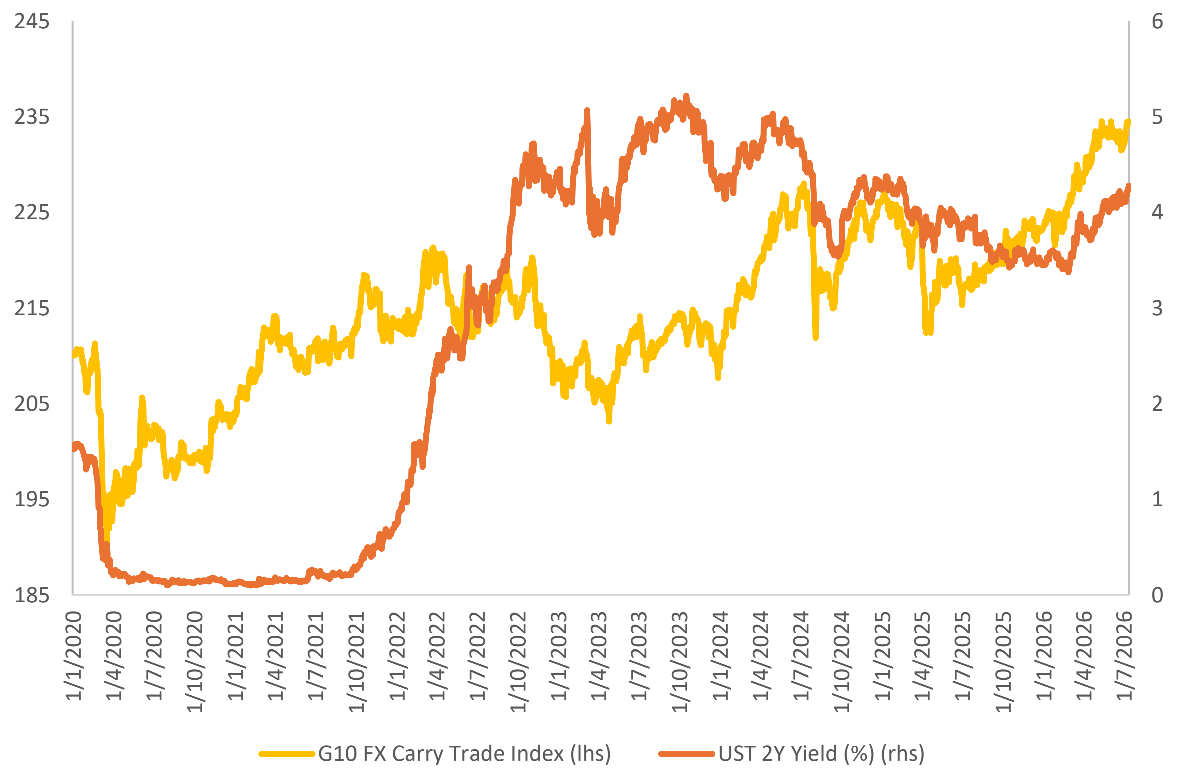
Markets Remain Hedged Towards Dollar Strength



Source: Bloomberg, Maybank FX Research & Strategy

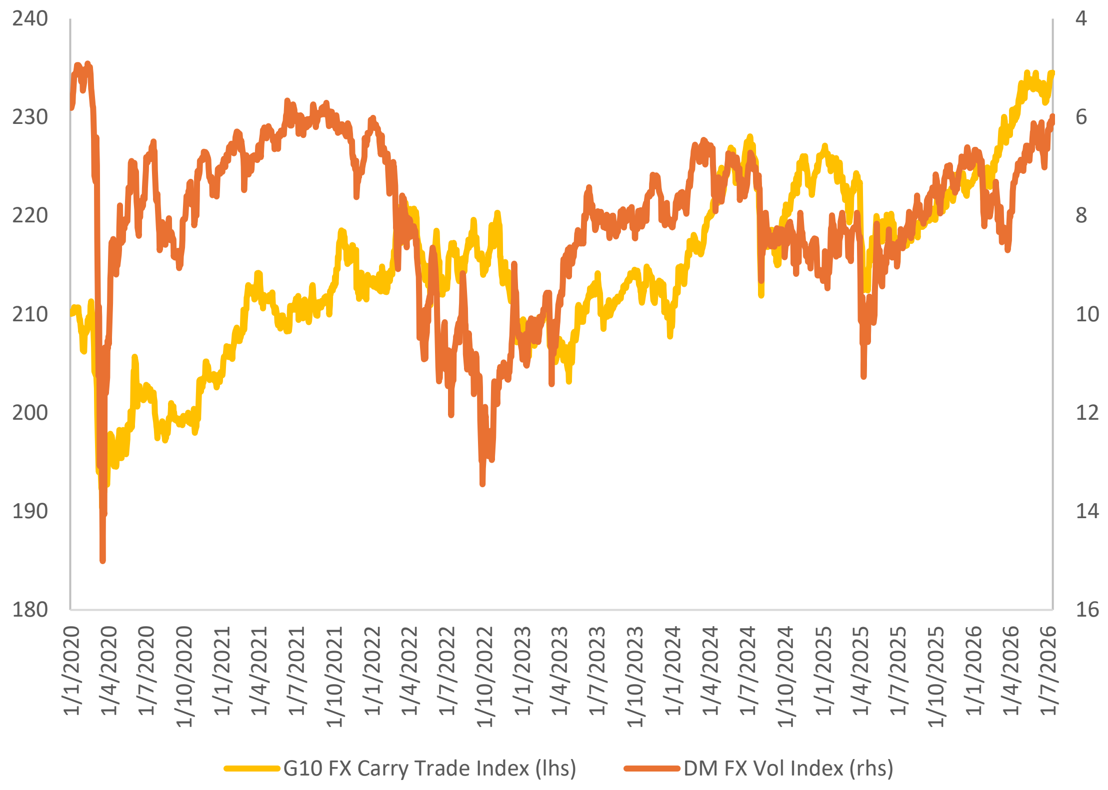
Carry Game Favors the USD and the G10 Space

Short End Rates Rise Guiding for Better G10 Carry Returns



Source: Bloomberg, Maybank FX Research & Strategy

Falling Volatility Backs the Carry Trade

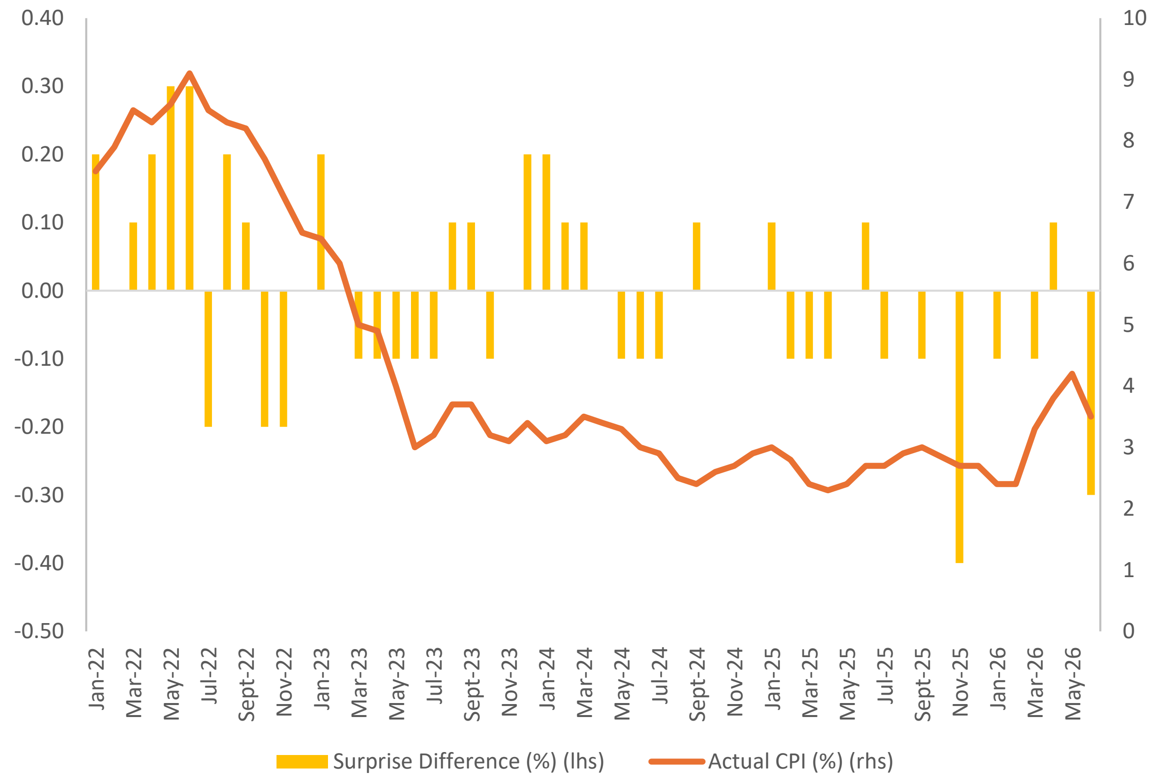


Source: Bloomberg, Maybank FX Research & Strategy

Restricted

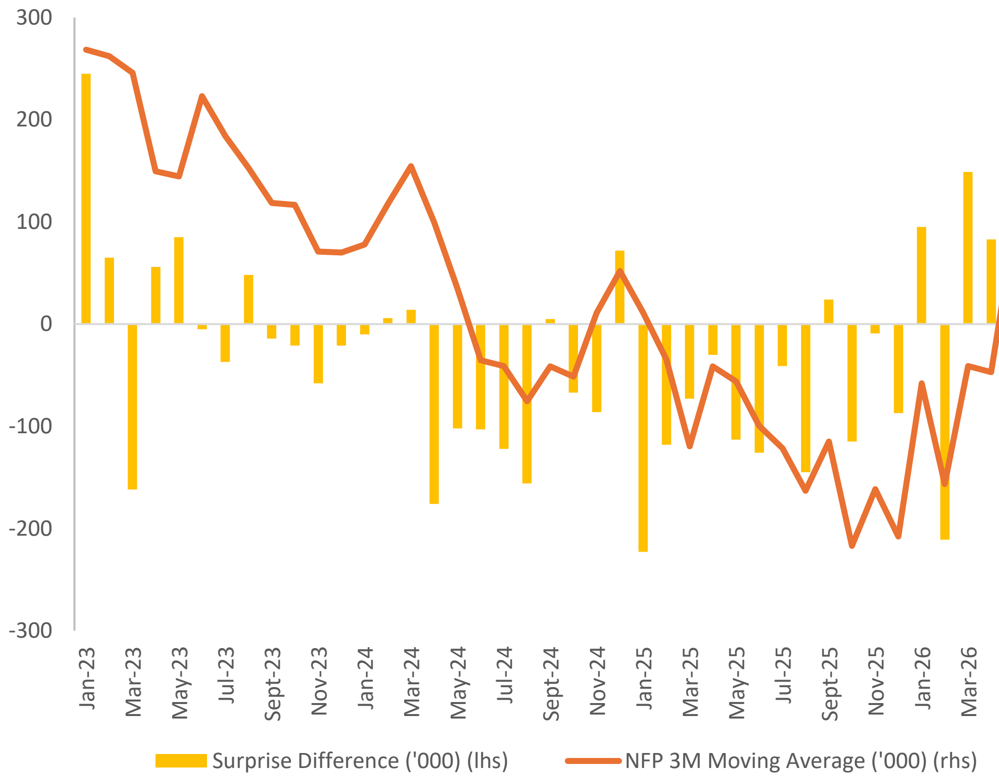
Volatile US Economic Data But Nonetheless Robust

There Can be Big Inflation Surprises But Number is still Strong



Source: Bloomberg, Maybank FX Research & Strategy

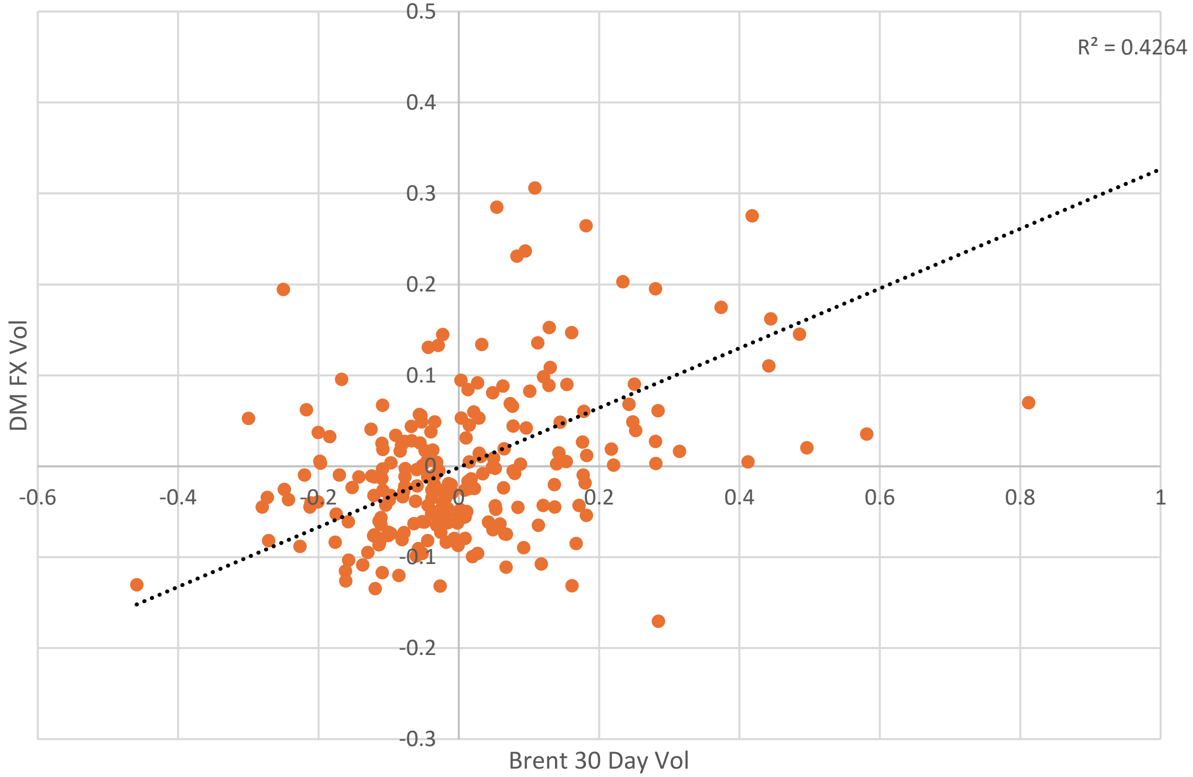
Similarly the Same with the Job Markets Data



Source: Bloomberg, Maybank FX Research & Strategy

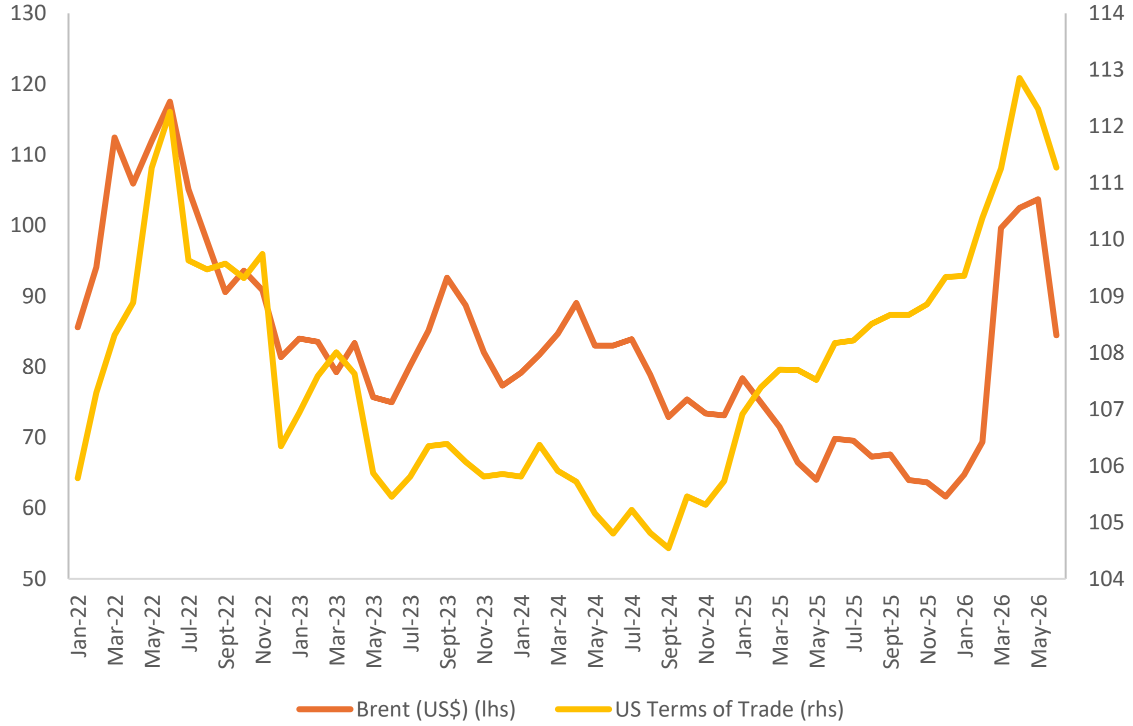
Oil Prices Can Dent Carry Story But it Does Not Break the Dollar Strength

DM FX Volatility Can Rise in Line with the Oil Prices



Source: Bloomberg, Maybank FX Research & Strategy
Note: Numbers represent monthly change

But Oil Prices Favor USD Terms of Trade



Source: Bloomberg, Maybank FX Research & Strategy

Expect Firm Dollar But Recognize Significant Two-Sided Risks

- Trajectory, wise, we expect the broad dollar to remain firm into 3Q 2026 as market bias and developments still lean to the dollar carry or dollar strength story although we expect it to ease off albeit remain strong towards the end of the year as US economic data shows more softening

- However, we recognize significant two-way risks for the dollar

  - US data is volatile with immense uncertainty on the scale and pace of inflation easing and jobs market cool off

  - Mid – East situation remains extremely uncertain

  - Warsh is not providing forward guidance whilst his comments have only either been stating facts or upholding Fed credibility (emphasizing the importance of bringing down inflation)

  - The committees themselves lean more towards Warsh's stance (alternative data, balance sheet reduction, etc) but we stay wary of the extent of conflict they could end up having with the FOMC

  - Externally, there is also immense lack of clarity on conditions related to other currencies such as the JPY and GBP

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ASEAN's Carry Lags Other Peers Whilst Fundamentals Less in Favor

ASEAN Real Rates Mostly Do Not Stand at the Higher End

Source: Bloomberg, Maybank FX Research & Strategy

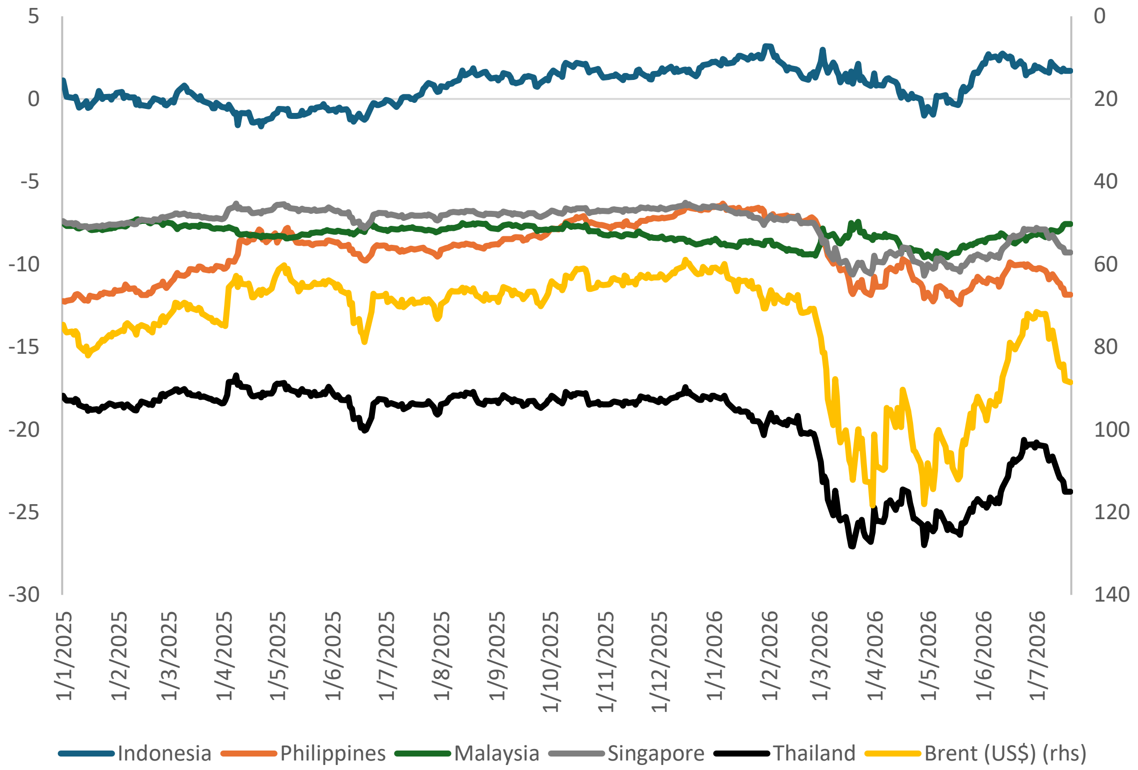
Fundamentals Meanwhile Less in Favor

Country	Real Rates (%)	Change in Fiscal Balance (% of GDP)	Change in CA (% of GDP)
Brazil	9.30	-0.34	0.4
Colombia	4.68	-1.15	-0.1
Turkey	3.51	-0.7	-1.1
Mexico	3.28	0	-0.1
Indonesia	3.11	-0.31	-0.9
South Africa	3.08	-0.07	0
Hungary	2.23	-1.5	-1.3
Czech Republic	1.94	-0.5	-0.4
Peru	1.82	0.11	-0.6
Malaysia	1.51	0.22	0.3
South Korea	1.46	1.29	6.7
India	1.23	0.09	-0.4
Poland	0.95	0.4	-0.5
Chile	0.65	0.6	0.6
Taiwan	0.25	-0.13	1.6
Philippines	0.22	-0.1	-0.7
Singapore	-0.4	0.15	-0.3
Thailand	-1.04	-0.23	-2.3
Argentina	-10.64	-0.56	0.1

Source: Bloomberg, Maybank FX Research & Strategy

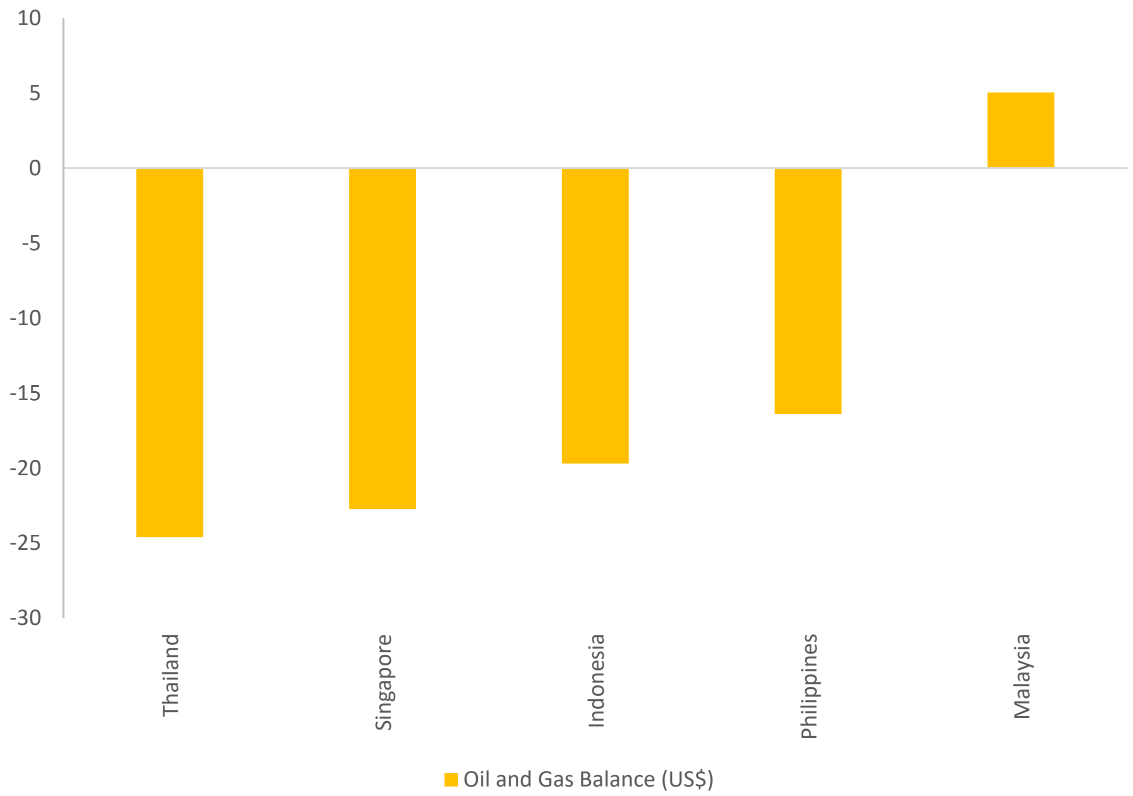
Oil Pressure Weighs on ASEAN FX

Oil Weighs on Terms of Trade for Most ASEAN FX



Source: Bloomberg, Maybank FX Research & Strategy

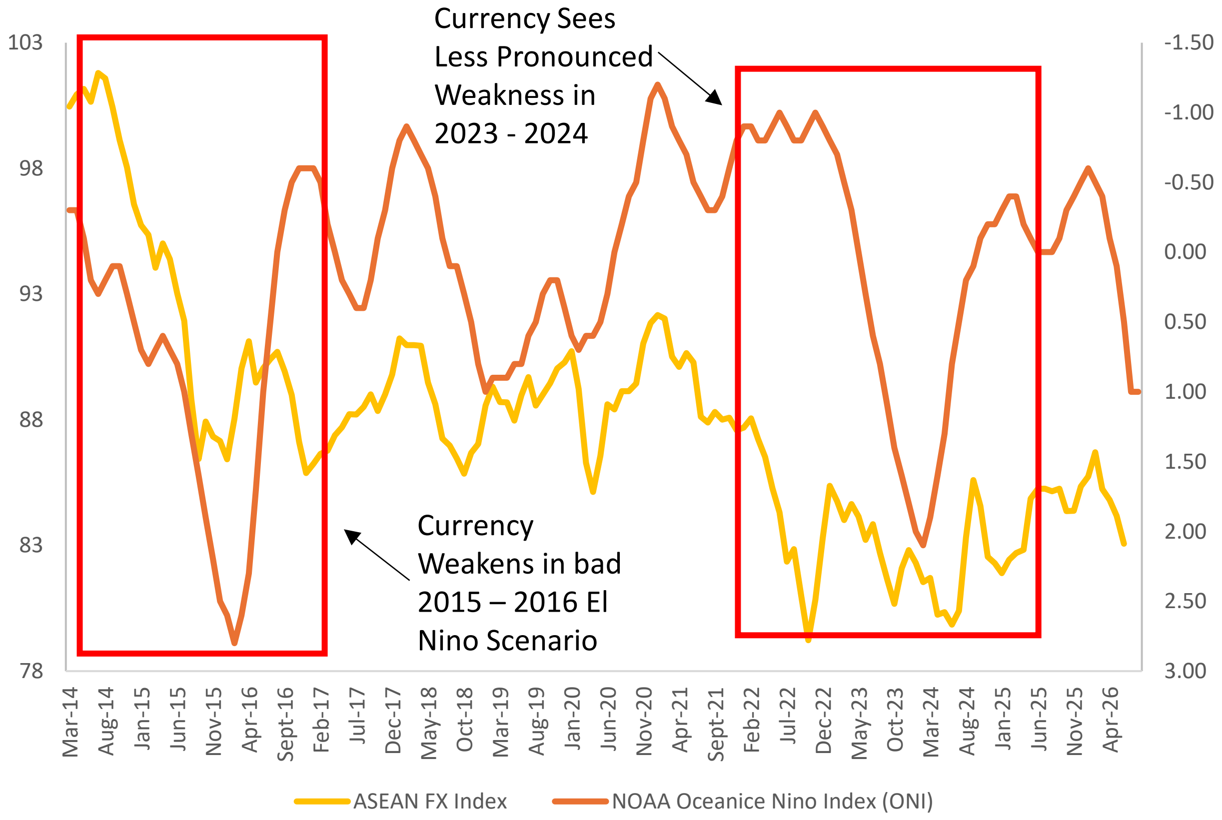
ASEAN has Mostly Negative Oil & Gas Balance



Source: Bloomberg, Maybank FX Research & Strategy

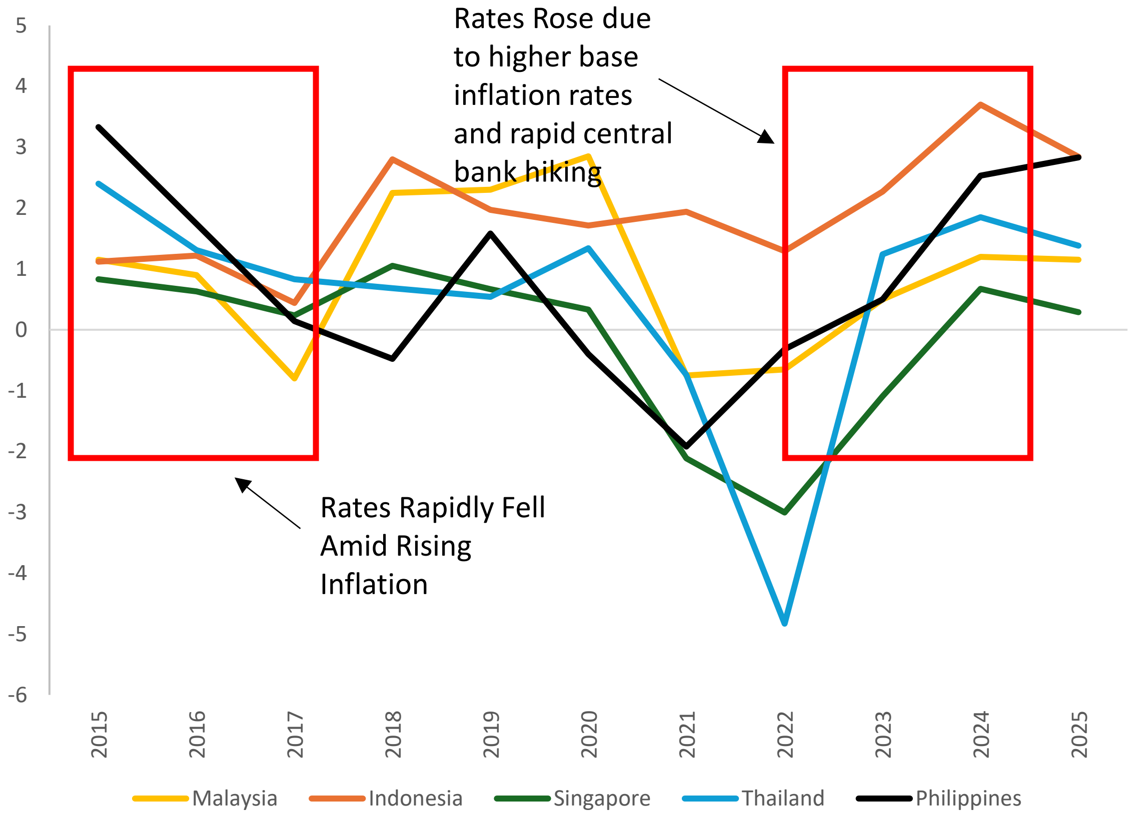
El Nino Poses Risk But Differing Background Lead to Varied Outcomes

Differing Performance in Both Bad El Nino Scenarios



Source: Bloomberg, Maybank FX Research & Strategy
Note: 1) A more positive number on the ONI index indicates a worse El - Nino, 2) ONI index lags ASEAN FX index by two months

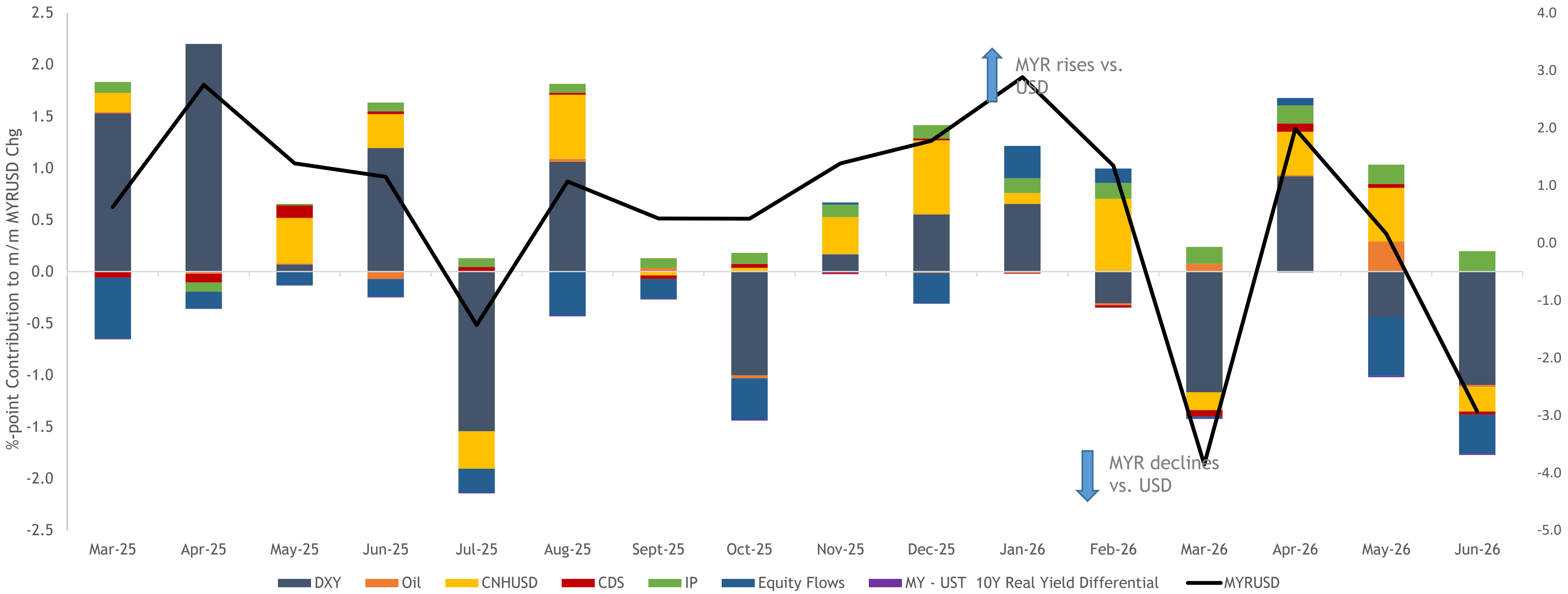
Real Rates Performed Differently in Both El Nino Outcomes



Source: Bloomberg, Maybank FX Research & Strategy
Note: Numbers are real policy rates in %

Restricted

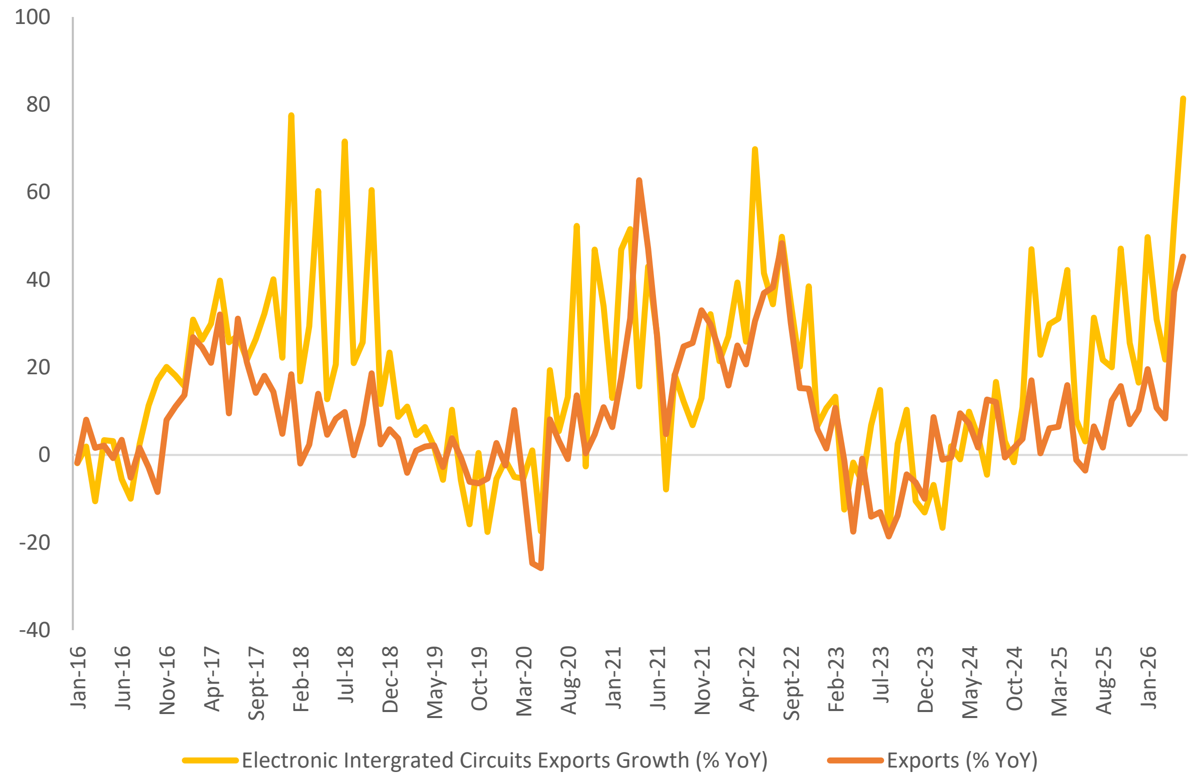
MYR: USD Strength has Been the Main Factor Weighing on the Currency



Source: Bloomberg, Macrobond, Maybank FX Research & Strategy

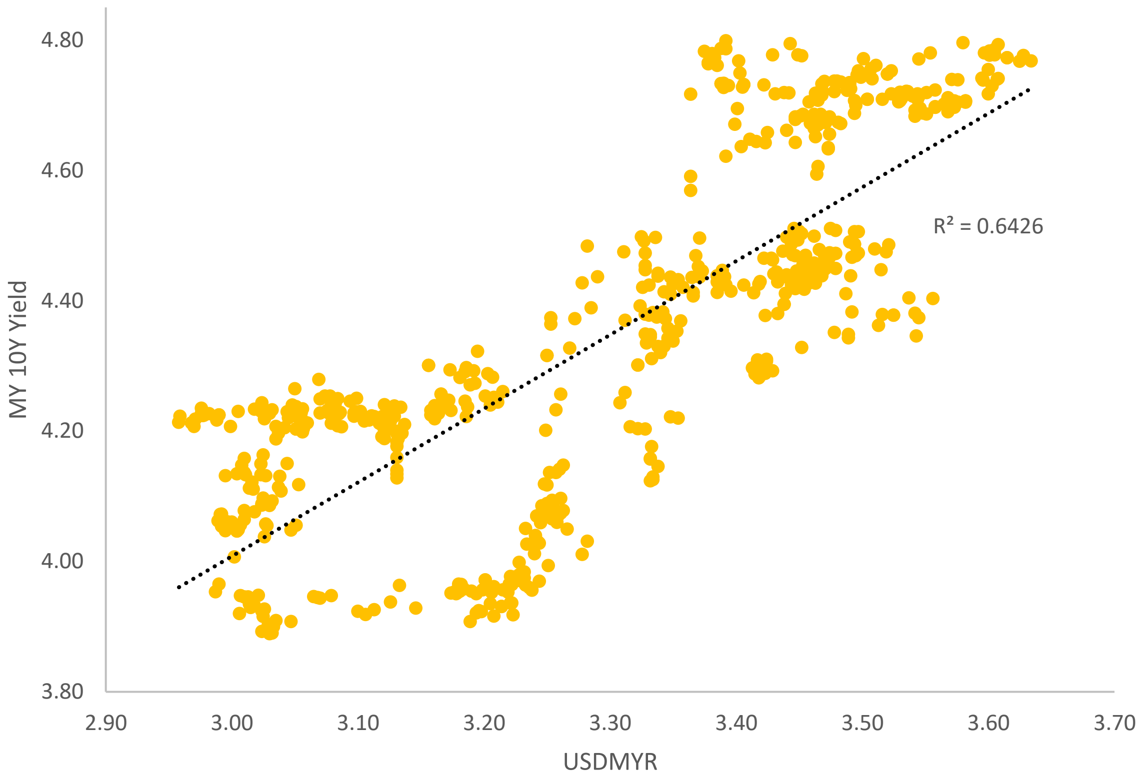
MYR: AI Boom Supports Whilst Fiscal Keeps Confidence in Bonds and FX

Electronics Exports Continue to Keep Strong into 2026



Source: Bloomberg, Maybank FX Research & Strategy

Self Fulfilling Cyle Between MYR and Bond Performance



Source: Bloomberg, Maybank FX Research & Strategy

MYR: Strong Fundamental Backing

- MYR stands out as our favored EM, which we believe would resiliently hold out even amid a strong USD
- Fundamentally, the country's strong balance of payments, fiscal discipline and robust growth rates (FDI flows) gives strong backing to the currency
- Global trends also favor MYR given the ongoing AI boom that lifts its electronics exports whilst a decline in energy prices reduces fiscal risk
- However, given our expectation BNM hike in 2027, we are cognizant carry is unfavorable to the MYR but real rates still stand better than other regional EMs
- Risks to our view: Downside 1) More aggressive pace of Fed hiking vs our expectations of a hold in 2026, 2) AI demand slowing on concerns about excess capacity or monetization potential, Upside 1) US exceptionalism waning quickly

Forecast	3Q 2026	4Q 2026	1Q 2027	2Q 2027
USD/MYR	4.05	4.02	4.00	4.00

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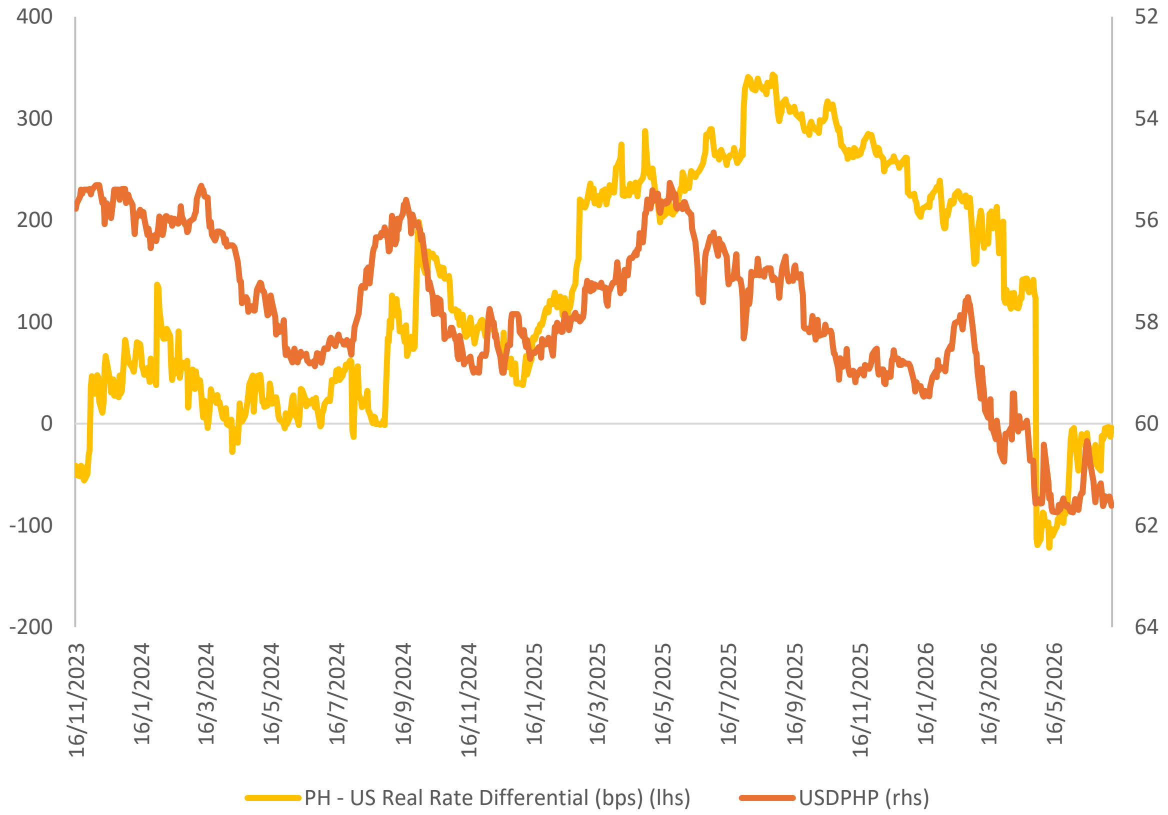
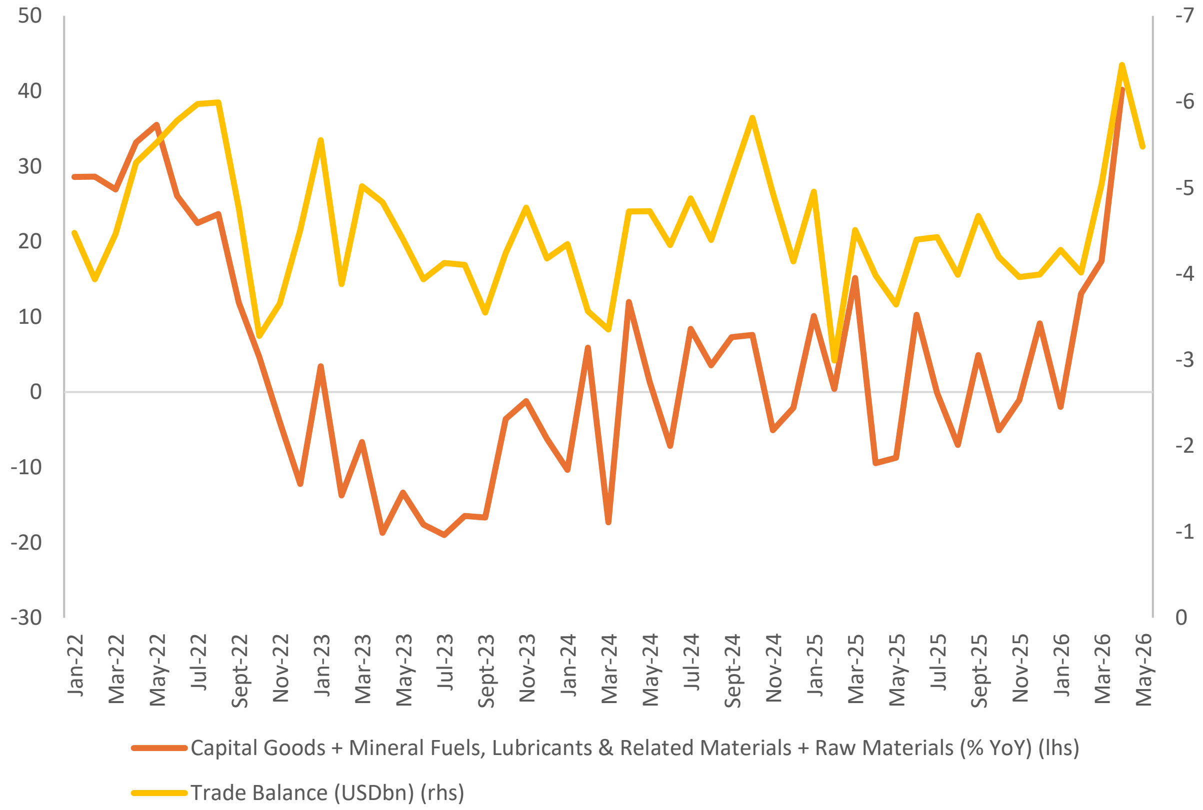
PHP: Oil Prices Coming Off and Reducing Inflation are Key

USDPHP Movements Traces Real Rates



Source: Bloomberg, Maybank FX Research & Strategy

Capital Goods and Oil Imports Hurt External Position



Source: Macrobond, Bloomberg, Maybank FX Research & Strategy

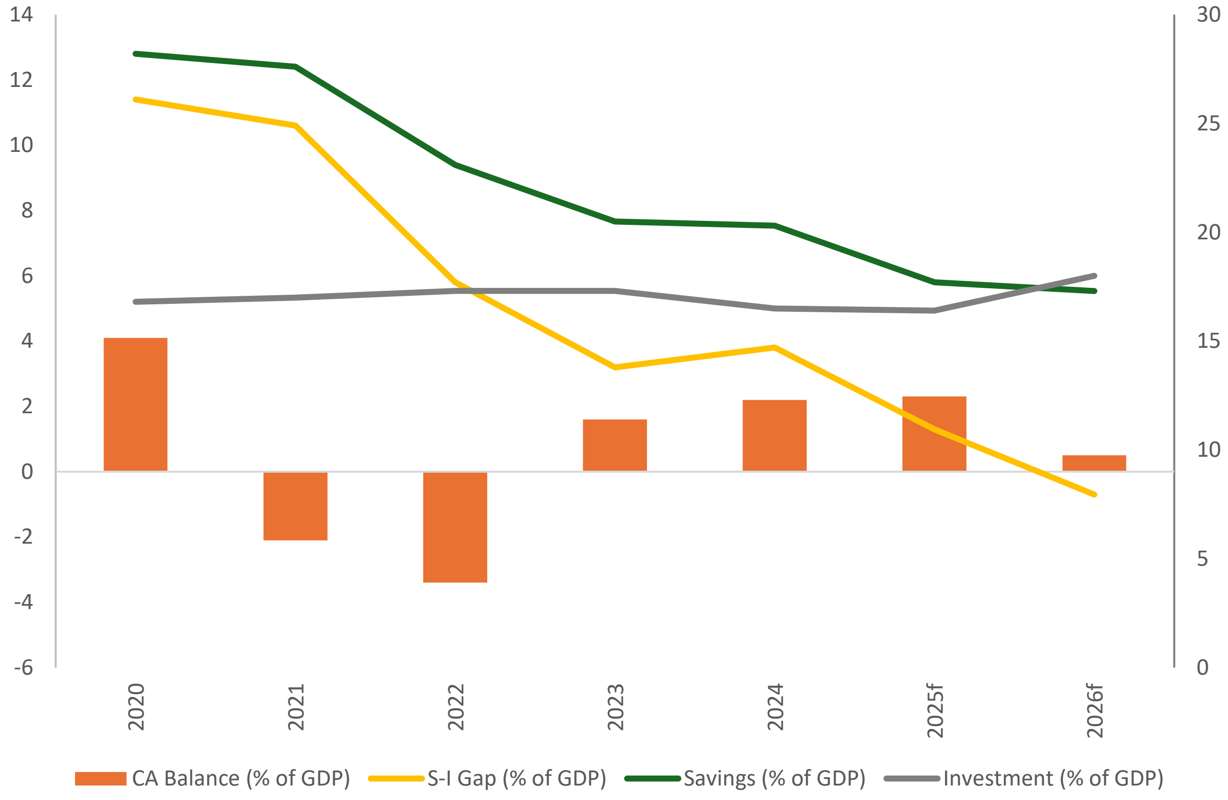
PHP: Inflation and External Pressure

- PHP is likely to be soft but it would not to be the biggest underperformer given stabilizing offsetting factors
- Expect softness in the PHP given 1) strong USD, 2) weaker fundamentals and 3) unfavorable real rates
- Underlyingly, easing oil prices should provide relieve although other less favorable factors limits gains
- The decline in oil prices should help lower the country’s import bills and help raise real rates
- However, the government push for infrastructure spending would raise capital imports whilst real rate differentials should only gradually widen as inflation could still be sticky (even as BSP keeps hiking rates)
- Stabilizing factors though include 1) repatriation flows picking up on ME situation improving and 2) central bank sufficient reserves
- Risks to our view: Downside: Oil prices surging up, Upside: Faster fall in inflation

Forecast	3Q 2026	4Q 2026	1Q 2027	2Q 2027
USD/PHP	62.00	61.00	61.50	61.50

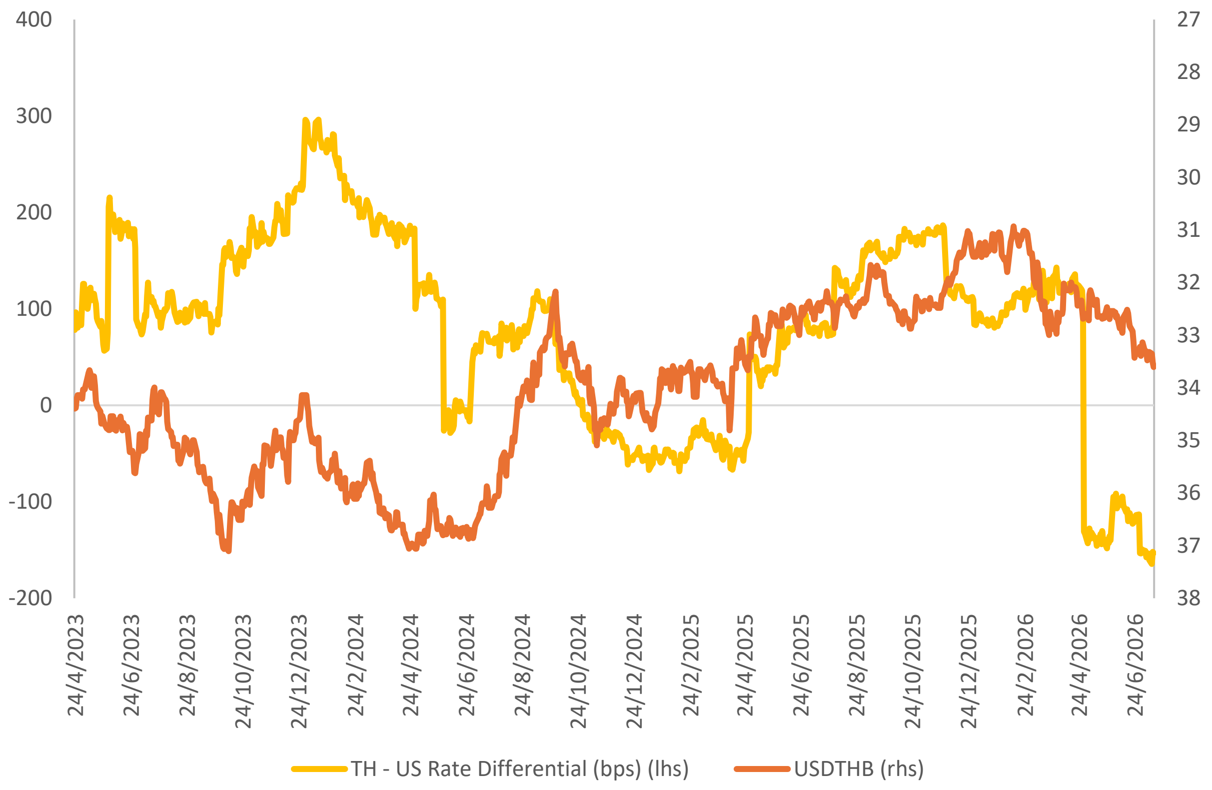
THB: Rising Investments and Real Rates Weigh In

S-I Gap and CA Surplus Narrows as Investment Picks Up



Source: IMF, Macrobond, Maybank FX Research & Strategy

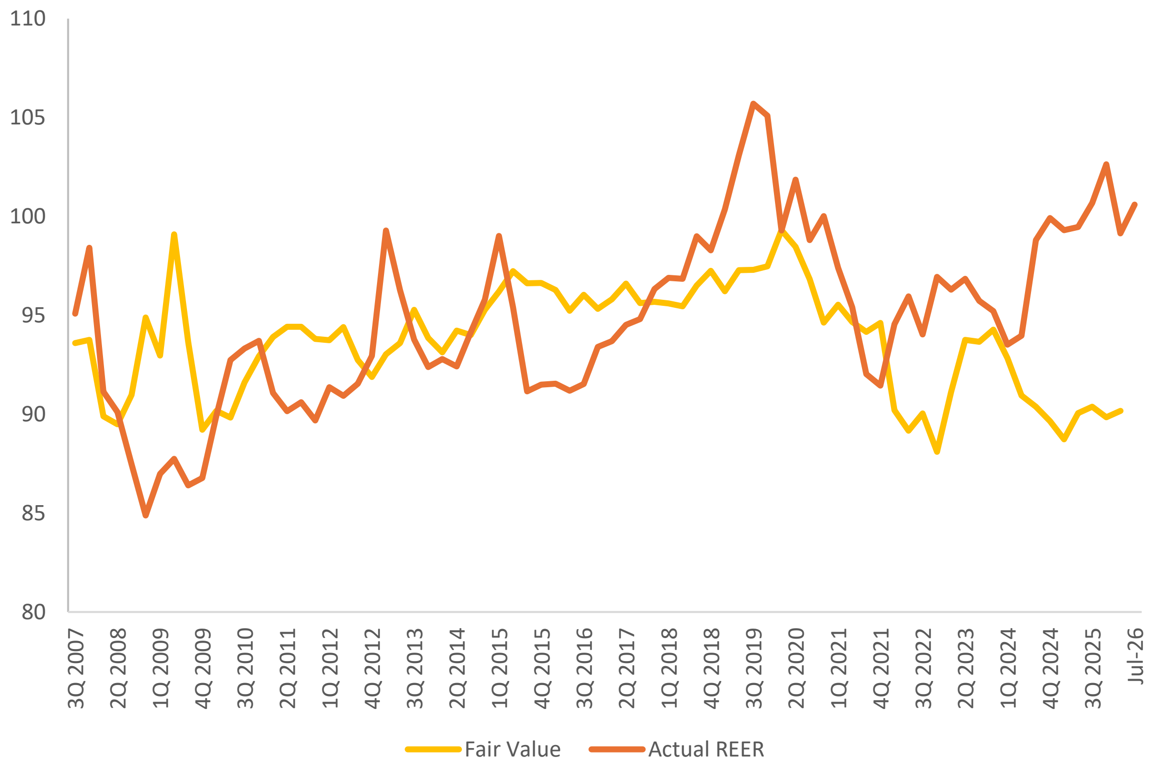
Thai Real Rates Remain Extremely Unfavorable



Source: Bloomberg, Maybank FX Research & Strategy

THB: Currency is Actually Still Significantly Overvalued

Currency Remains Significantly Overvalued



Source: Bloomberg, Macrobond, Maybank FX Research & Strategy

- Our estimates are actually still showing that the THB remains quite overvalued on a REER basis
- Fundamentals wise, low rates and the potential for softer external position implies for a fair value that stands lower than where the currency trades at
- Central bank has shown any particular discomfort with the currency weakness
- Governor Vitai Ratanakorn has noted that the THB weakness is not a concern (as it lifts exports) and that US scrutiny constrains intervention
- Given overvalued nature of the THB, in some sense, the central bank’s stance towards the currency should be of little surprise

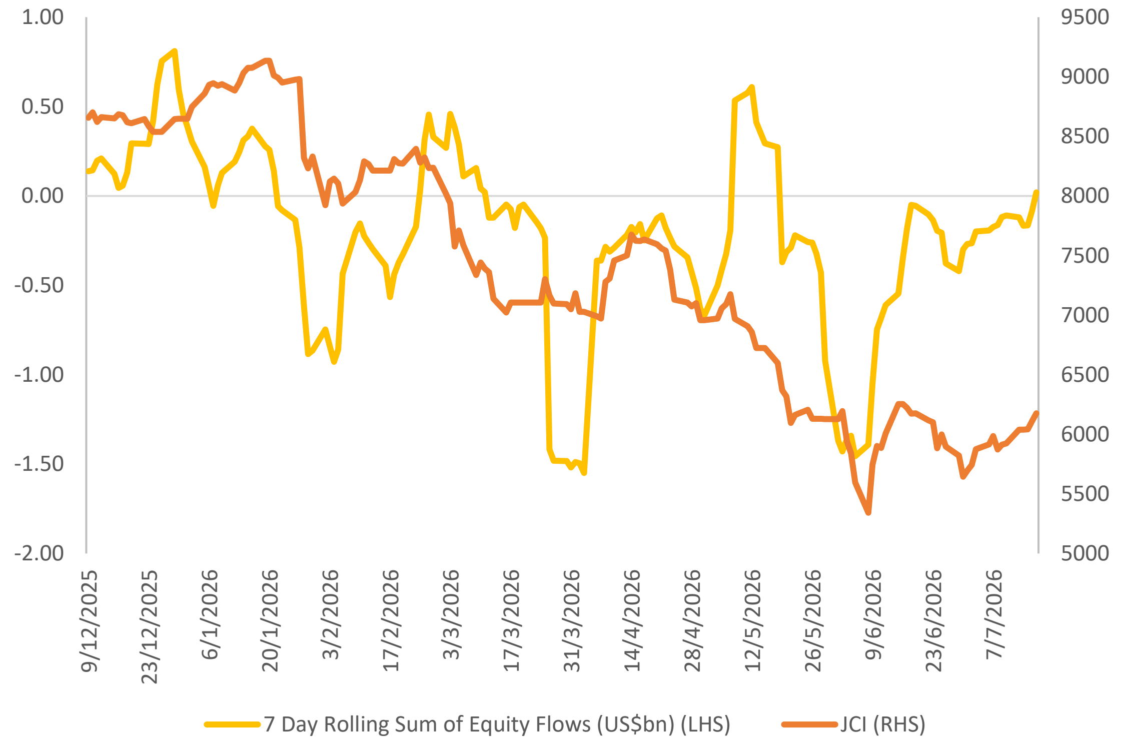
THB: Structural Shifts Weigh In

- We expect the THB being a regional underperformer given 1) highly unfavorable carry and 2) narrowing CA surplus
- Rising private investments (as a key growth engine under the new administration) is looking to guide a narrowing in the S-I gap which in turn would narrow the CA surplus (amid increasing capital imports)
- Thai rates are likely to stay low with the BOT unlikely to hike rates given 1) the need to support the economy amid soft domestic consumption and 2) limited signs of strong inflation pass-through
- Additionally, the central bank has shown no discomfort about the ongoing currency weakness although we do take note that our estimates actually show the currency is overvalued
- However, robust tourism numbers and AI boom lifting the electronics sector should on its part still limit the extent of weakness (though not sufficiently providing a lift)
- Risks to our view include: Downside: 1) Oil price surging back up on conflict escalation and 2) global recession Upside: 1) US exceptionalism fading quickly

Forecast	3Q 2026	4Q 2026	1Q 2027	2Q 2027
USD/THB	34.00	33.00	33.50	33.50

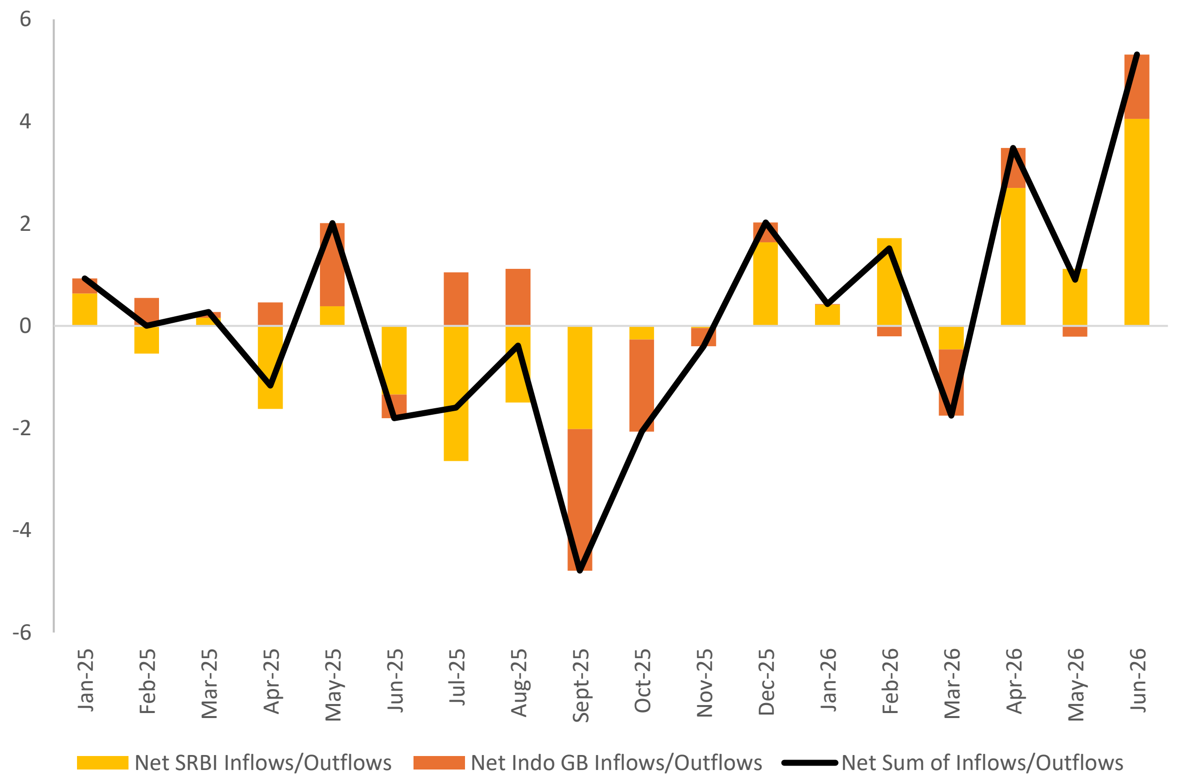
IDR: Equity Outflows Slow Whilst Bond Inflows Improve

Net Equity Outflows Slowed as Valuations Hit Low Levels



Source: Bloomberg, Maybank FX Research & Strategy

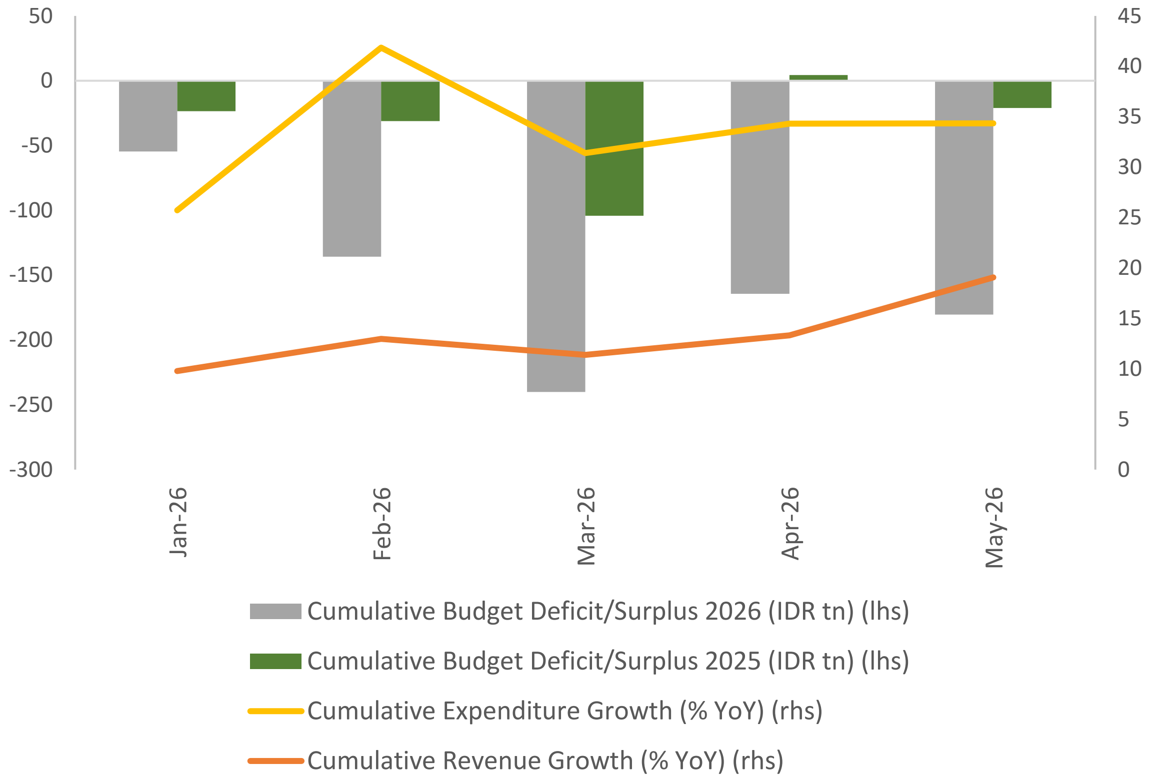
Inflows into Bonds Have Improved this Year



Source: Bloomberg, Maybank FX Research & Strategy

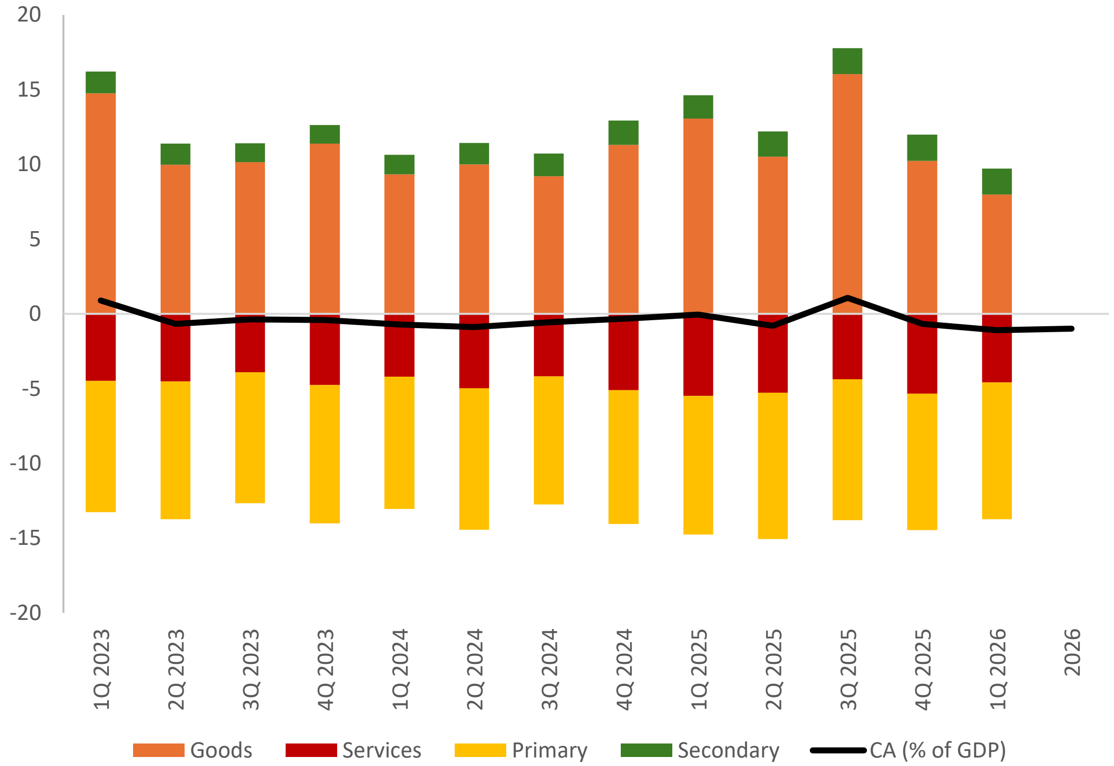
IDR: Fiscal and CA Conditions are Closely Watched

Deficit is Standing Wider Compared to Last Year



Source: Macrobond, Maybank FX Research & Strategy

CA Deficit to Widen to -1.0% from -0.1% in 2025



Source: Macrobond, Maybank FX Research & Strategy

IDR: Stabilization?

- IDR has come under pressure in 2026 due to the following factors:

  - Policy clarity matters as the government unveils new measures
  - Fiscal conditions with the government pushing for stronger growth
  - Equity outflows amid MSCI's assessment of stock free-float levels
  - CA Deficit widening due to the global conditions

- However, we take note of the potential of stabilization due to:

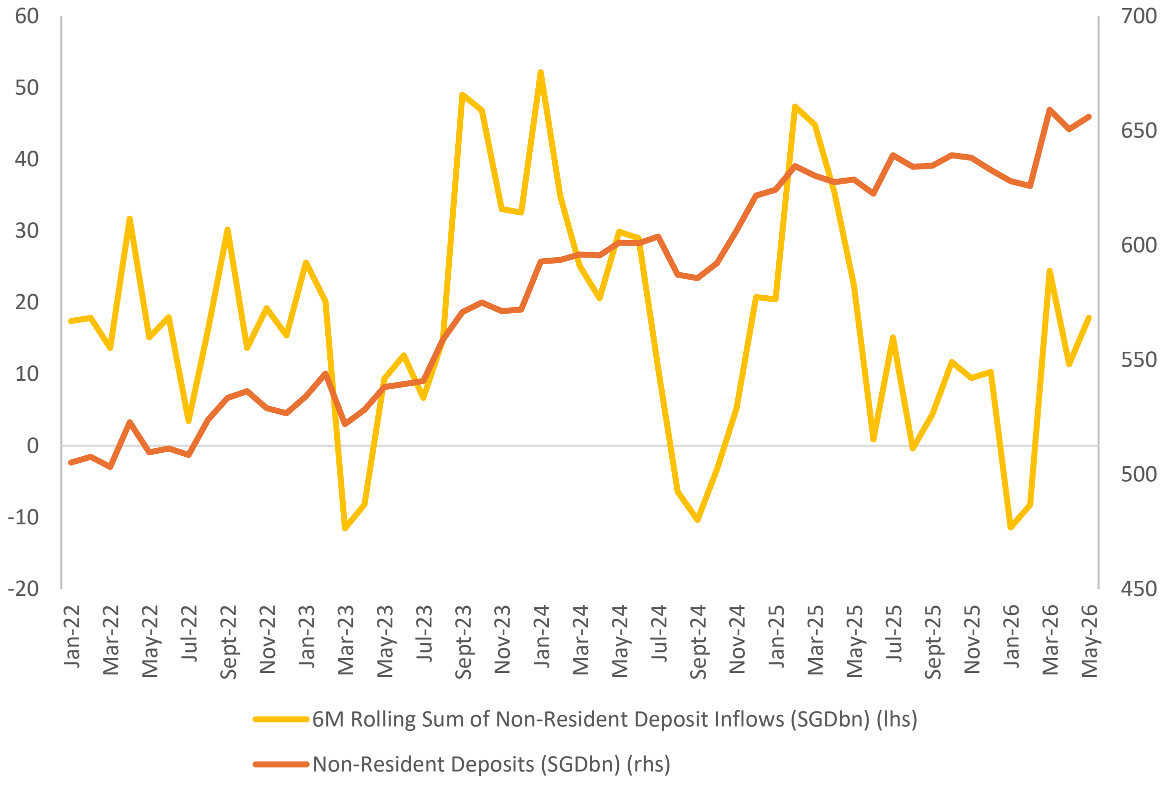
  - **Greater clarity on policies** particularly in relation to the role of DSI as an agent and data platform
  - **BI's resolve to stabilize currency** via hiking rates (100bps to date whilst another 25bps still could happen) and unveiling of multiple FX supporting measures
  - **Government fiscal commitment to keep deficit below 3.0%** as they cut the school meals program funding even as energy subsidies have risen whilst funding is sourced from "below the line"

- Crucially, the currency remains heavily undervalued with the potential for heavy reversal once the situation shifts

Forecast	3Q 2026	4Q 2026	1Q 2027	2Q 2027
USD/IDR	17950	17800	17800	17800

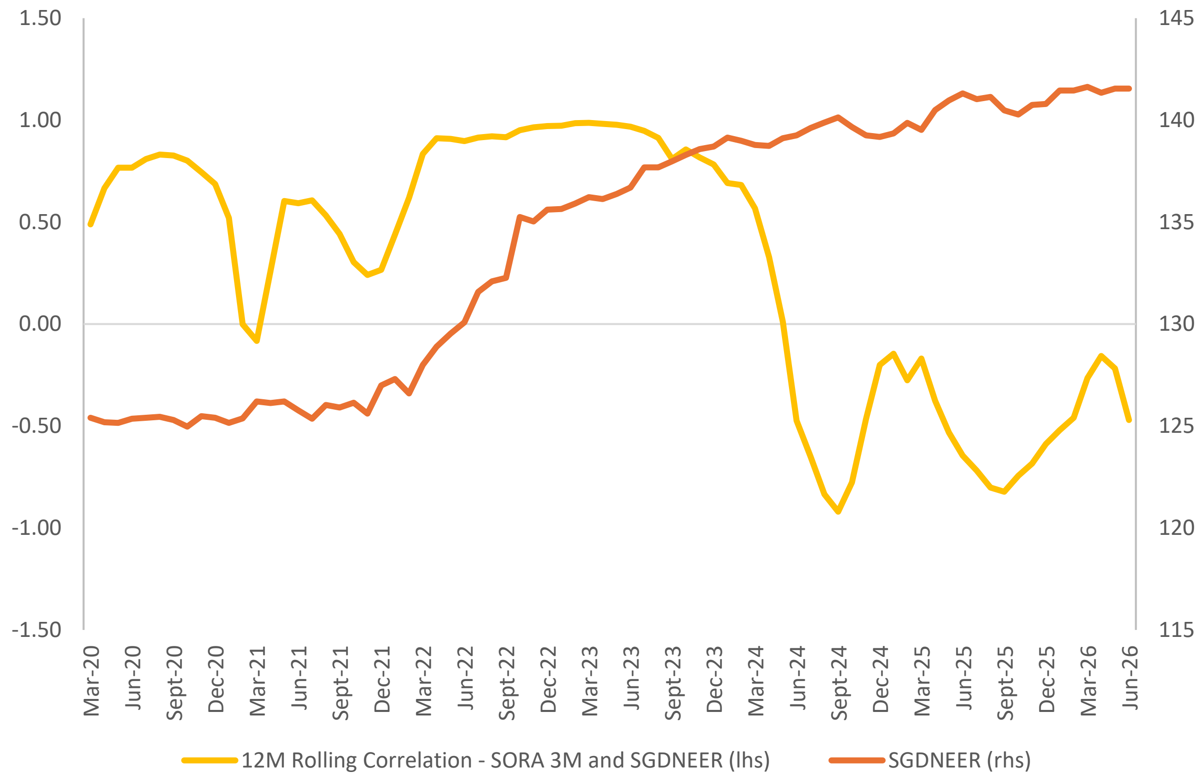
SGD: Haven Flows Continue to Back FX Performance

Haven Flows Recently Show Strength



Source: Bloomberg, Maybank FX Research & Strategy

NEER and Rates Correlation Stays Negative



Source: Bloomberg, Maybank FX Research & Strategy

SGD: The Safe Haven

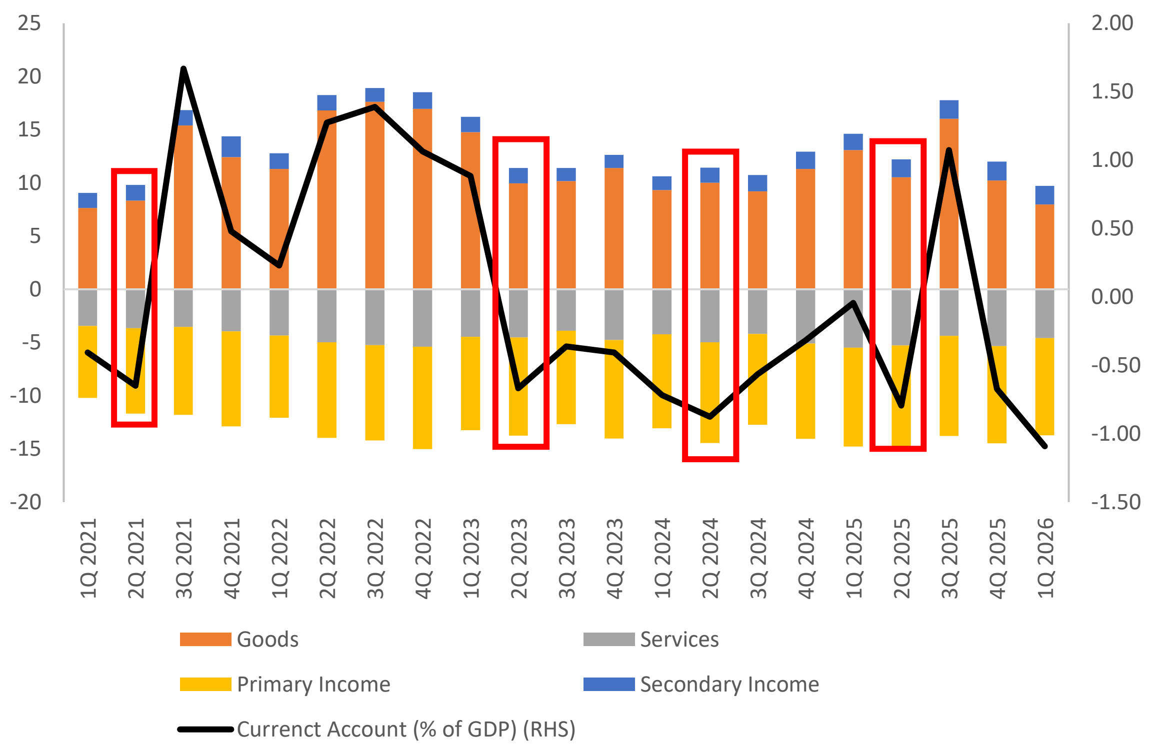
- SGD NEER Strength Expected to Hold for the Rest of 2026:
  - Strong haven flows amid ongoing global geopolitical and policy uncertainty globally
  - Strong fundamentals position SGD favorably
  - Equity markets remain strongly in favor
- However, we take note that the SGDNEER has Come Off Highs:
  - Ongoing dollar strength amid favored greenback carry trade
  - Near term catalyst remains uncertain with the MAS meeting being a close call – house is calling for a hold
  - CNH appreciation expected to continue amid strong external position and authorities' lack of discomfort

Forecast	3Q 2026	4Q 2026	1Q 2027	2Q 2027
USD/SGD	1.3000	1.2850	1.2750	1.2700

Back Up Slides

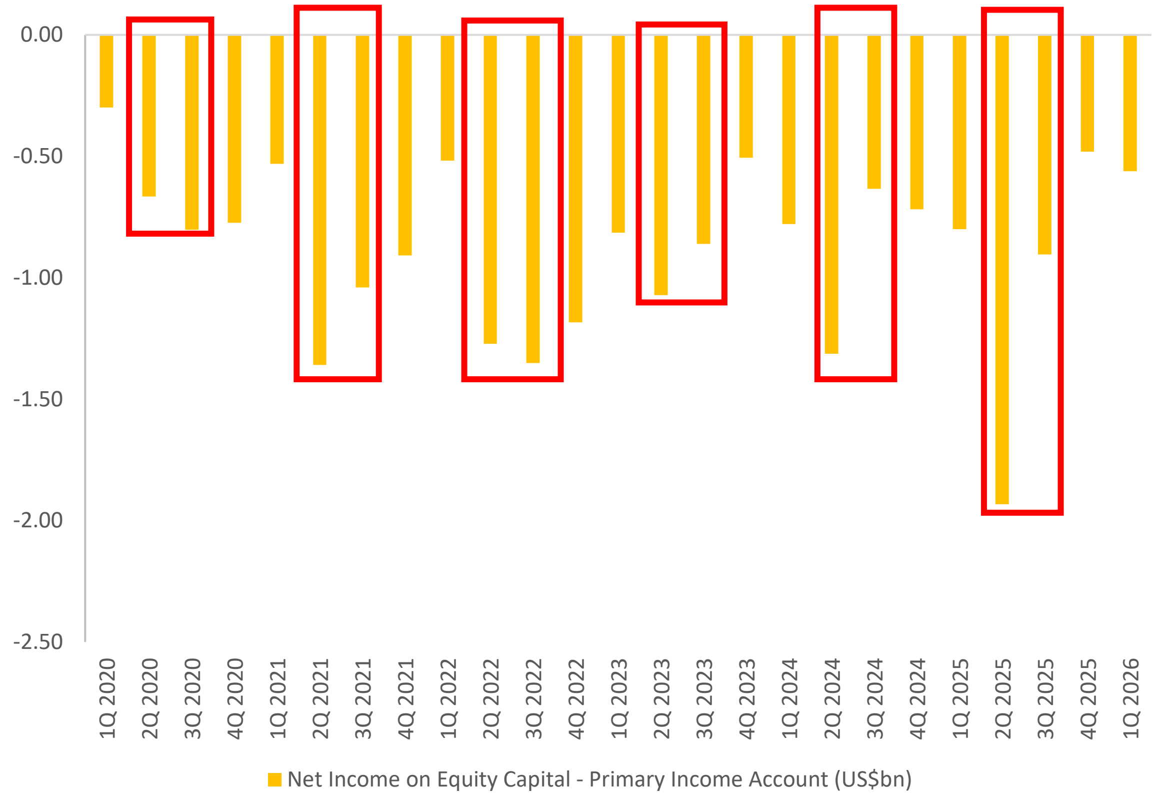
IDR: We have Past the Seasonal 2Q Negative Factors Although it Lingers Somewhat in 3Q

2Q Marks a Period of Weaker CA Mainly Due to Dividend Repatriation and Hajj Expenses



Source: Macrobond, Maybank FX Research & Strategy
Note: Numbers are in US$bn and refer to LHS except for current account

Dividend Payments Tend to be Higher During 2Q and 3Q



Source: Bloomberg, Maybank FX Research & Strategy

Fiscal Policy – 3% Cap Limits Spending Space

Govt Revised 2026 Budget Deficit to 2.85% of GDP, Close to Maybank's Forecast

Guiding for Non-Tax Revenues +26% Above Target, While Tax Revenues Fall -3% Short of Initial Target

	2025	2026					
		Realization (June 2026)			Budget		
IDR tn	Unaudited	Value	% of Budget	Growth(%)	Original Budget	Revised Budget	Revised Growth(% vs. actual 2025)
State Revenue	**2,756**	**1,459.4**	**45.5**	**21.4**	**3,153.6**	**3,208.1**	**16.4**
Tax Revenue	2,218	1,187.7	45.1	21.4	2,693.7	2,631.4	18.6
Non-Tax Revenue	534	271.0	47.0	21.6	459.2	576.6	8.0
State Expenditure	**3,451**	**1,656.0**	**42.0**	**17.8**	**3,842.7**	**3,942.4**	**14.2**
Central Government Expenditure	2,602	1,298.6	40.0	29.4	3,149.7	3,245.5	24.7
Regional Transfer & Village Funds	849	357.4		-11.2	693		
Primary Balance	**-180.7**						
Overall Balance	**-695**	**-196.5**			**-689.1**	**-734.4**	
% of GDP	**-2.9**	-0.76			**-2.68**	**-2.85**	
Financing	744	452			689.1	734.3	

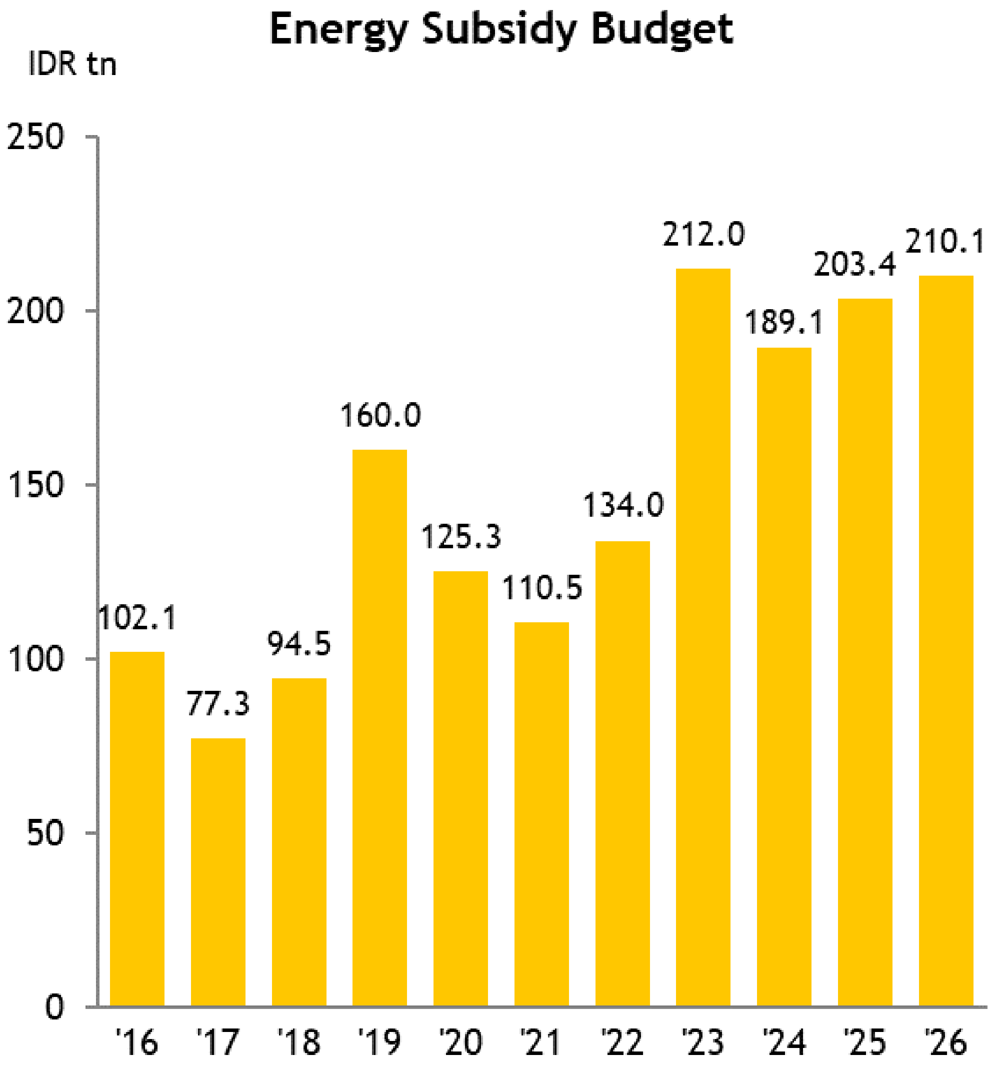
	2024	2025		2026
	Realization	Target	Outlook	Target
Real GDP (%)	5.03	5.2	4.7 - 5.0	5.4
Inflation Rate (%)	1.57	2.5	2.2 - 2.6	2.5
Exchange rate (Rupiah/USD)	15,847	16,000	16,300 – 16,800	16,500
10-year Gov't Bond Rate	6.8	7	6.8 - 7.3	6.9
Global Oil Price	78	82	68 - 82	70
Oil lifting, tbopd	579.7	605	593 - 597	610
Gas lifting, tboepd	1017	1005	976 - 980	984

Source: Ministry of Finance, CEIC

Selective Budget Cuts Necessary in Second Half

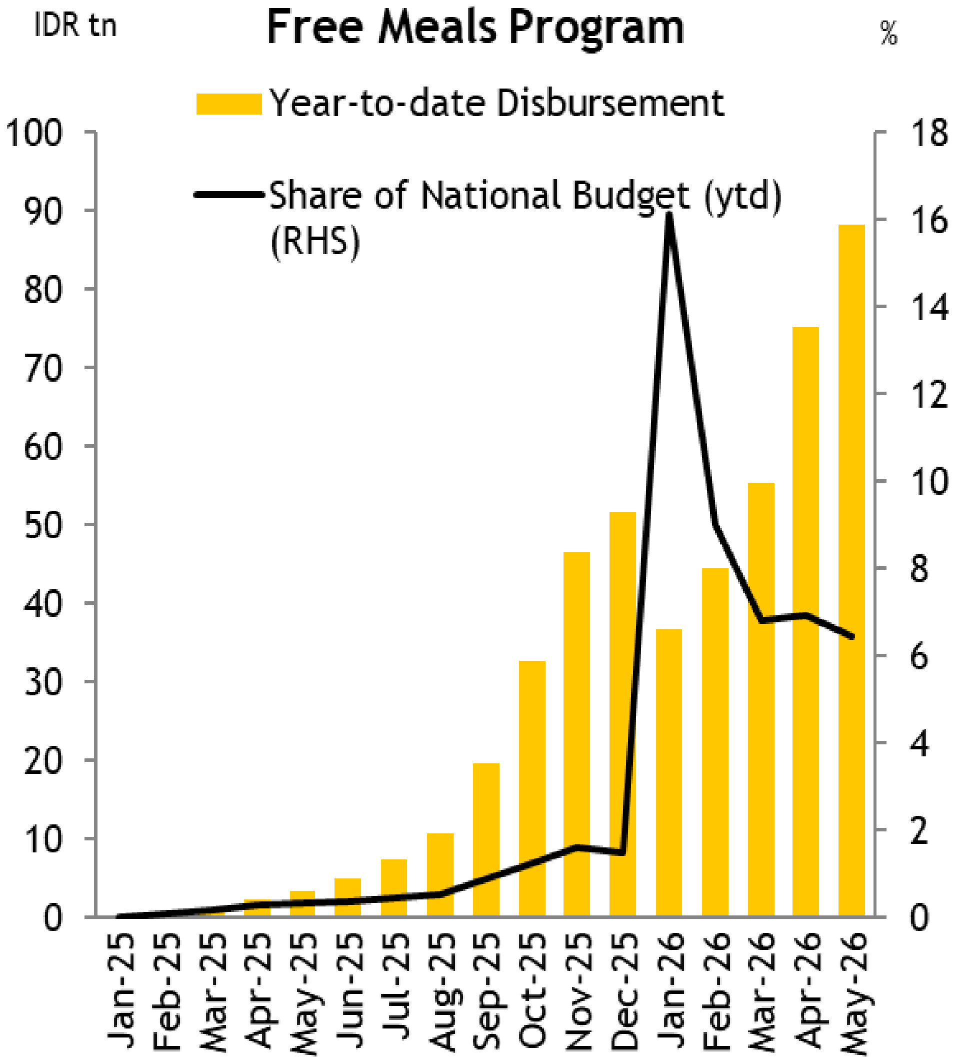
Government Allocated Additional Rp132tn for Energy Subsidies Due to Gulf War

Original Energy Subsidy Budget Was 210.1tn in 2026, Additional Allocation of Rp132tn Post Gulf War



Source: MoF, CEIC

Free Meals Program Disbursed Rp88tn as of May 2026, Full Year Budget Cut from Rp335tn to Rp268tn with More Cuts Likely

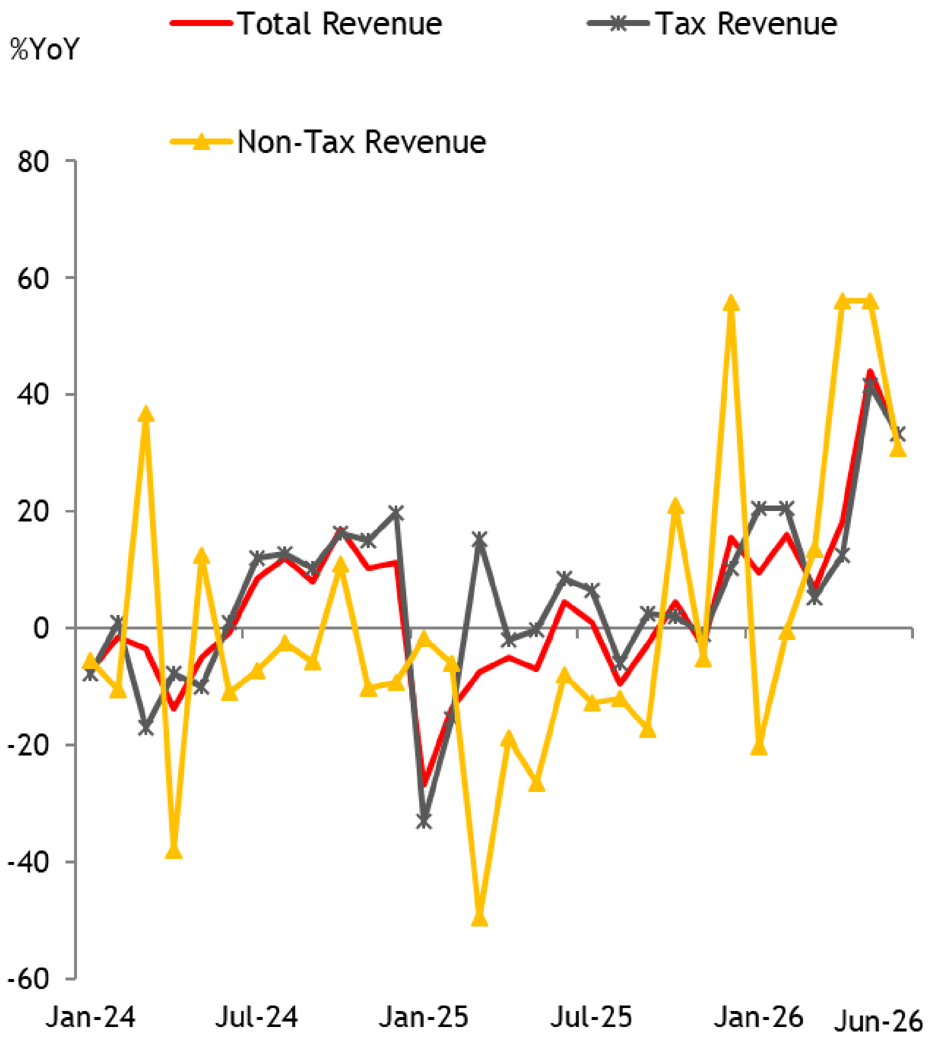


Source: MoF, CEIC

Robust Year-to-Date Revenue Growth Driven by Value-Added Tax and Natural Resources Revenues

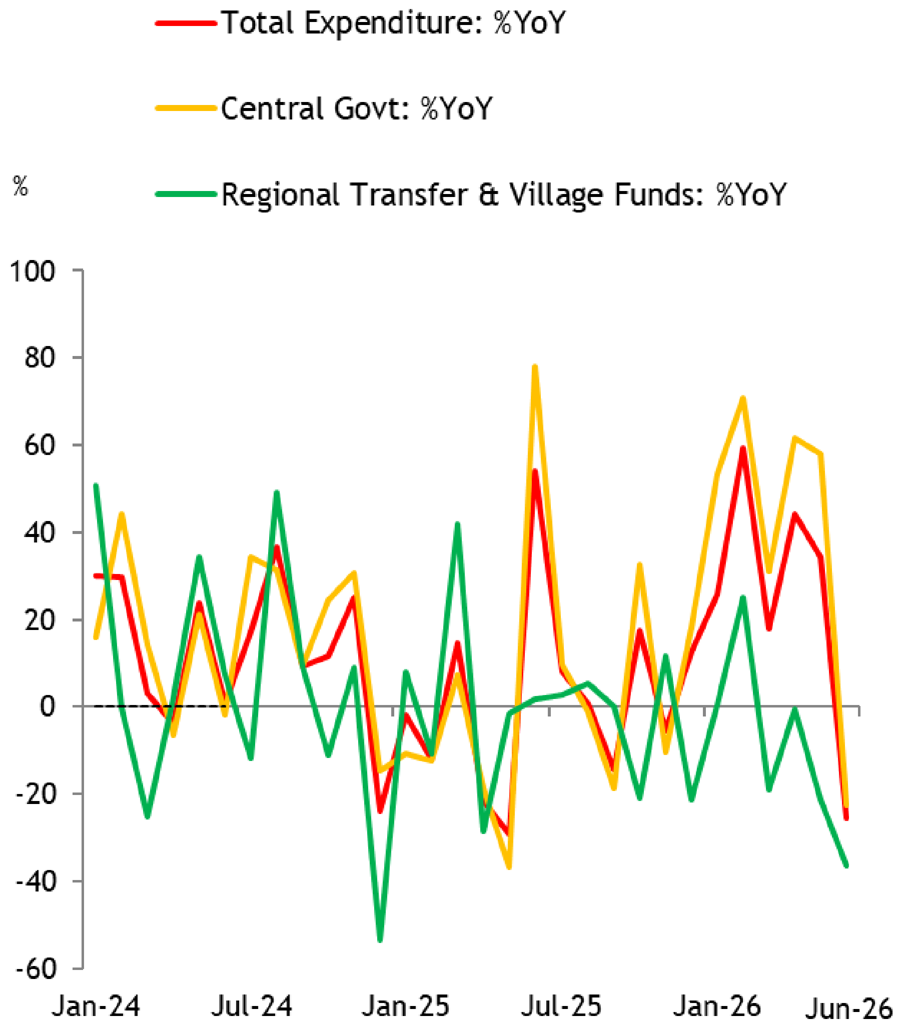
Expenditures Grew Strongly in the First Half As Spending Frontloaded But Momentum Eased over Past Two Months

State Revenue Up +32.9% in June (May: +44.2%), Driven by Above +30% Growth in Tax and Non-Tax Revenues



Source: MoF, CEIC

Expenditures Fell in June 2026 (-25.4%) for the First Time Since November 2025



Source: MoF, CEIC

Will Budget Deficit Exceed 3%?

Gov’t May Consider Issuing Emergency Decree Granting Breach of Legal Limit Only if “War Lasted for Five Months”

Fuel Subsidy Cut or More Spending Cuts Needed

Government Resorts to Budget Rationalization to Alleviate Budgetary Pressure, More Non-Subsidy Spending Cuts Could be Necessary

- Scale back of 2026 Free Meals Program (MBG) Budget to Rp268tn from Rp335tn (-67tn). Still much larger than Rp51.5tn (55mn beneficiaries) in 2025.
- Ministries and government institutions to “Reset Priorities and Focus on More Productive Activities”(Rp121tn savings)
- Two-Month Remote Work Policy (Rp6.2tn savings), extended beyond June
- Fuel rationing policy for subsidized gasoline and diesel (daily purchase quota = 50l for smaller vehicles, 80l for larger diesel powered vehicles and 200l for six wheel trucks and buses). Quotas will be reviewed in end-May.
- Windfall taxes/extra export duties on coal/nickel being considered but postponed from 1 Apr

Facility for Tax Restitution Tightened Effective 1 May, with Corporate Taxpayers and VAT Collectors Facing More Stringent Administrative Reviews (12-Month Audit)

Fuel Subsidy Costs Expected to Exceed Budgeted Estimate by Rp200.4tn if Oil Prices Average US$100 for the Year.

Will Budget Deficit Exceed 3%?

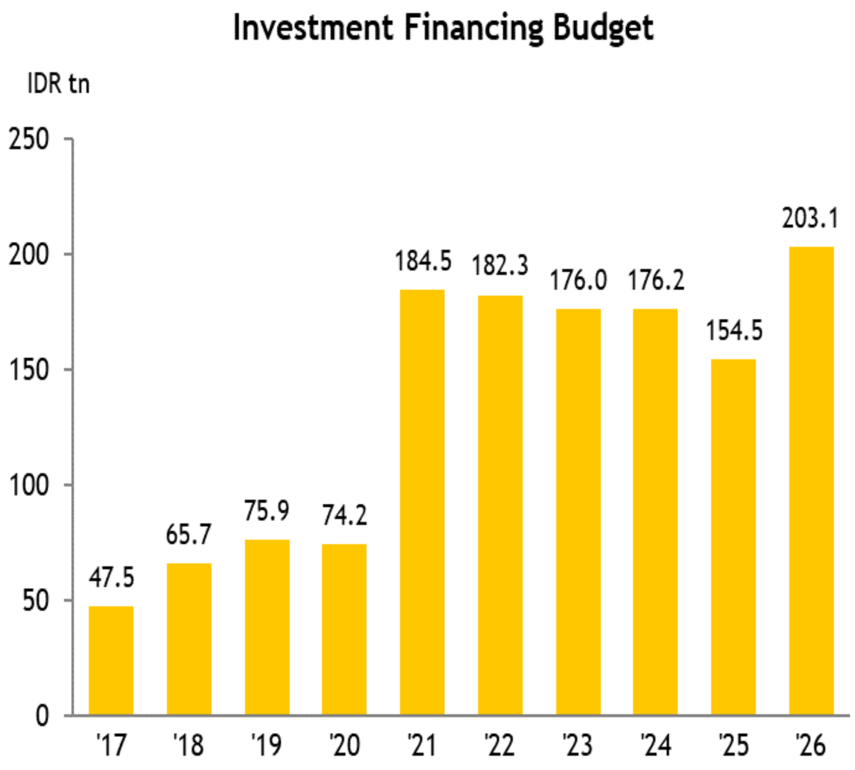
Government Has 'Off-Budget' Sources of Financing, But will still Raise Debt Burden or Erode Macro Buffers

Maybank Forecasts 2.9% Deficit-to-GDP in 2026 and 2027

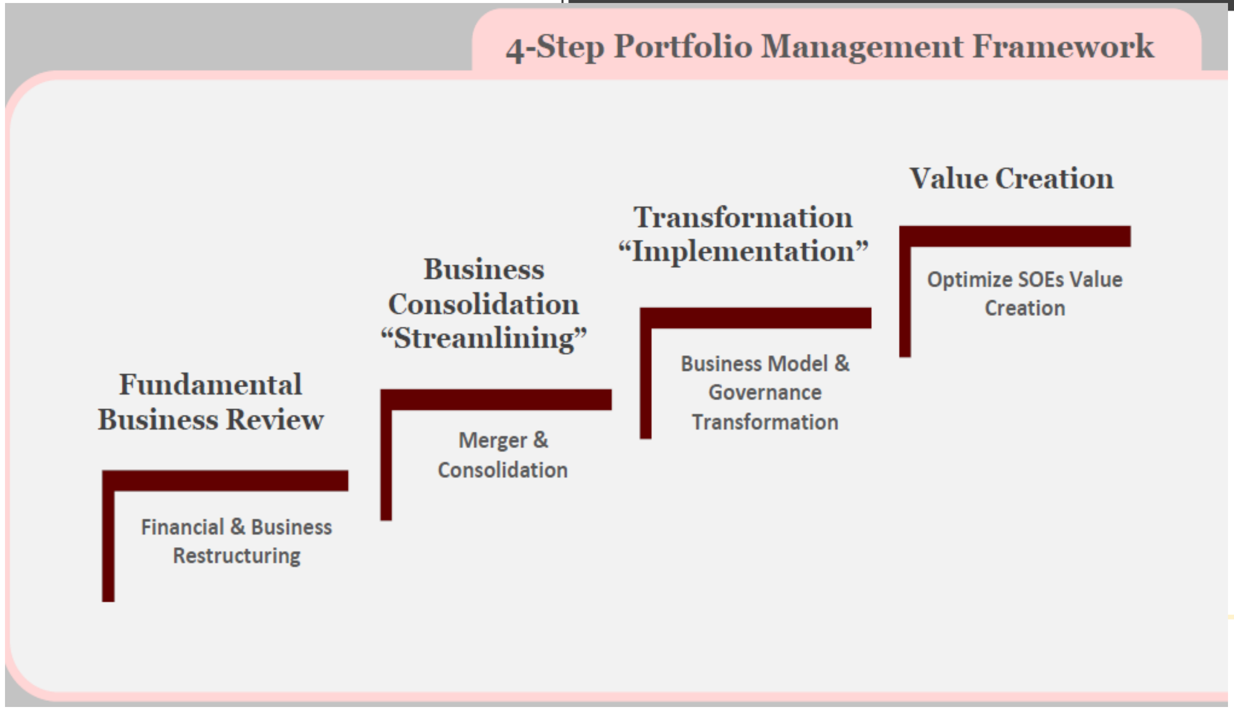
Several Alternative Sources of 'Below the Line' Financing

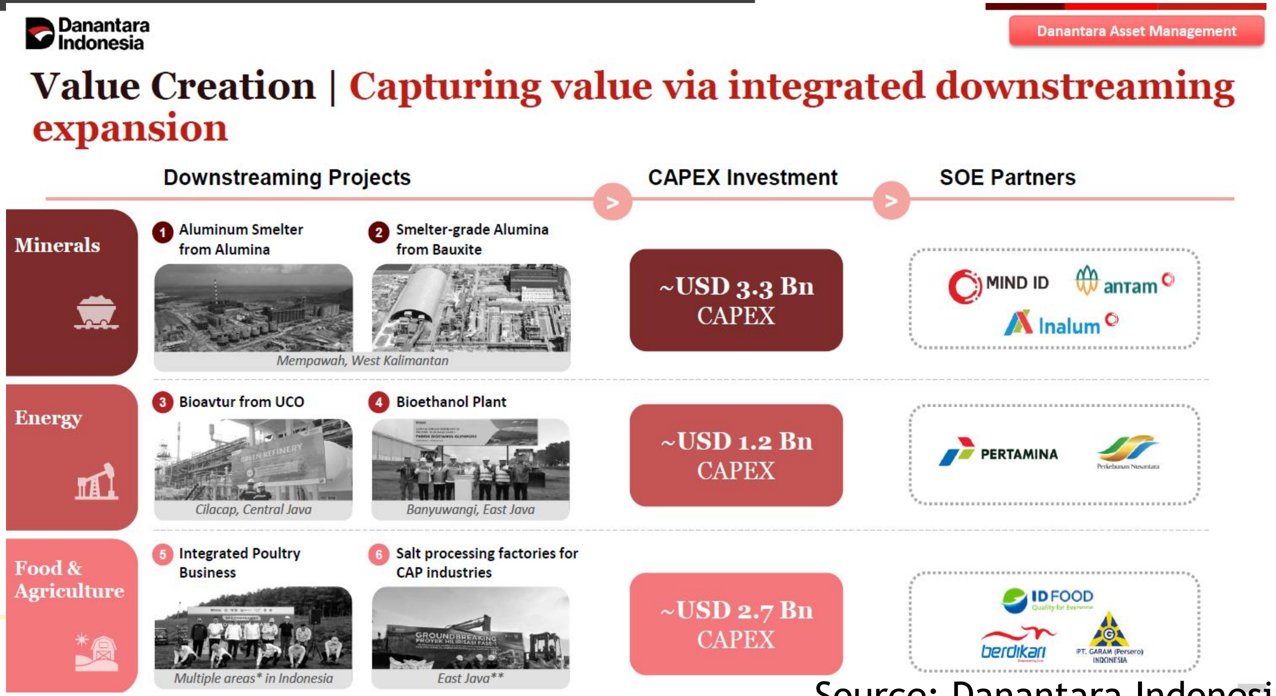
- Excess Budget Balance (SAL) of Rp420tn (Rp300tn held in banking system) due to conservative spending in Sri Mulyani years
- Investment financing budget of Rp203tn in 2026 could be used to finance certain expenditures
- As last resort, Bank Indonesia can transfer surplus (difference between annual income and expenditure) to the government, which stood at Rp77.9tn as of Sep 2025.
  - Finance Minister Purbaya signed a regulation (No. 115/2025) in end-2025 allowing him to request a transfer of part of BI's interim surplus before the fiscal year has concluded, if there are urgent financing needs within the State Budget

Investment Financing Budget Surged to a Record High of IDR 203.1tn in FY2026, Rose +31.4% from Previous Year



Restricted





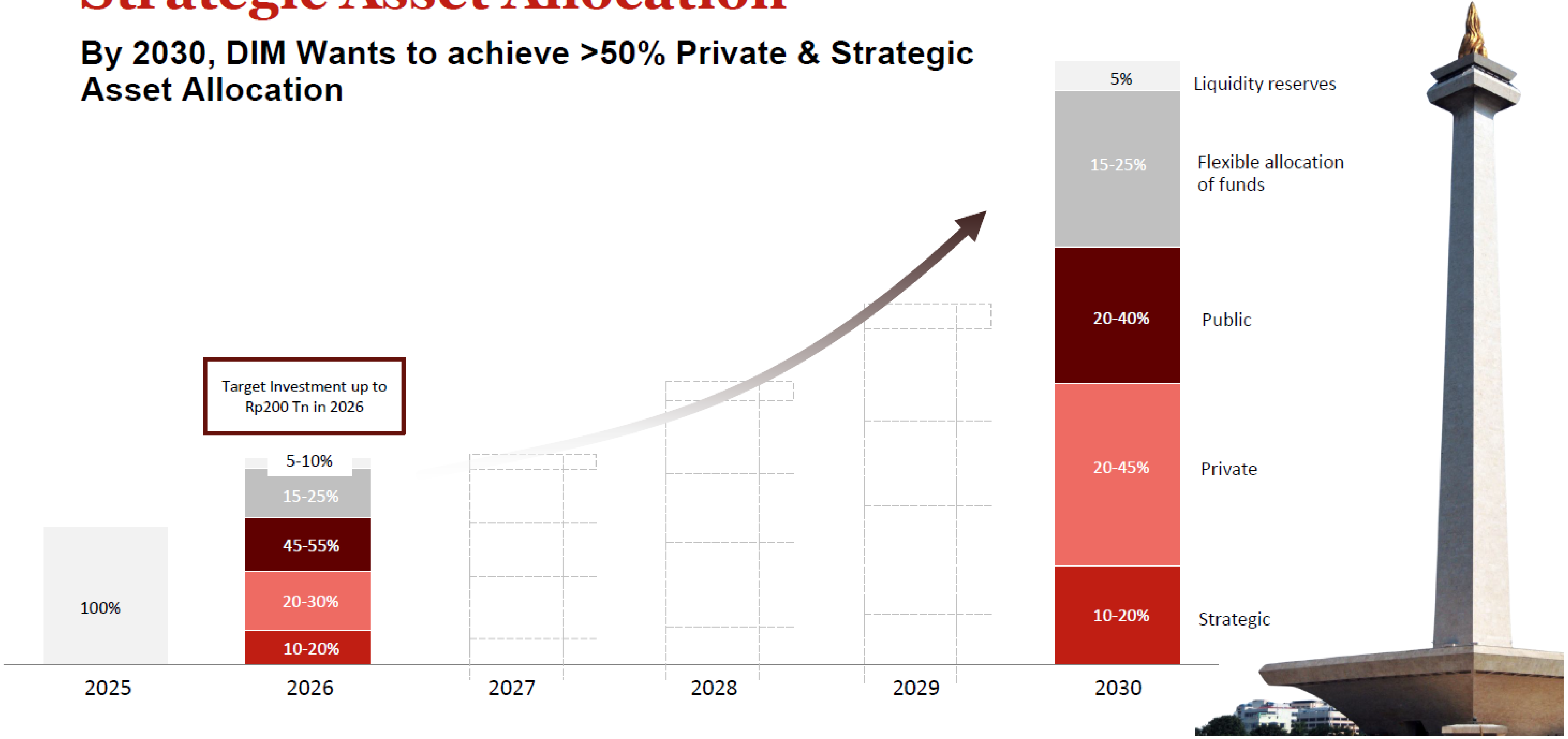
Source: Danantara Indonesia

Danantara Indonesia

Danantara Investment Management

Strategic Asset Allocation

By 2030, DIM Wants to achieve >50% Private & Strategic Asset Allocation



Source: Danantara Indonesia

Danantara Indonesia

Danantara Investment Management

Private Investments | 3 Strategic Flagship Projects

National-Scale Waste-to-Energy

Land-scape
- 35 mn tons trash per year
- >60% unmanaged ; 90% burned illegally

Waste issues
- 143 fatalities — *Leuwigajah Landfill landslide*
- 669 impacted in fire — *Sarimukti Landfill*
- 5x fires — *Bali Landfill, over past 7 years*

Health risk
- +70% Cancer risk
- +40% Asthma risk
- +30% Birth health risk
- +70% Diarrhea risk

Project Details

Annual total waste	60 million tons
Current unmanaged waste	60%
2030 Target	33 cities
Installed capacity	660 MW
Total investment	USD 5 Bn
Investment per location	USD 120-150 Mn
Target annual waste managed	18 million tons

Aviation Leasing Fund

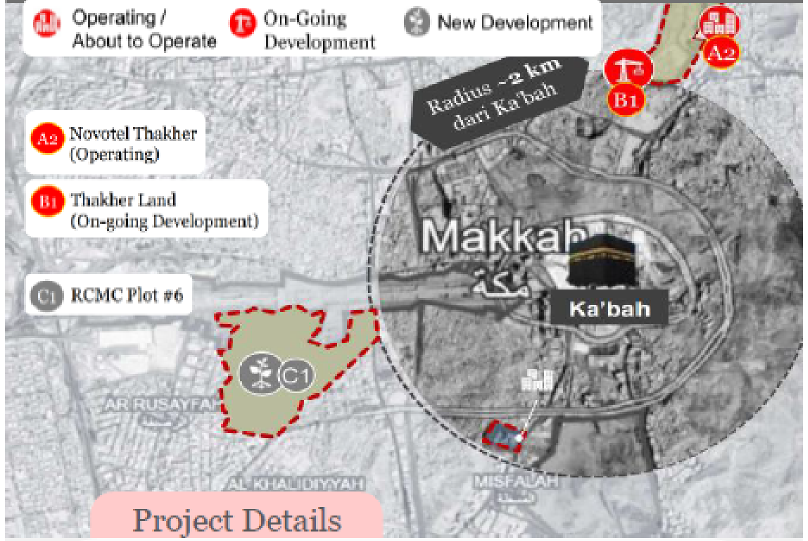
Scalable platform	*Institutional-grade platform designed to give investors access to high-quality global aviation assets*
Knowledge transfer	*Alignment with global best practices to build local capabilities*
Anchors Indonesia-Japan-Ireland economic cooperation	*Opens the door for further bilateral investments*
Opens a previously high-barrier asset class to institutional investors	*Breaking down barriers*
Indonesia moves from aviation operator to financier/owner	*Indonesia's first of its kind*

Project Details

Project size: **USD 800 million** — *Initial portfolio value*

Strategic partners:
- **DIM** — *Anchor investor*
- **Mandiri IM** — *Co-manager*
- **SMBC Aviation Capital** — *Operational manager & lessor; 20+ years, one of world's largest*

Kampung Haji



Project Details

Back-ground: Indonesia as **largest Islam pilgrimage country** (~1.7m/yr) boasting ~10% 5Y CAGR

Issue: **Demand-supply gap** with Mekkah hotel supply growth at ~3%H and ~6%F

Source: Danantara Indonesia

Public Investments| Mandate & Governance Framework

Foundation & mandate

Goal: Deliver sustainable, long-term real returns while preserving capital and supporting domestic capital market development

Guiding Principles

1. Financial performance & developmental mandate
2. Prudence, transparency, & professionalism
3. Global best practices in sovereign AM

Investment scope

- Equities
- Fixed Income
- Liquid Alternatives
- Cash

Disciplined risk management

ESG integration

Commitment to Indonesia's financial system

Governance & performance tracking

- DIM Board of Directors: Approves SAA, risk parameters, benchmarks, and exclusion lists
- Public Investment Team: Executes strategy, selects managers, monitors daily operations
- Public Investment Committee: Oversees compliance, risk management, and independent performance validation

Reporting Standards

Periodic performance & risk reports and external audits

Conflict of Interest

DIM Staff, Board, External Managers must avoid conflicts & disclose potential issues

Performance Evaluation

Regular performance benchmarking, risk monitoring, and stress-testing

Procedural Updates

PIMG reviewed annually to reflect changes in priorities, regulations & market conditions

Source: Danantara Indonesia

Financing| Ample funding liquidity from domestic and international sources

While Danantara has access to existing debt instruments, we remain active in sourcing new opportunities

Revolving Credit Facility

USD10 Bn
RCF Facility

29 Banks
Signed credit facility

Project based withdrawal

Patriot Bond

2% Coupon Rate

>50 Subscription via private placement

Used for national development and priority projects

Global Bond

USD1.5 Bn
Issuance

>3x Oversubscribe

32-34bps
Above sovereign

Potential future funding source:

- Push international capital markets as a more permanent capital source
- Engagement with fixed income experts to explore further private placement opportunities
- Expansion of JV and co-investment opportunities

Source: Danantara Indonesia

Re

Danantara Indonesia

Why DSI Exists — and What It Is Not

OUR MANDATE

Presidential mandate
Established by Government Regulation (PP) within Danantara to govern strategic commodity exports: Coal, CPO and ferroalloys.

One target: value leakage
Stop under-invoicing and transfer pricing that move export value and taxable profit offshore.

One verification point
DSI will become the point of verification for export documents

What DSI is NOT

Not a regulator
Permits and licensing remain with the ministries.

Not a state trader
Default role is intermediary — no trading positions.

Not a profit centre
Margin only proportionate to value delivered.

Not a disruption
Export continuity overrides everything else.

Source: Danantara Indonesia

Danantara Indonesia

Five Commitments to the Market

WHAT WE STAND BY

1 Export continuity first

Keeping trades moving is priority one. Initial phase: simple reporting, built into the existing export system.

2 Existing contracts honored

Signed contracts run unchanged absent under-invoicing. Buyer–seller relationships stay intact.

3 Intermediary by default

DSI starts as intermediary on the the export document — not a a trader taking positions

4 Dialogue, not one-sided action

Anomalies go to bilateral clarification first. Legitimate commercial differences are recognized.

5 Confidentiality protected

Secure platform, world-class IT provider, data used only for its intended purpose.

Source: Danantara Indonesia

Thoughts on Danantara and DSI

- Near-term focus on public projects, alongside overseas capital deployment implies local economic impact of Danantara’s investments may be measured in the near-term
- Overseas investments being funded through borrowing, not past fiscal surpluses (unlike Temasek). Borrowings not explicitly guaranteed by gov’t but could still result in contingent liabilities if returns fall short
- Government Regulation No. 24/2026 gives DSI authority to determine selling prices and margins. The fact that this authority can be used, even if not widely, may be an overhang on commodity exporters. Unclear how much fees will be charged by DSI
- For strategic projects/private investments, Danantara aims to crowd in 3-4x foreign capital alongside its capital injection. Note that Danantara Development Management Fund (set up in Apr) can be funded directly from the state budget, potentially stretching fiscal space further

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Wildcard

Intensifying Capital Outflows

Will Authorities Respond More Forcefully to Stem Capital Outflows?

Draconian Capital Controls Not Our Base Case

Capital Flow Management Measures

Potential measure	Current status	How it works	Primary target	Historical precedent
1. Tighten underlying transaction requirement for FX purchases	Already implemented	Lower the threshold above which residents must provide documentary evidence (imports, debt service, investment, education, travel, etc.) before purchasing foreign currency. BI could further reduce the threshold or tighten acceptable documentation.	Residents purchasing FX	Existing framework; thresholds tightened during recent rupiah weakness
2. Tighten FX hedging requirements	Already implemented	Increase mandatory hedge ratios, extend maturities or broaden corporate coverage	Corporates with external debt	Since 2014
3. Increase FX liquidity requirements	Already implemented	Require corporates to hold more FX liquidity against upcoming external liabilities	Corporates	Existing framework
4. Tighten banks' FX prudential limits	Already implemented	Lower net open position limits, tighten FX liquidity ratios or external borrowing rules	Banks	Long-standing
5. Tighten DHE (export proceeds) retention requirements	Already implemented	Require exporters to retain export proceeds domestically for longer or increase the share subject to retention	Exporters	Expanded in 2023-25
6. Restrict offshore rupiah liquidity	Already implemented	Further limit offshore rupiah funding, derivatives and swap transactions	Offshore market participants	Existing policy framework
7. Tighten NDF and swap regulations	Existing framework	Increase onshore settlement requirements or restrict access to rupiah derivatives	Offshore investors	Existing framework

Wildcard

Intensifying Capital Outflows

Will Authorities Respond More Forcefully to Stem Capital Outflows?

Draconian Capital Controls Not Our Base Case

Capital Flow Management Measures (continued)

Potential measure	Current status	How it works	Primary target	Historical precedent
8. Increase minimum holding period for BI securities (e.g. SRBI)	Not currently in force	Require investors to hold BI securities for a minimum period before selling	Portfolio investors	SBI holding periods used in 2010–11
9. Tax short-term portfolio inflows/outflows	Not implemented	Levy a tax or reserve requirement on speculative portfolio flows	Portfolio investors	No modern precedent
10. Unremunerated reserve requirement	Not implemented	Require foreign investors to deposit part of inflows interest-free at BI	Portfolio investors	No precedent
11. Approval for large outward capital transfers	Not implemented	Require prior approval for sizeable overseas investments or capital transfers	Residents	No modern precedent
12. Restrict resident foreign asset purchases	Not implemented	Limit overseas portfolio investment by residents	Residents	No modern precedent
13. Temporary restrictions on foreign sales of Indonesian bonds	Crisis measure	Delay or limit foreign investors from exiting government bonds	Foreign investors	Never used
14. Restrict dividend/profit repatriation	Crisis measure	Delay or cap remittances of profits abroad	Foreign companies	Never used
15. Conversion controls	Extreme crisis only	Prohibit or severely ration conversion of rupiah into foreign currency irrespective of the underlying transaction	Economy-wide	No precedent

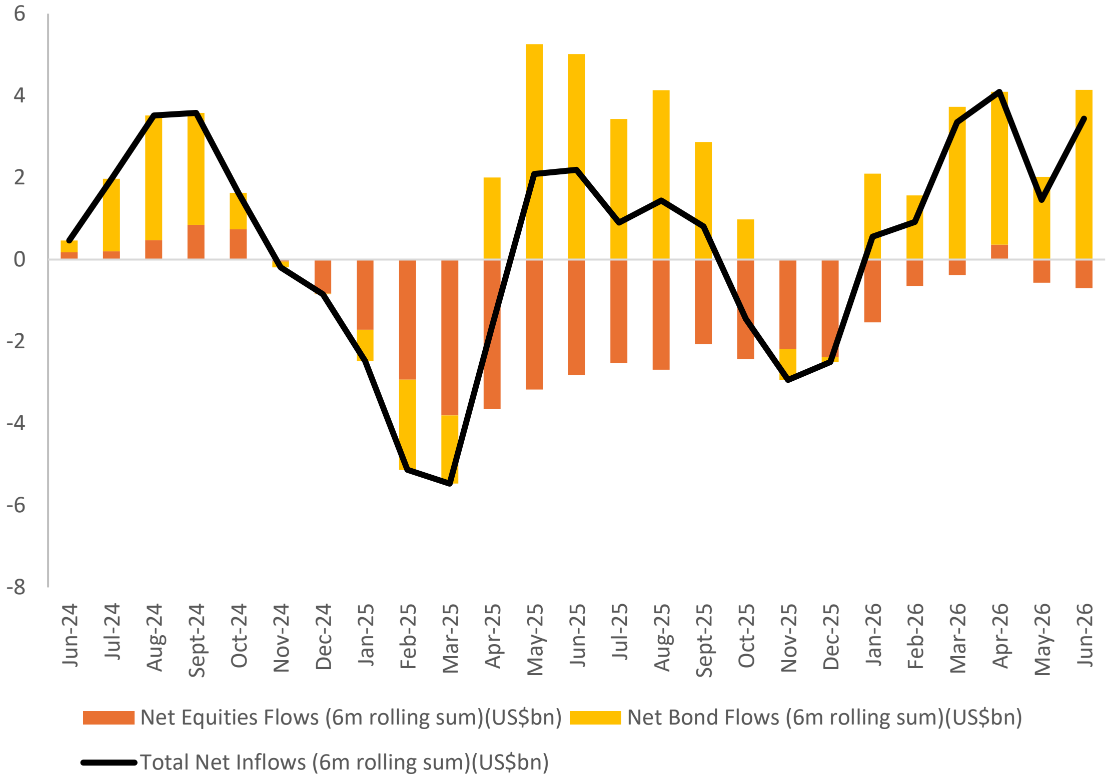
Source: Compiled by Maybank IBG Research

IDR: Measures Undertaken by BI

- Increase DNDF/forward selling threshold from USD5m to USD10m per transaction
- Increase the swap buy/sell threshold from USD5m to USD10m per transaction and
- Adjust the threshold of obligations for supporting documents of outgoing FX transactions from USD100k to USD50k and subsequently to USD25k
- Permitting SVBI and SUVBI as underlying assets for FX repo transactions
- Permitting selected primary dealers to sell foreign currency NDF on the onshore market
- Expanding the foreign exchange MO with offshore spot and swap instruments in CNH
- Raising SRBI Yields across the various tenors
- Lowering hedging costs by offering a 10% discount for the swaps rate for non-residents
- Intensifying intervention via DNDF, NDF and spot
- Allowing for the 10Y Indo GB yields to rise
- Lowering threshold for cash purchases of foreign exchange without underlying transactions to USD10k per person per month

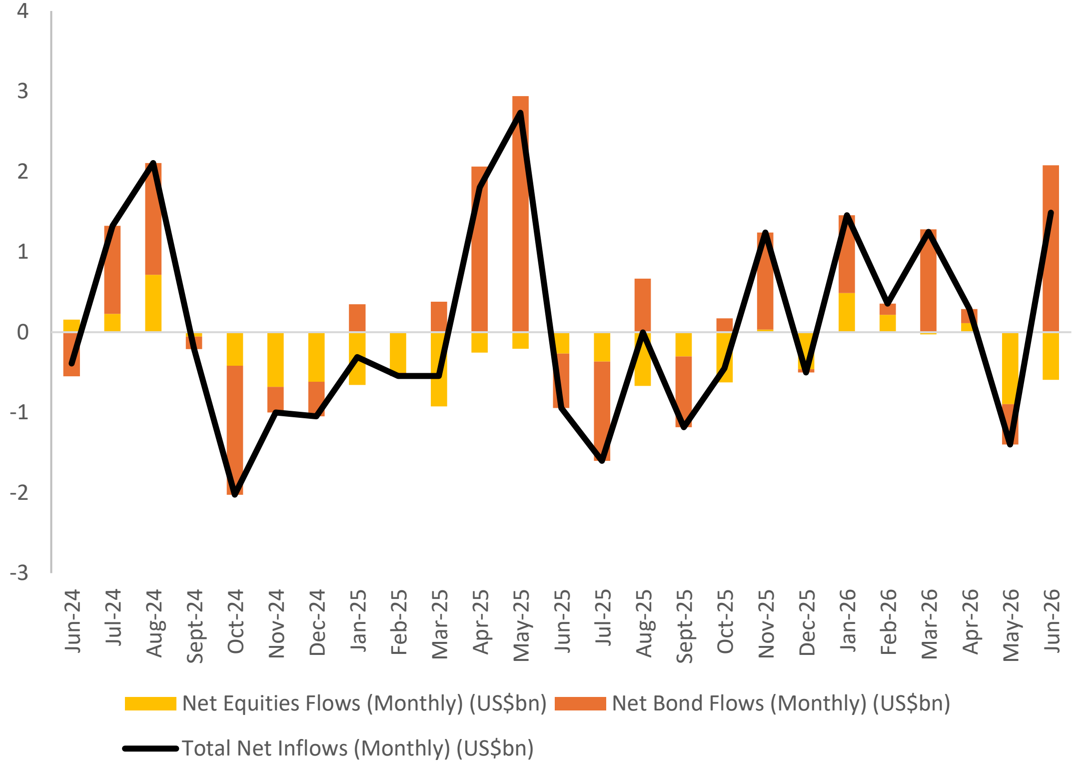
MYR: Bond Inflows Remain Robust Although Equities See Slowing Interest

6M Rolling Sum Portfolio Flows



Source: Bloomberg, Maybank FX Research & Strategy

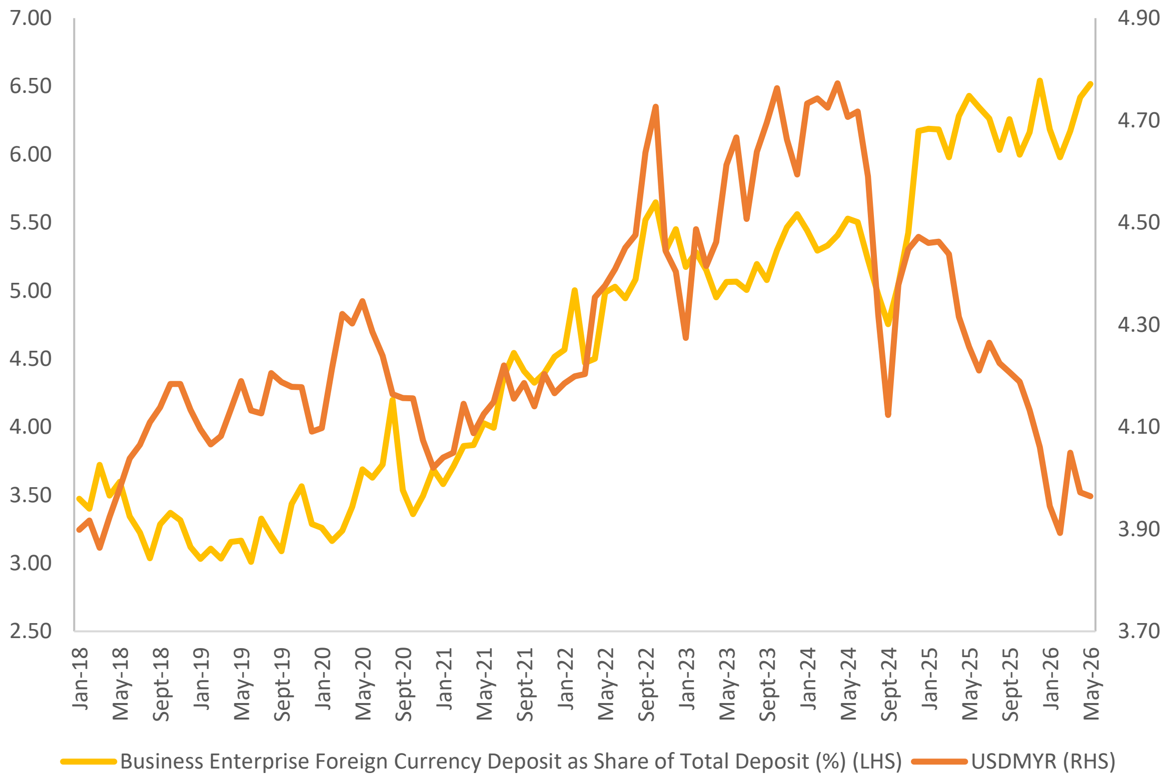
Monthly Portfolio Flows



Source: Bloomberg, Maybank FX Research & Strategy

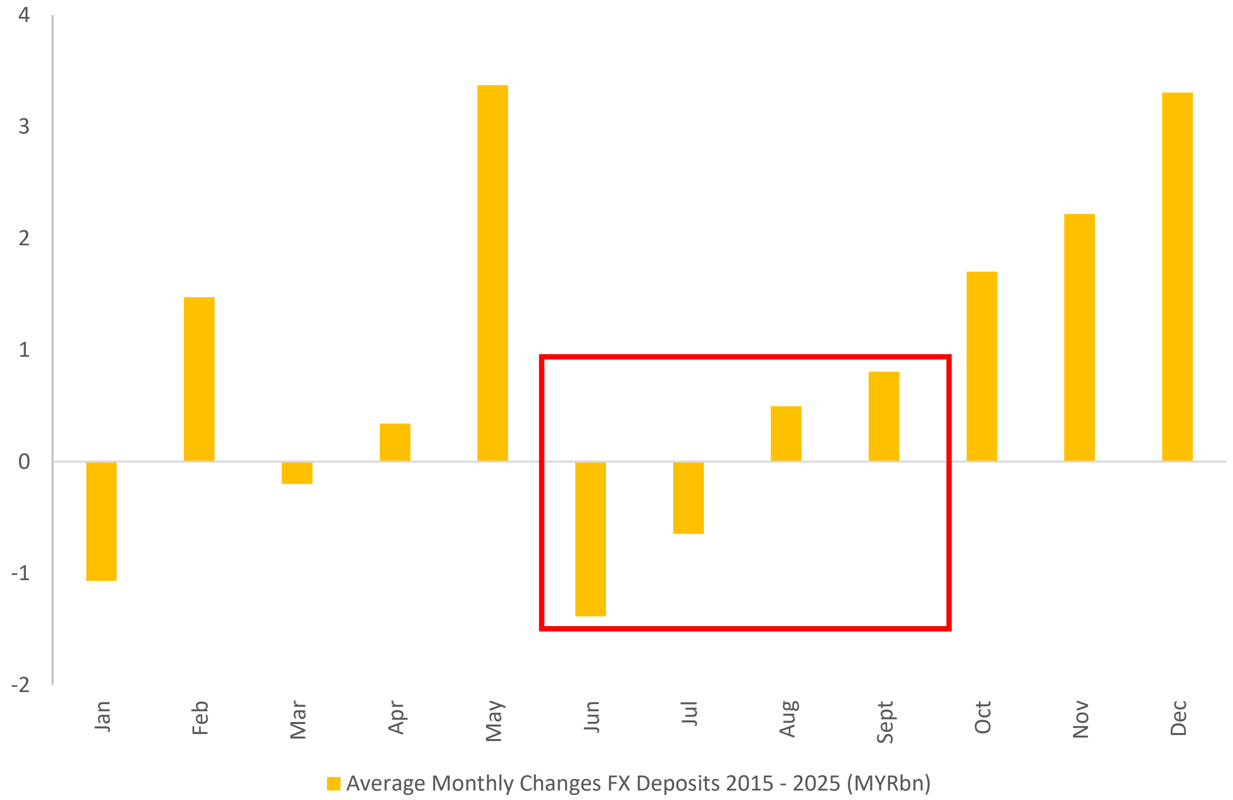
MYR: Corporate Conversion Remains Key to Drive Currency Strength

Corporate FX Holdings Remain High



Source: Macrobond, Maybank FX Research & Strategy

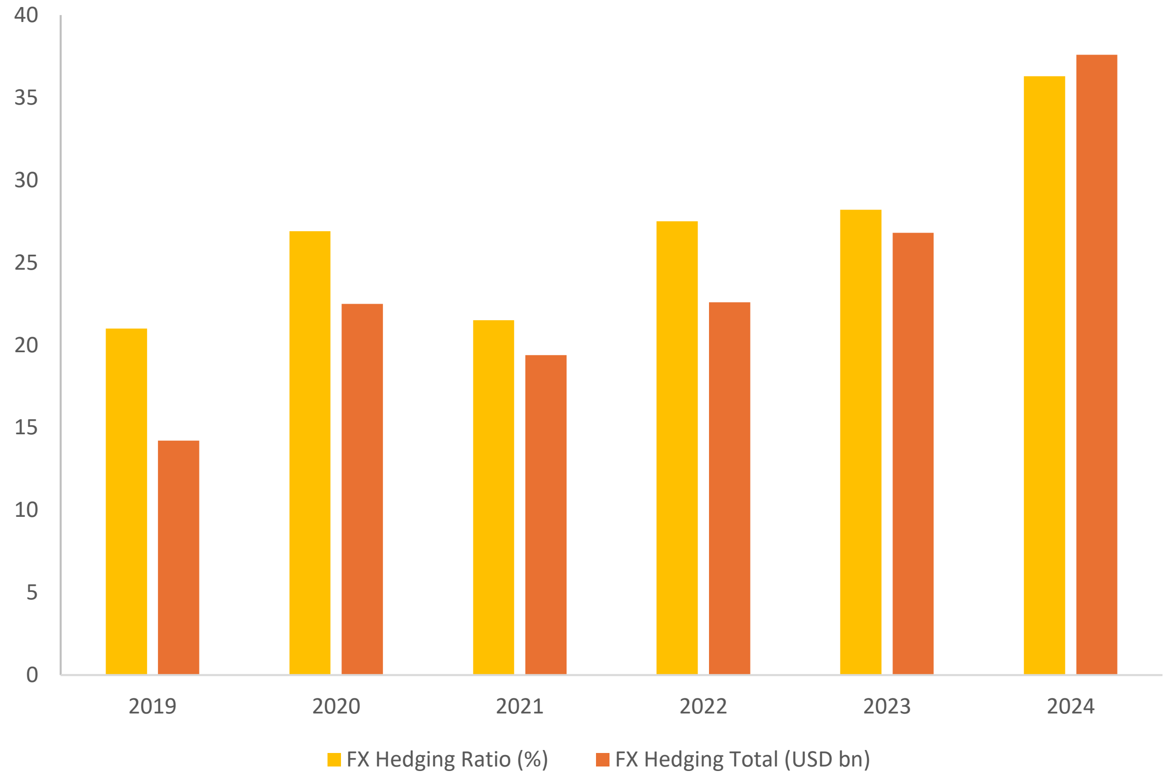
Conversions Slowdown in the Coming Months



Source: Macrobond, Maybank FX Research & Strategy

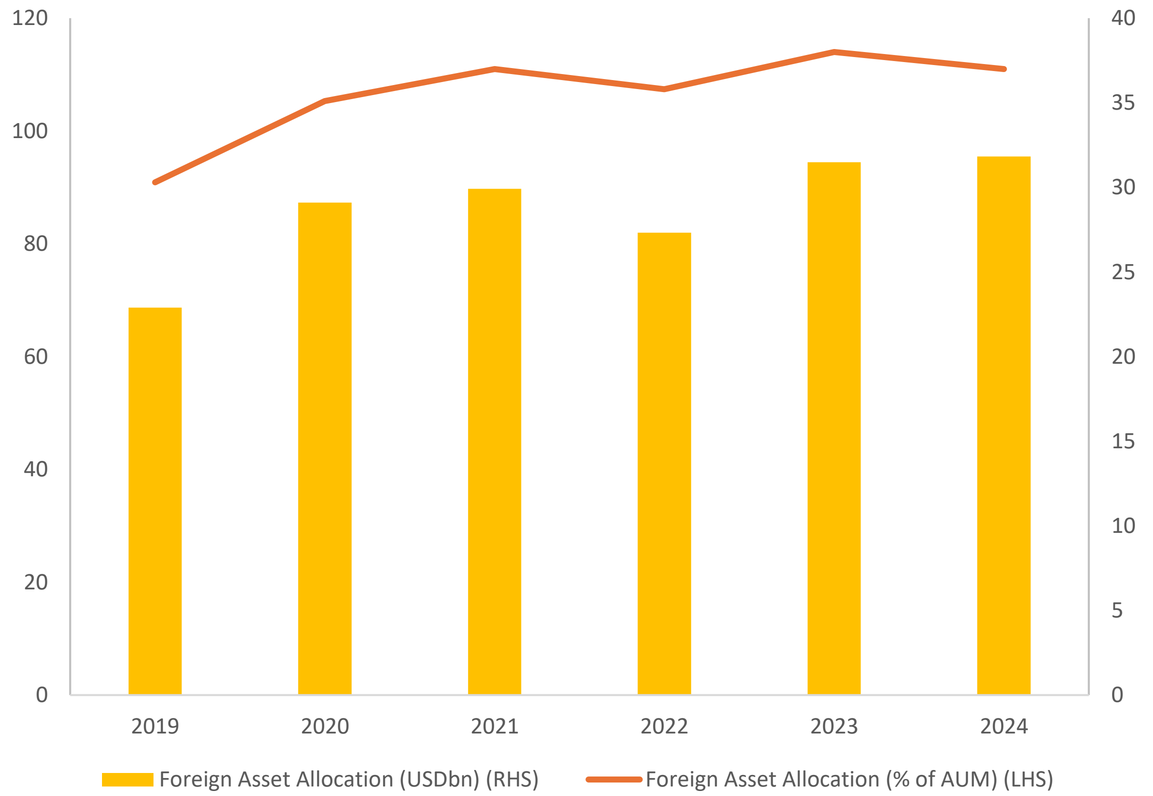
MYR: Institutional Hedging Ratios, Foreign Holdings another Boon

EPF Hedging Ratios Have Risen Over the Years



Source: EPF Annual Reports, Maybank FX Research & Strategy

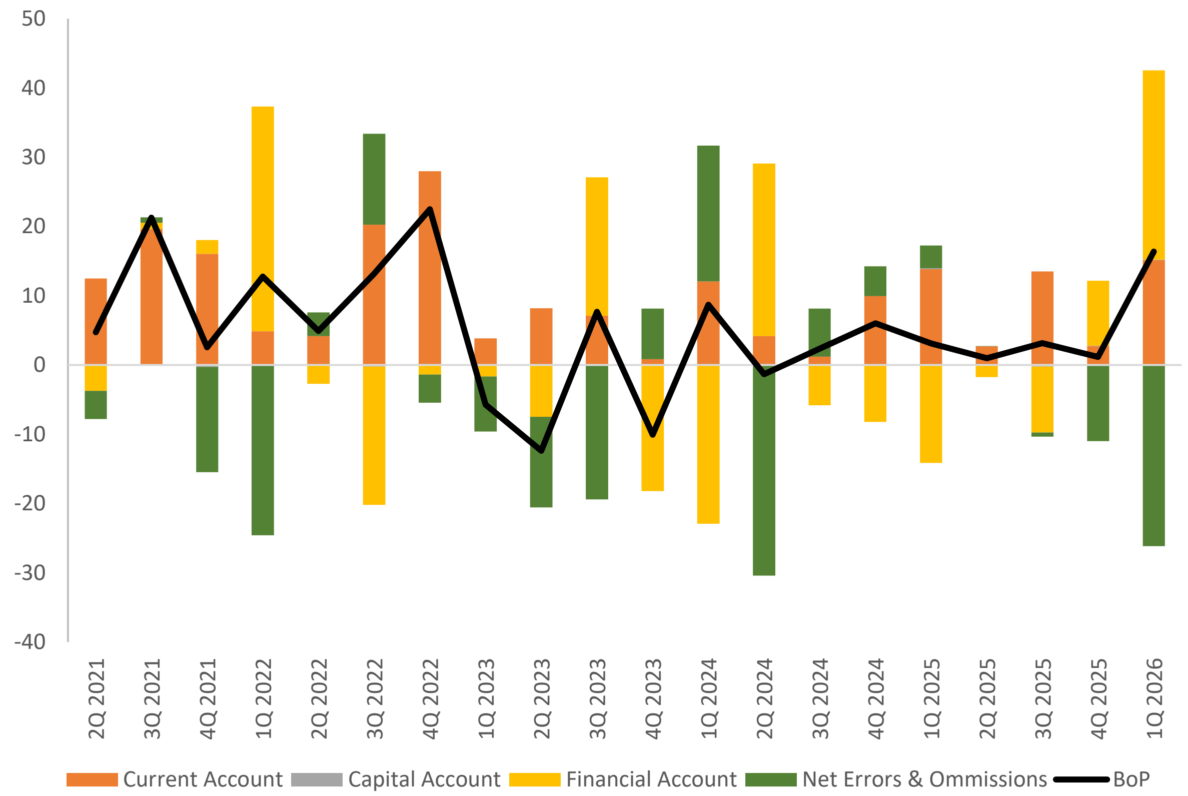
Limits on Foreign Holdings Supports FX Flows



Source: EPF Annual Reports, Maybank FX Research & Strategy

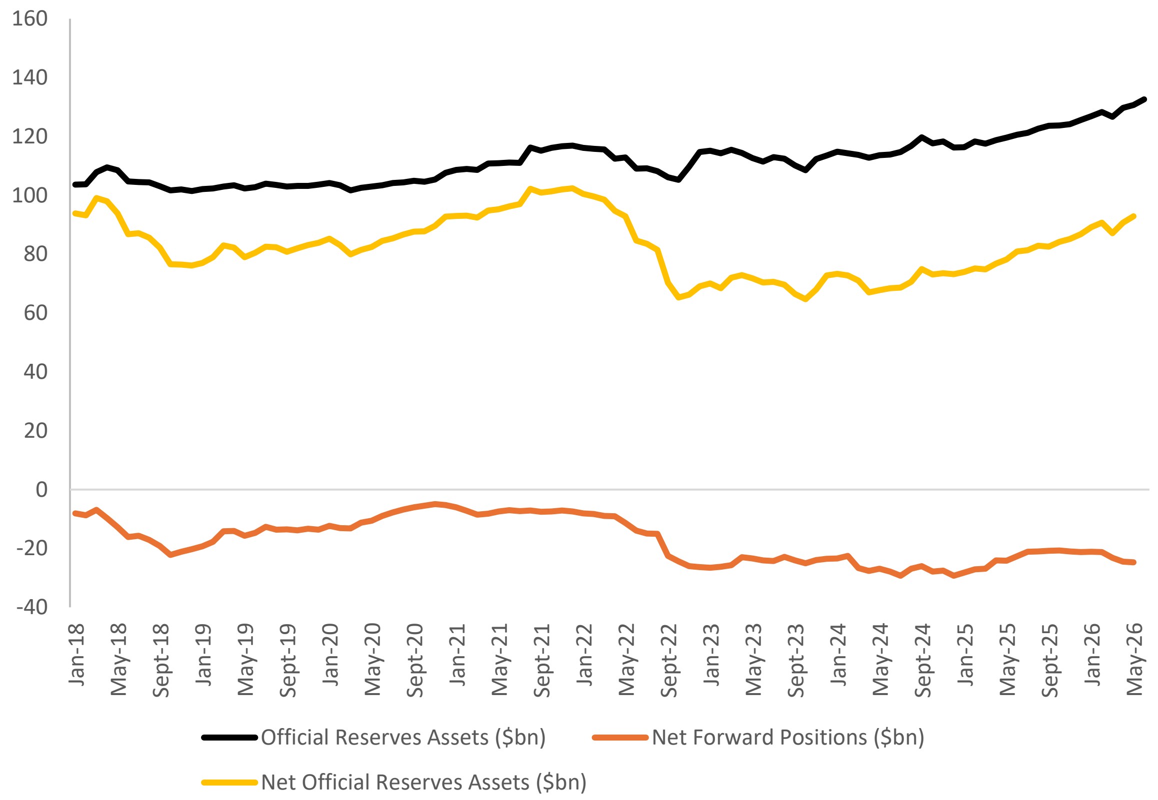
MYR: The Currency has Strong Fundamental Backing – External Position

BoP Widens as Exports Continue to be Supportive



Source: Macrobond, Maybank FX Research & Strategy

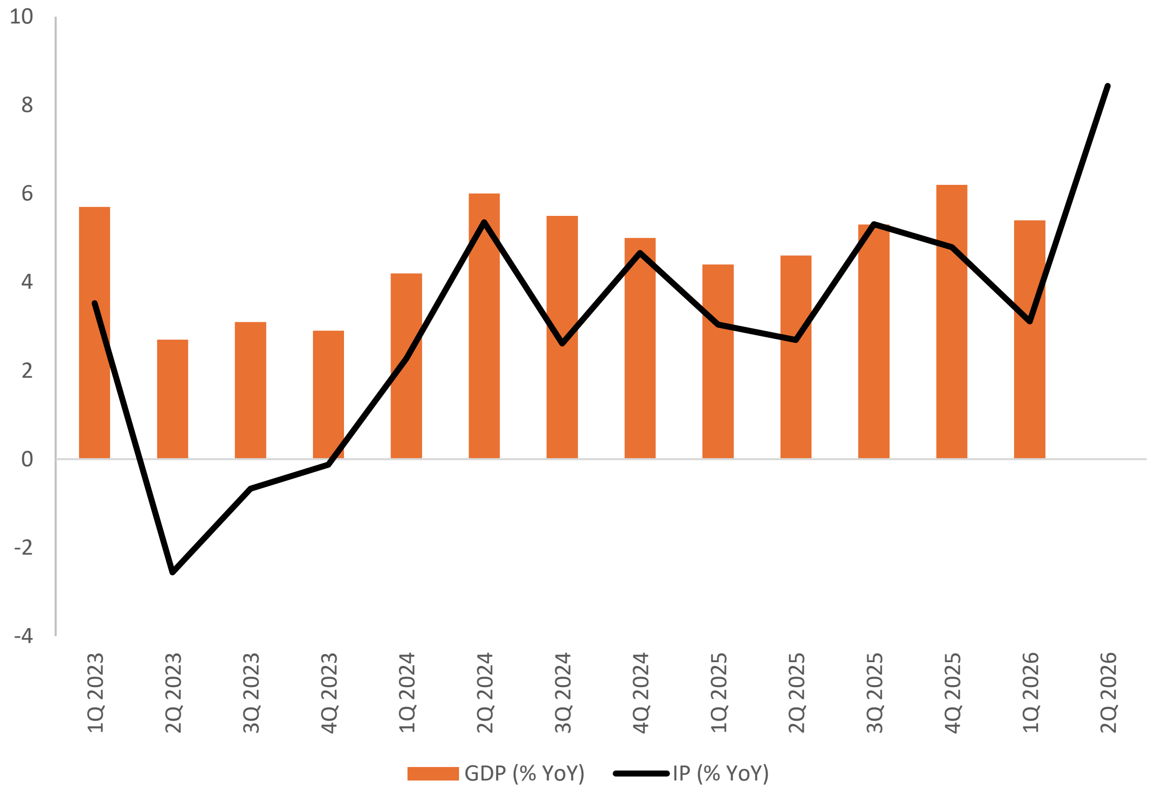
Foreign Reserves Continue to be Rebuilt



Source: Bloomberg, Maybank FX Research & Strategy

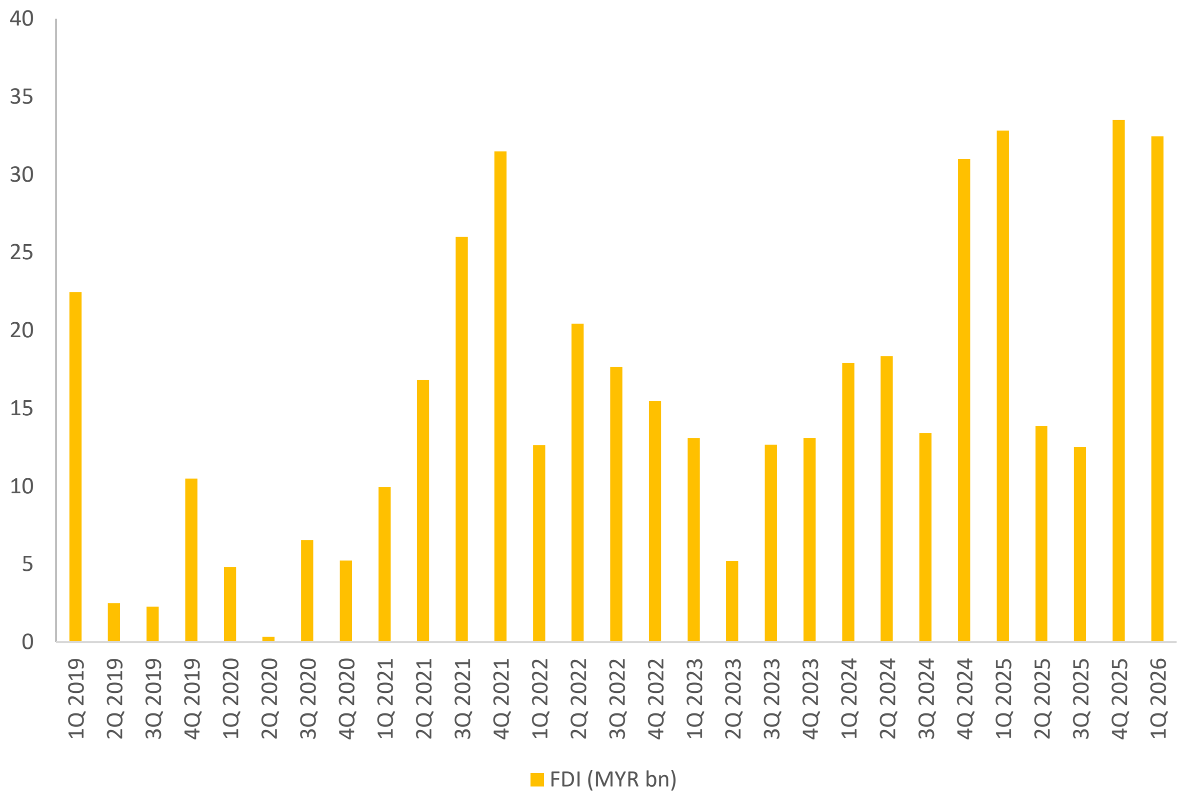
MYR: The Currency has Strong Fundamental Backing – Growth

Growth Remains Robust Attracting Investor Interest



Source: Bloomberg, Macrobond, Maybank FX Research & Strategy

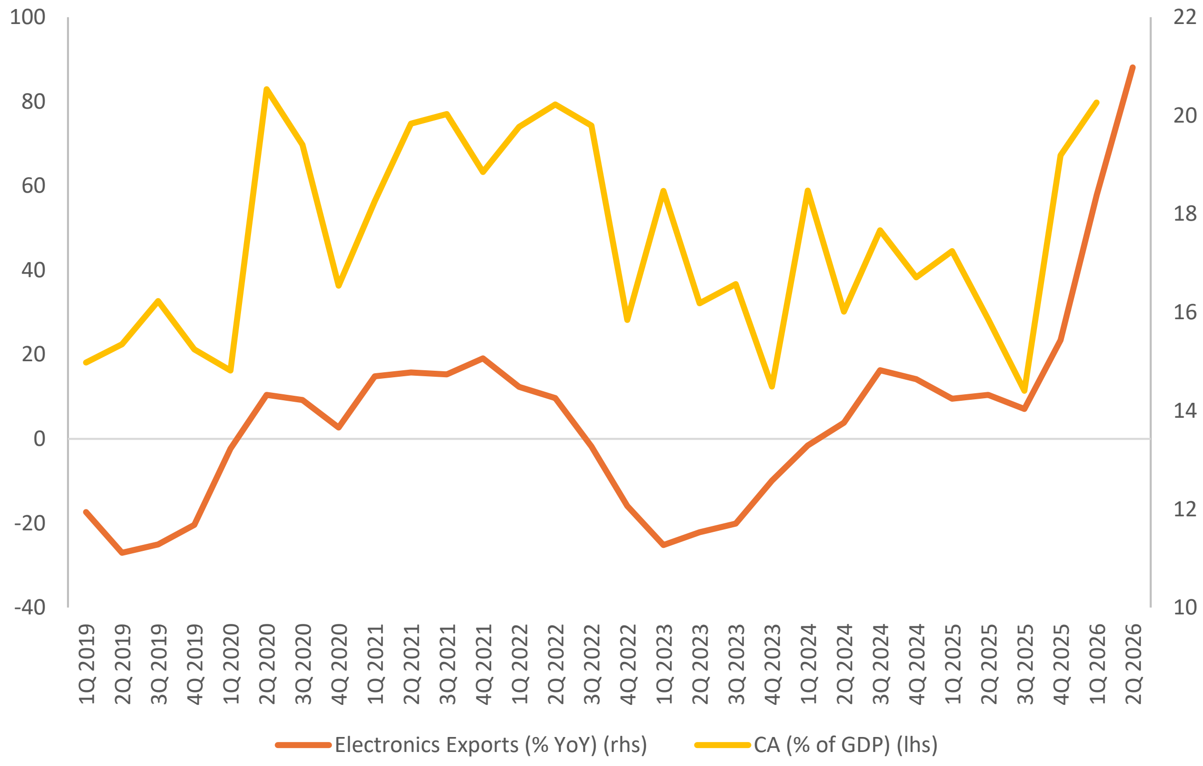
FDI Flows Have Been Strong



Source: Macrobond, Maybank FX Research & Strategy

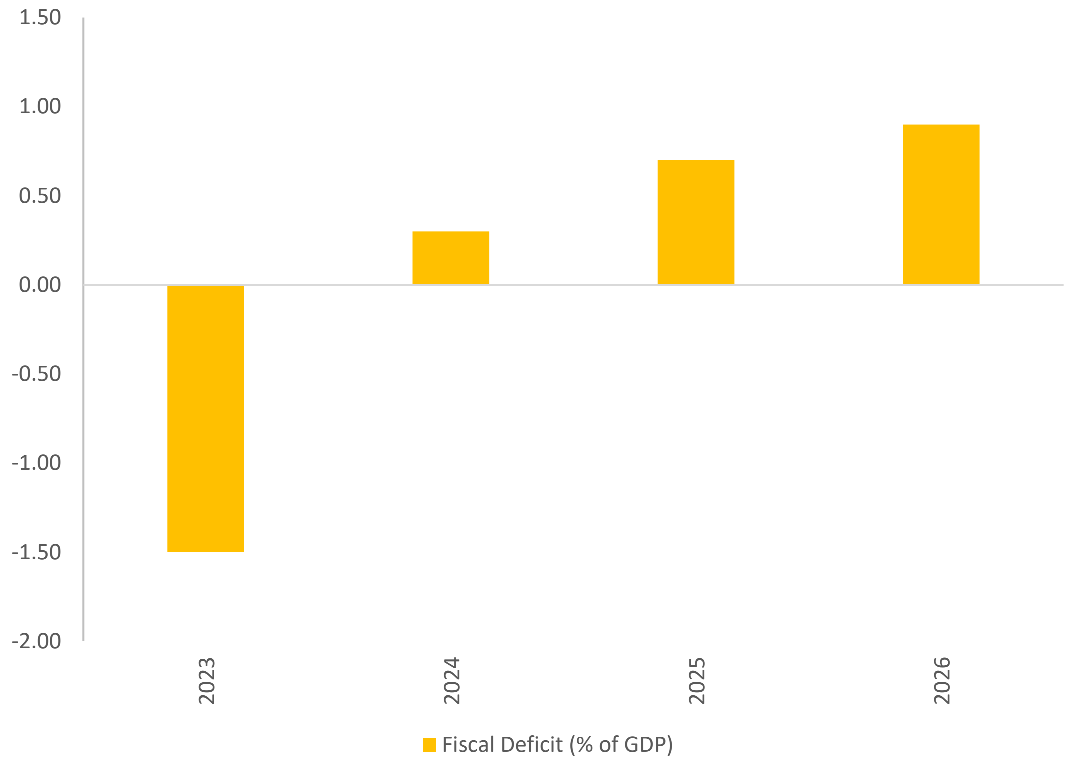
SGD: Fundamentals Back Currency's Position as Asia Safe Haven

Current Account Surplus Widens Amid AI Boom



Source: Bloomberg, Maybank FX Research & Strategy

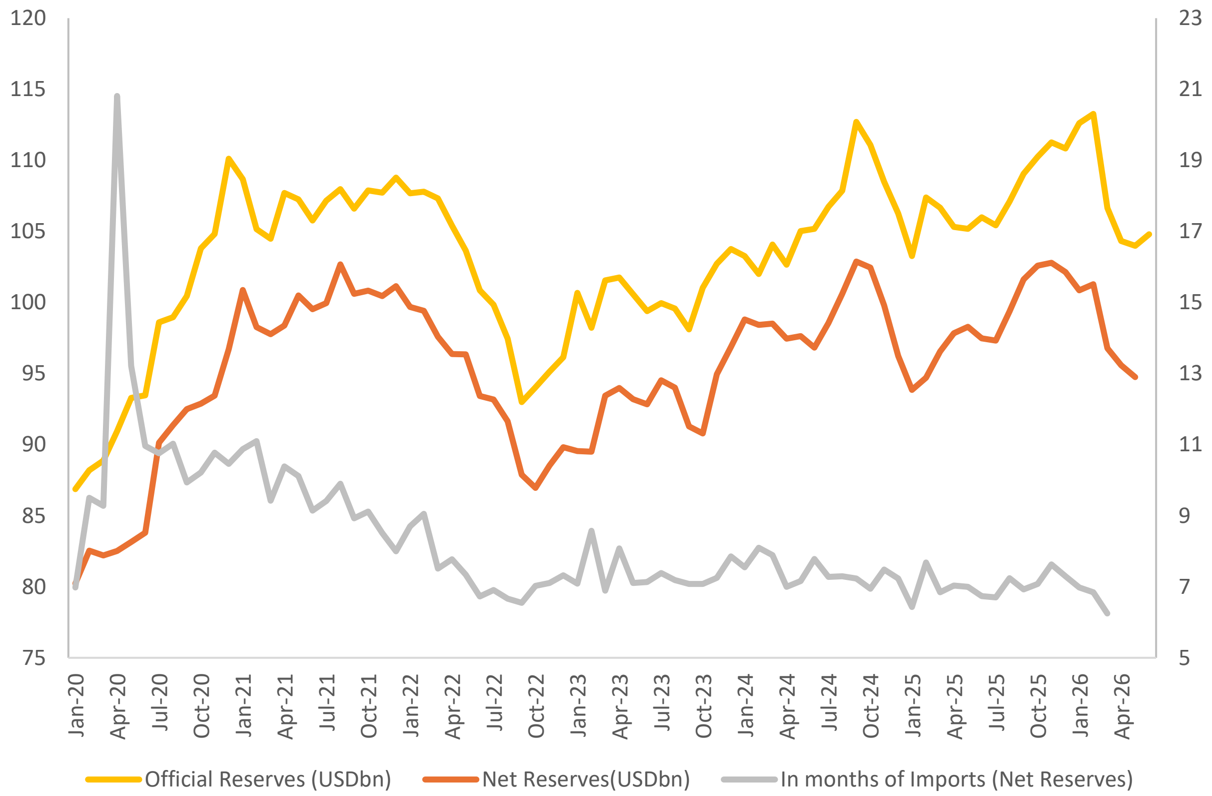
Fiscal Position Remains Strong



Source: Bloomberg, Maybank FX Research & Strategy

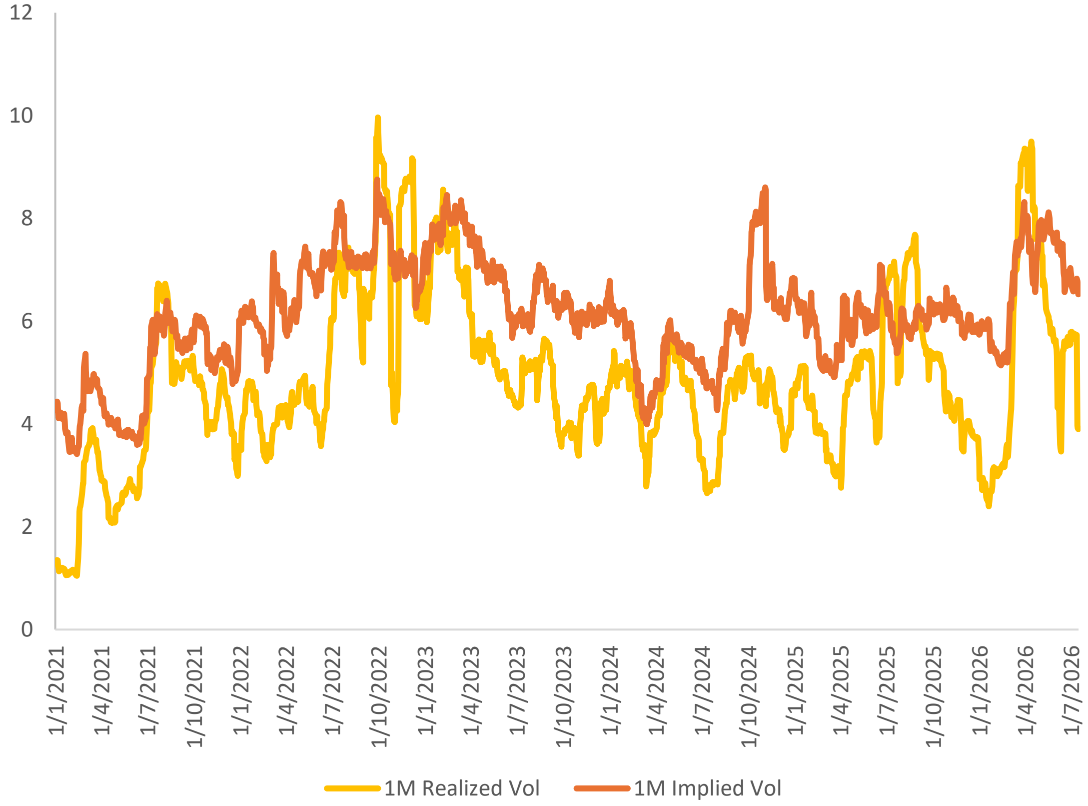
PHP: Central Bank Support of the Currency Helps to Hold the Line

Reserves Borderline Sufficient But Oil Price Fall Should Help



Source: Macrobond, Maybank FX Research & Strategy

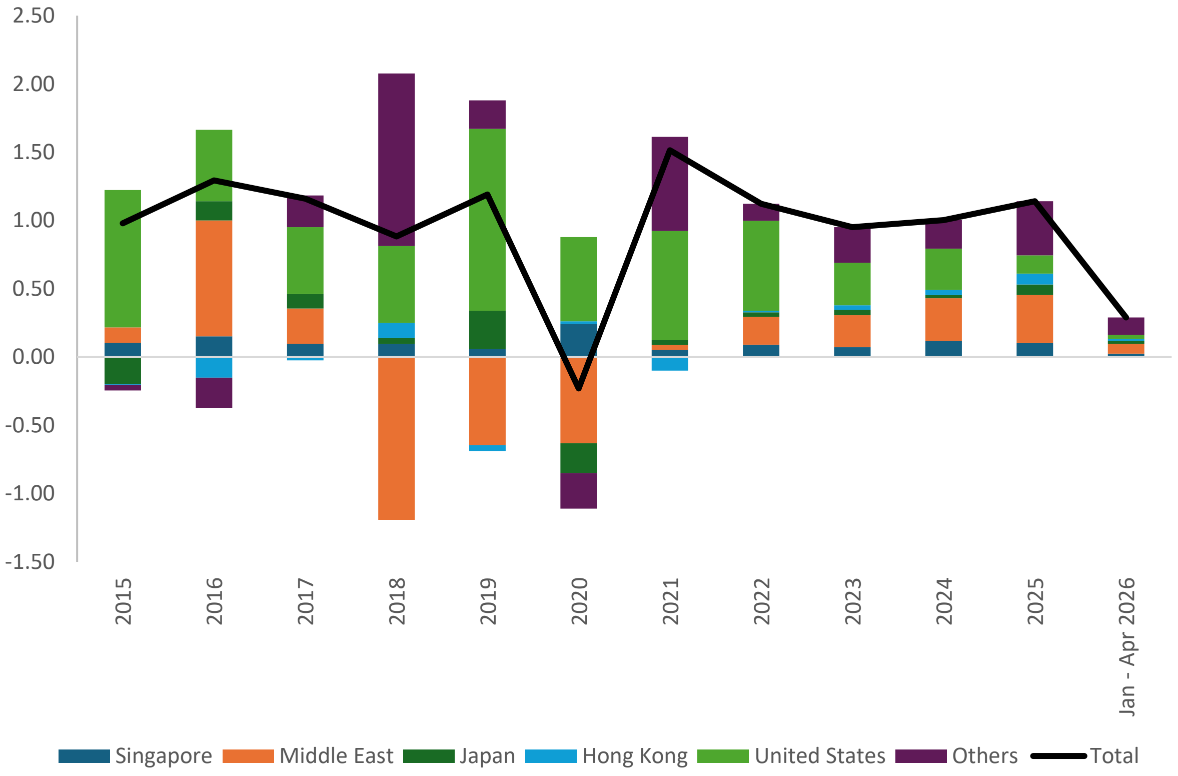
USDPHP Volatility Has Started Coming Off



Source: Bloomberg, Maybank FX Research & Strategy

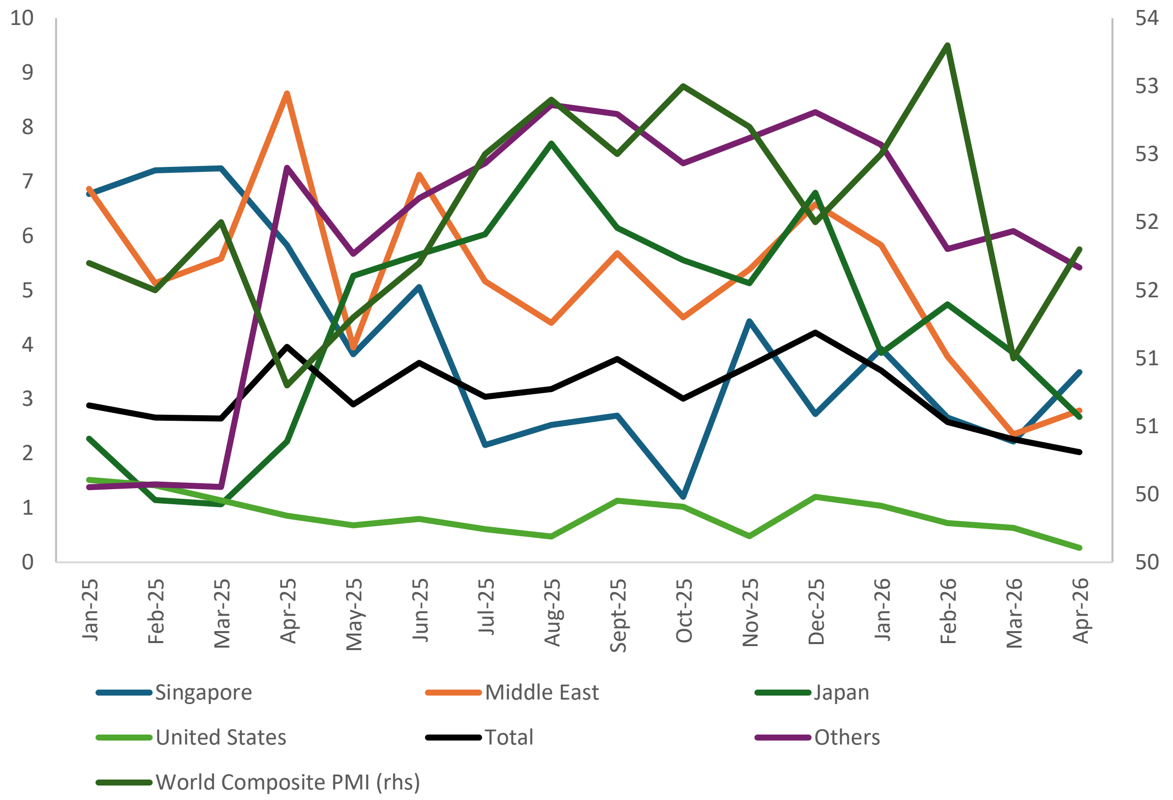
PHP: Pick – Up in Repatriation to Provide Additional Support

ME Makes Up an Increasingly Larger Portion of Repatriation



Source: Macrobond, Maybank FX Research & Strategy
Note: Amount is Change YoY in USDbn

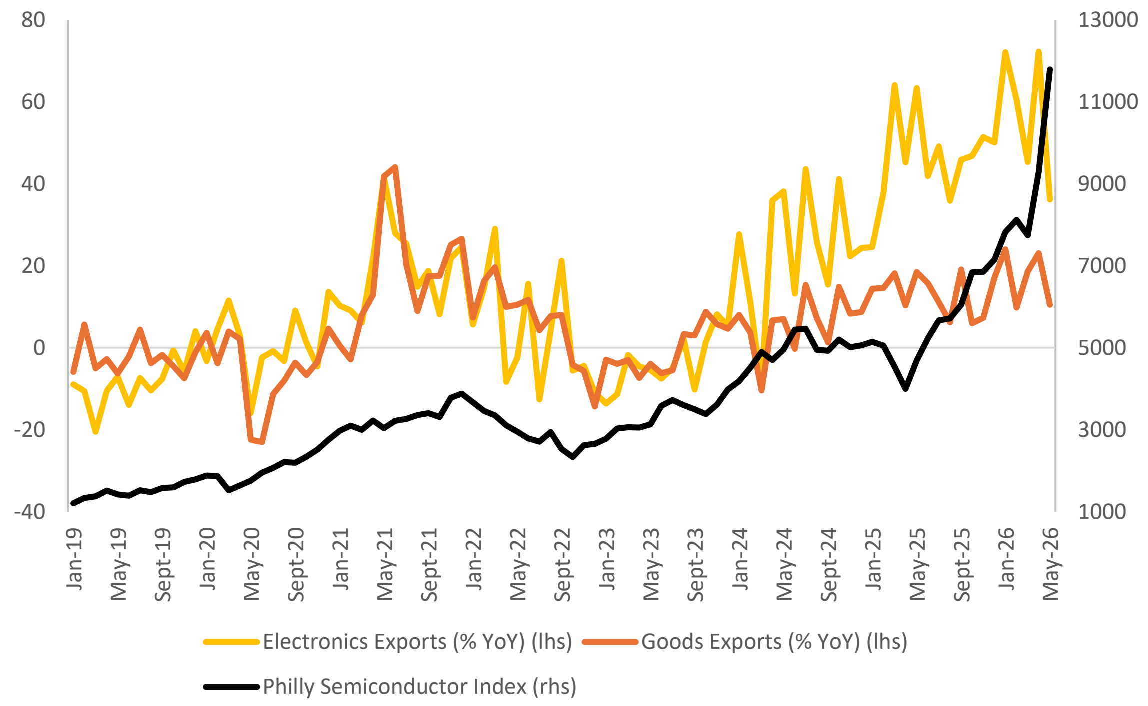
ME Growth Rates Have Fallen Off But it Should Pick Up



Source: Macrobond, Maybank FX Research & Strategy
Note: Countries are % YoY change and refers to lhs axis

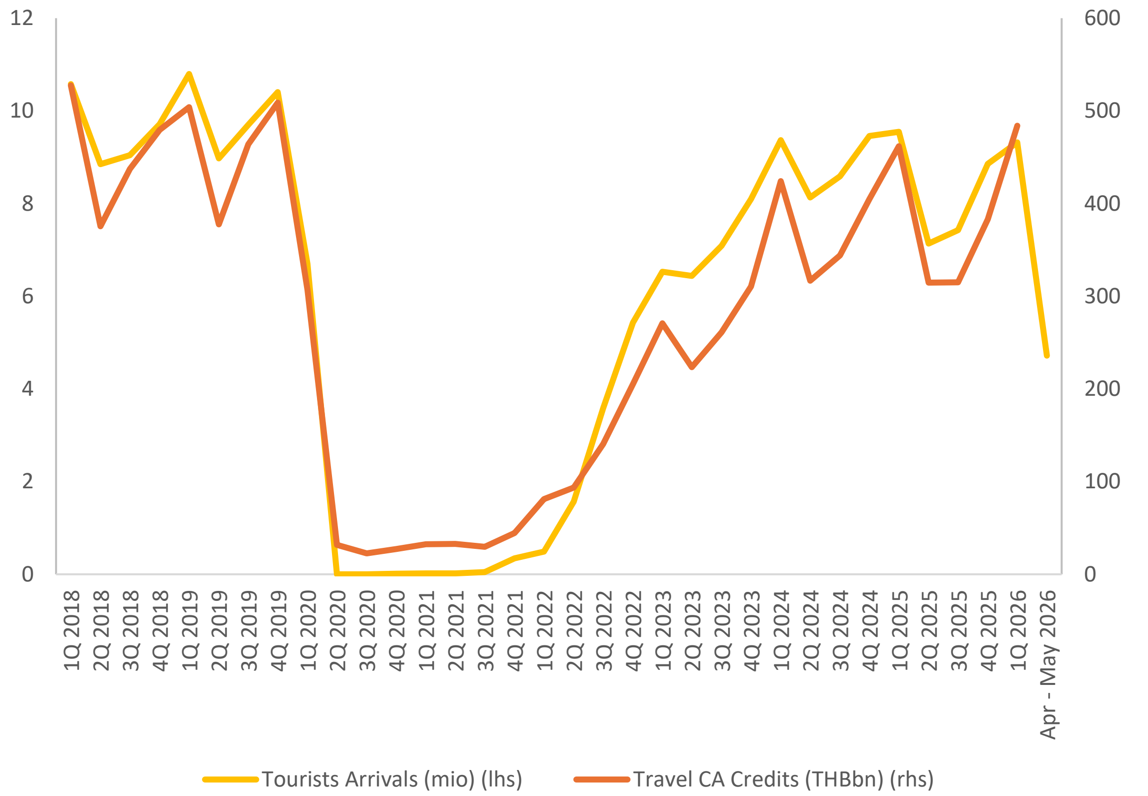
THB: AI Boom and Improving Tourism Numbers Provide Some Stabilizing Factors

AI Boom Provides the Uplift to Goods Exports



Source: Macrobond, Maybank FX Research & Strategy

Tourism Flows Should Recover as European Travel Improves

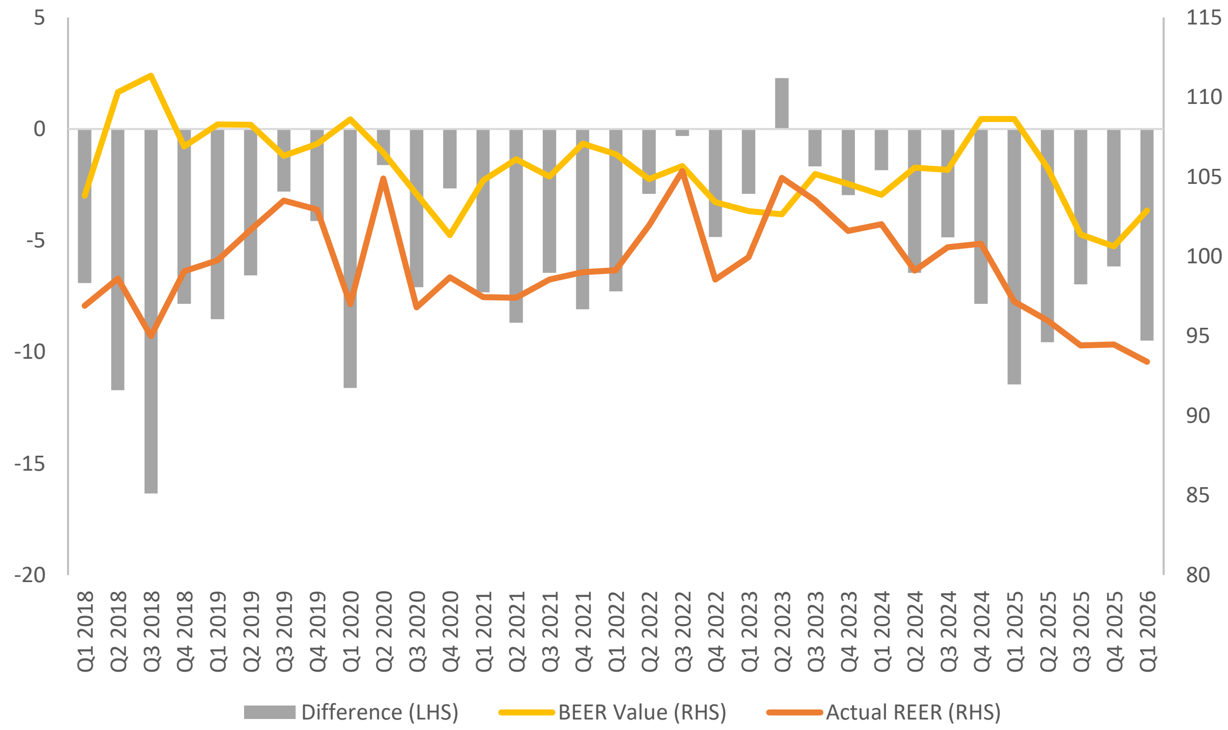


Source: Bloomberg, Maybank FX Research & Strategy

Restricted

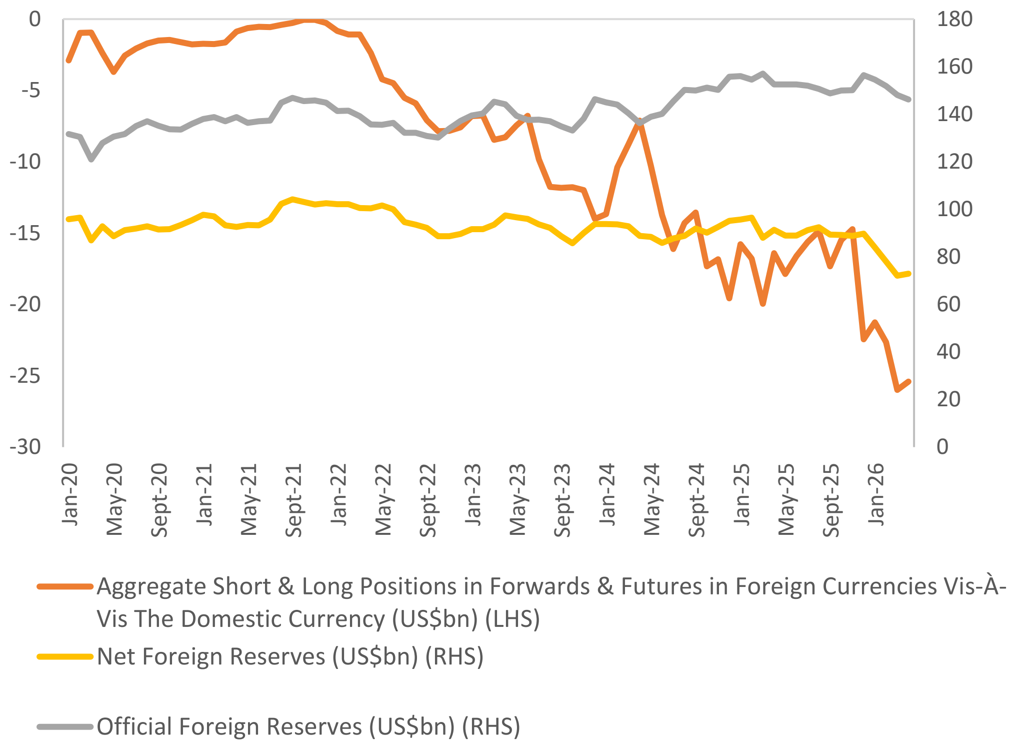
IDR: Currency Undervalued Whilst Central Bank Supports Currency

Our Beer Model Shows Significant Undervaluation



Source: Macrobond, Bloomberg, Maybank FX Research & Strategy

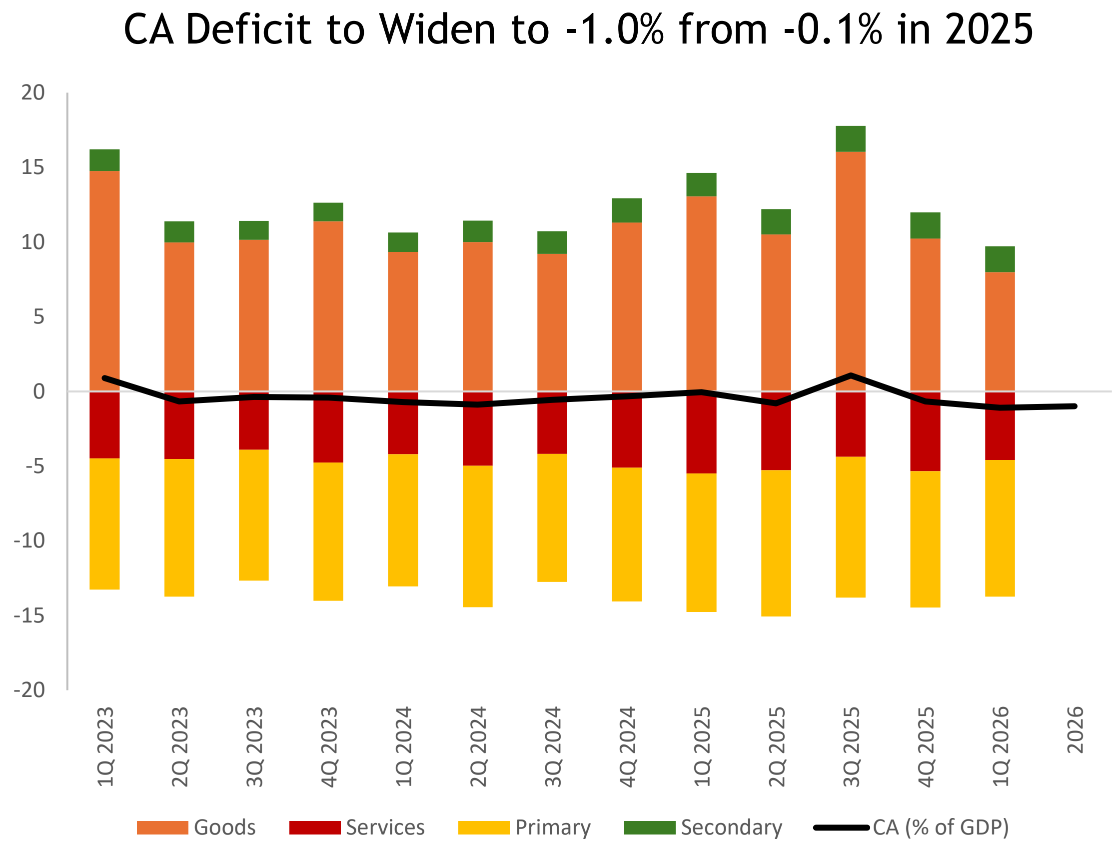
Central Bank Reserves have Fallen



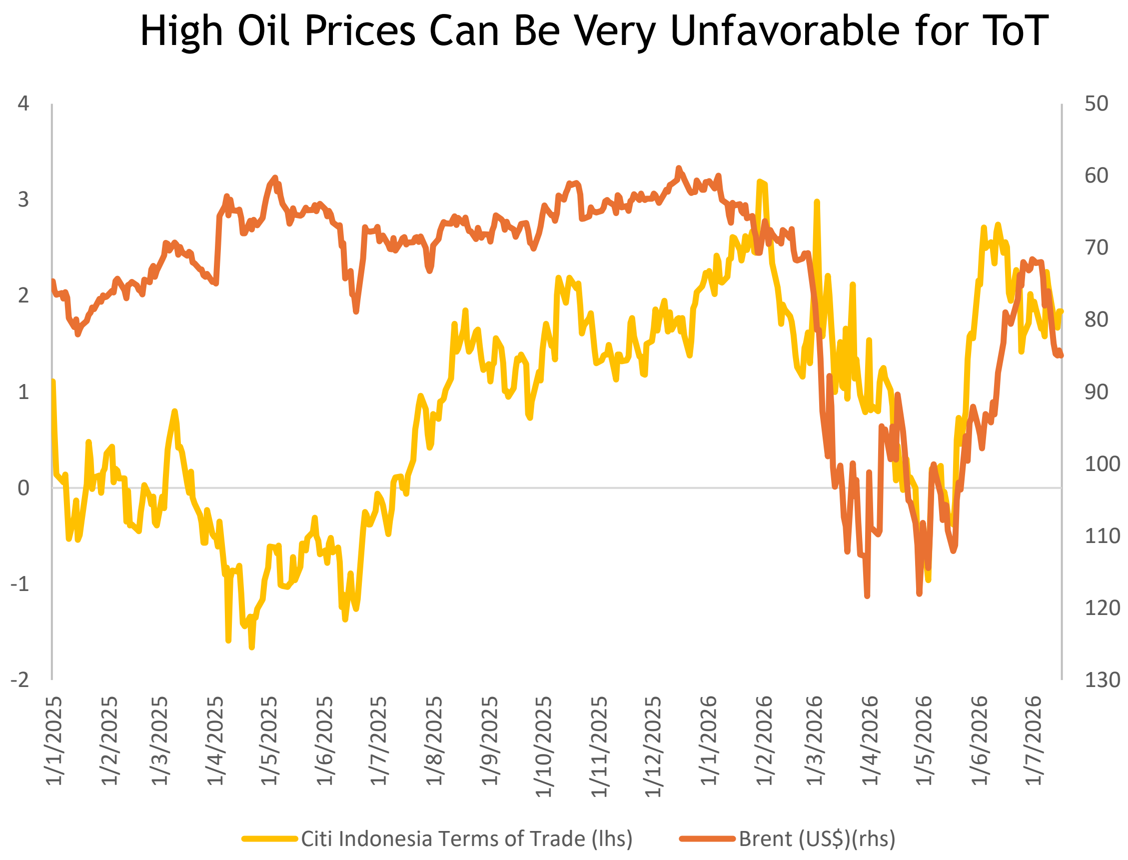
Source: Bloomberg, Maybank FX Research & Strategy

Restricted

IDR: Current Account Deficit to Widen



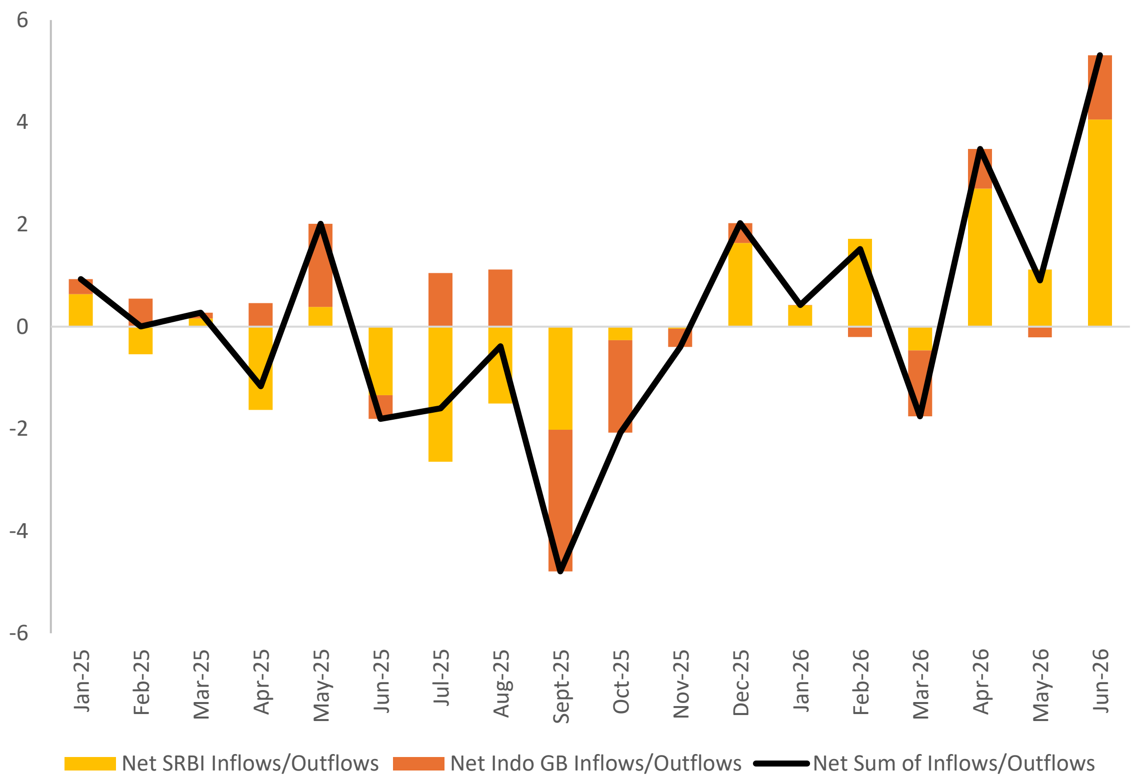
Source: Bloomberg, Maybank FX Research & Strategy



Source: Bloomberg, Maybank FX Research & Strategy

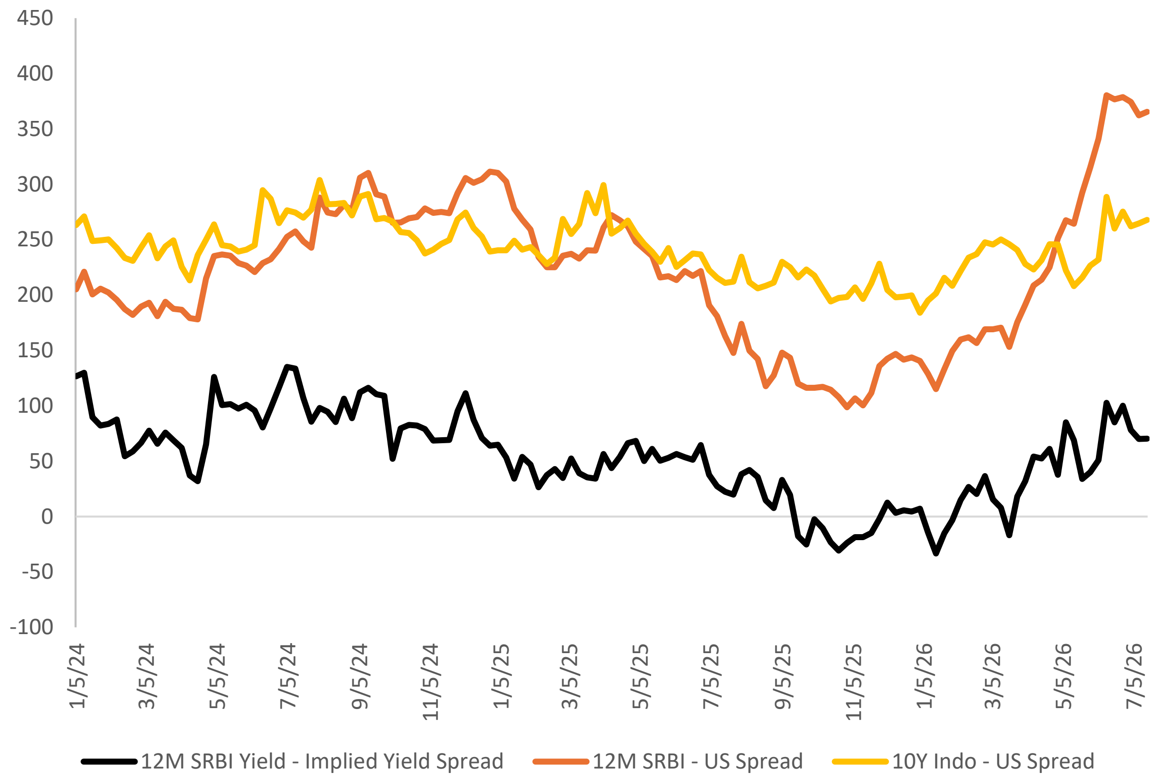
IDR: Short End Rates Continue to Help Attract Flows

Inflows into Bonds Have Improved this Year



Source: Bloomberg, Maybank FX Research & Strategy

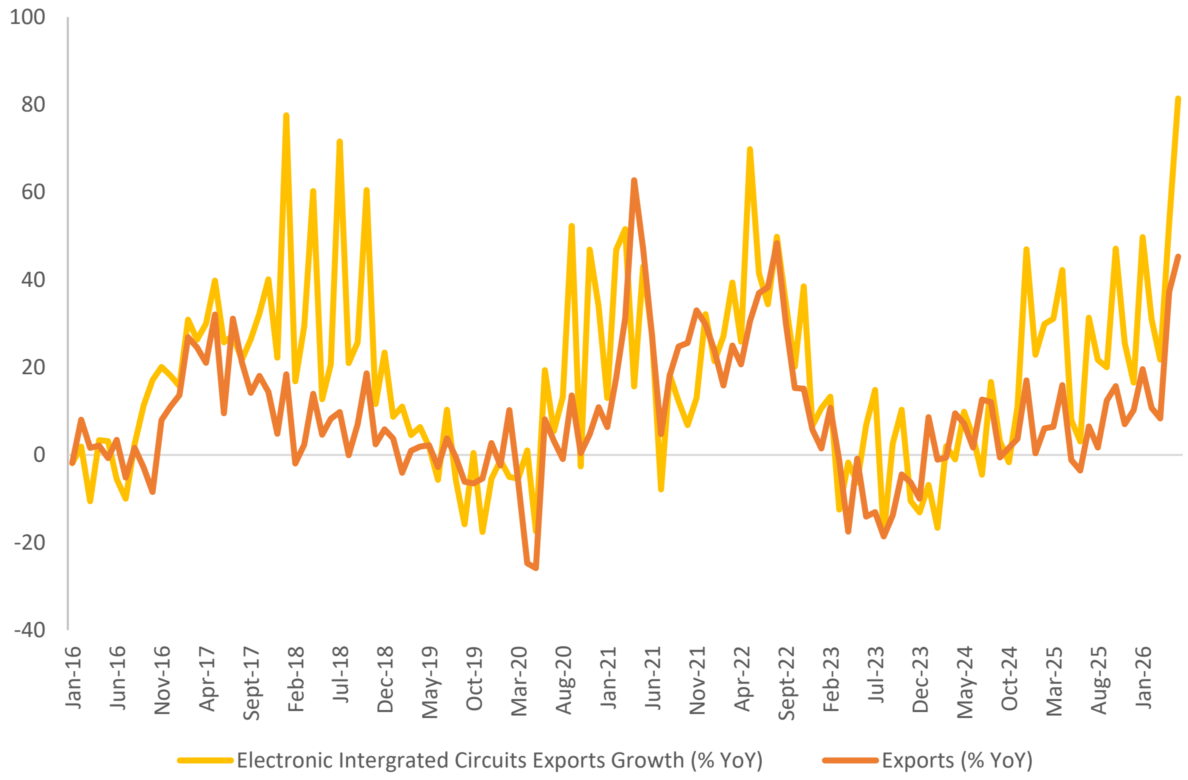
As Nominal Spreads Differentials Widen



Source: Bloomberg, Maybank FX Research & Strategy
Note: Numbers in bps

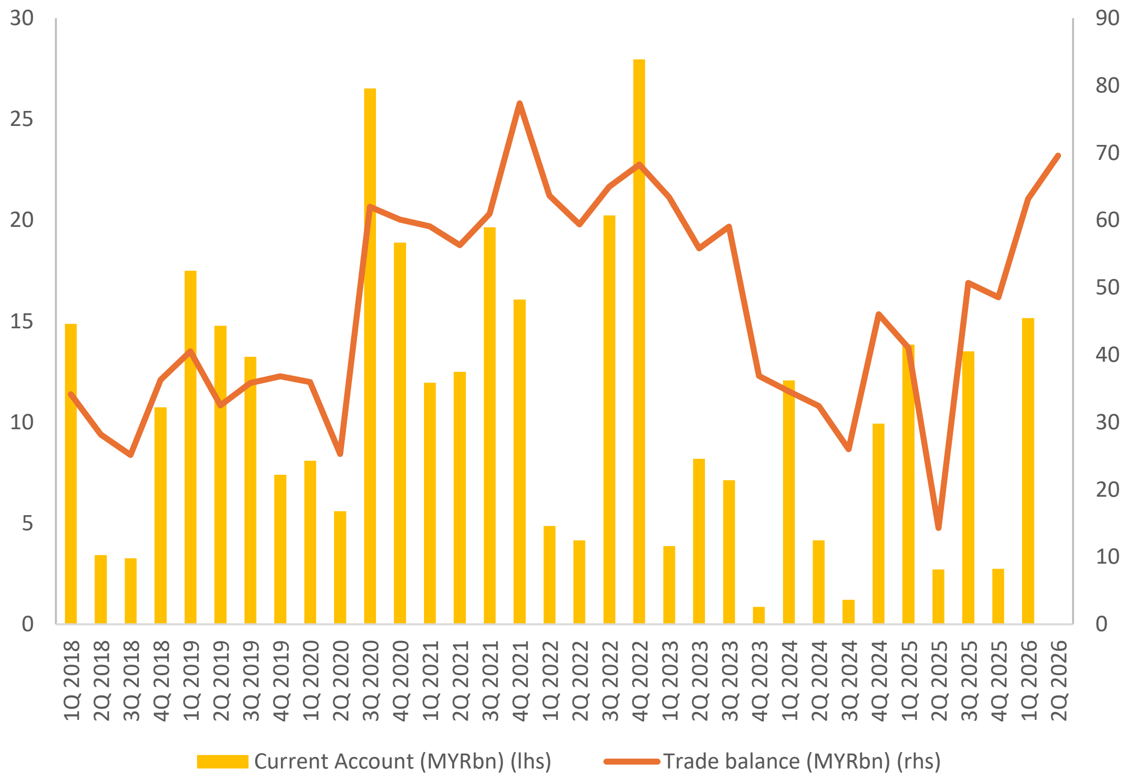
MYR: AI Boom Support Countries External Position

Electronics Exports Continue to Keep Strong into 2026



Source: Bloomberg, Maybank FX Research & Strategy

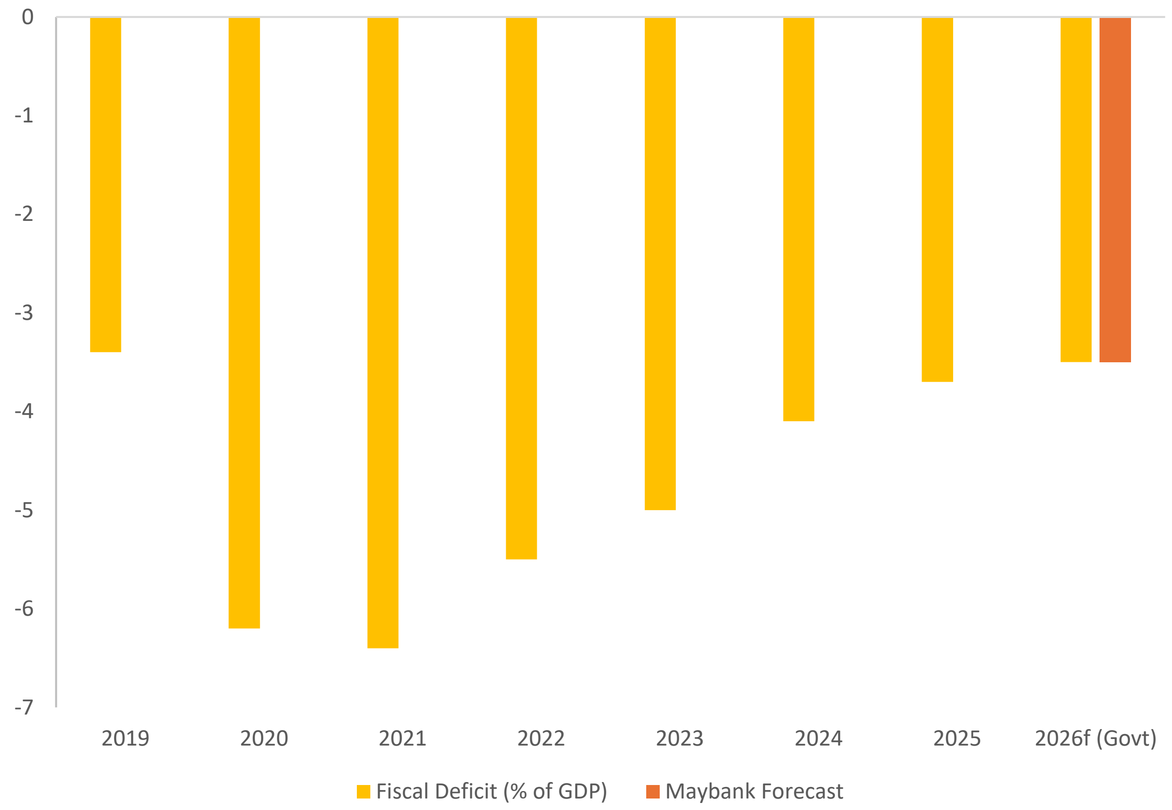
Wider Trade Surplus Supports Wider Current Account



Source: Bloomberg, Maybank FX Research & Strategy

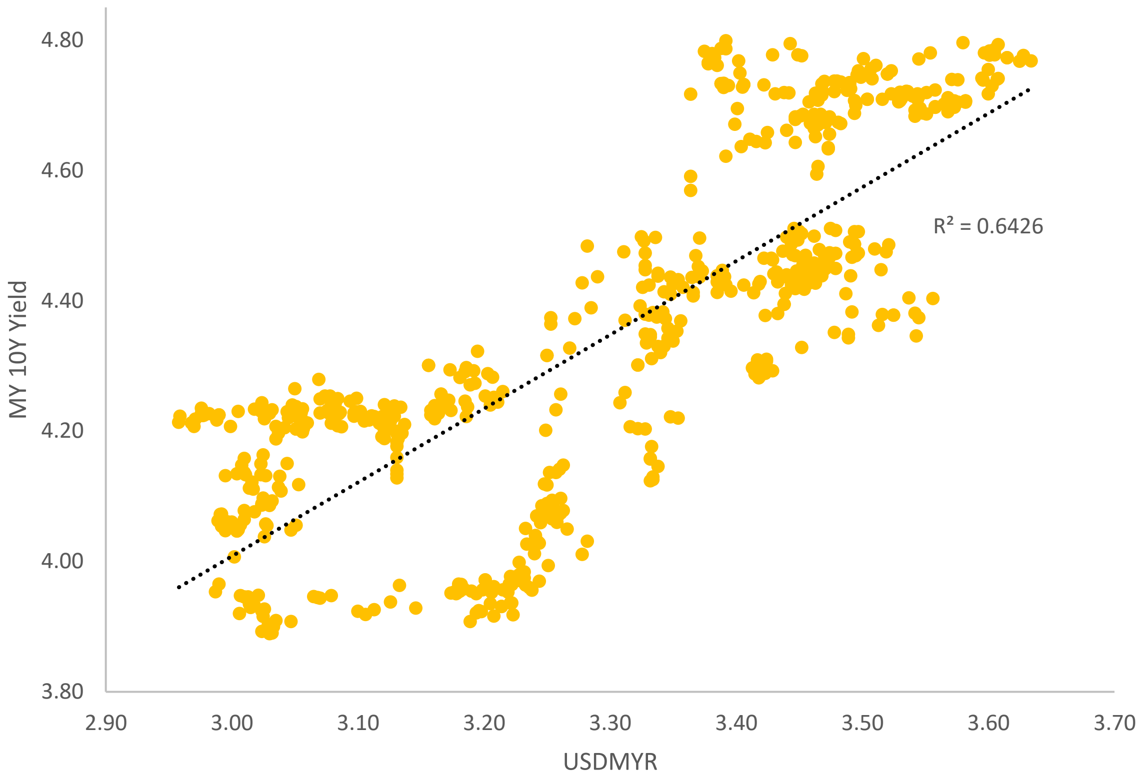
MYR: Fiscal Discipline and MYR Confidence Keeps Support for Bonds

Fiscal Deficit on a Narrowing Trajectory



Source: Bloomberg, Maybank FX Research & Strategy

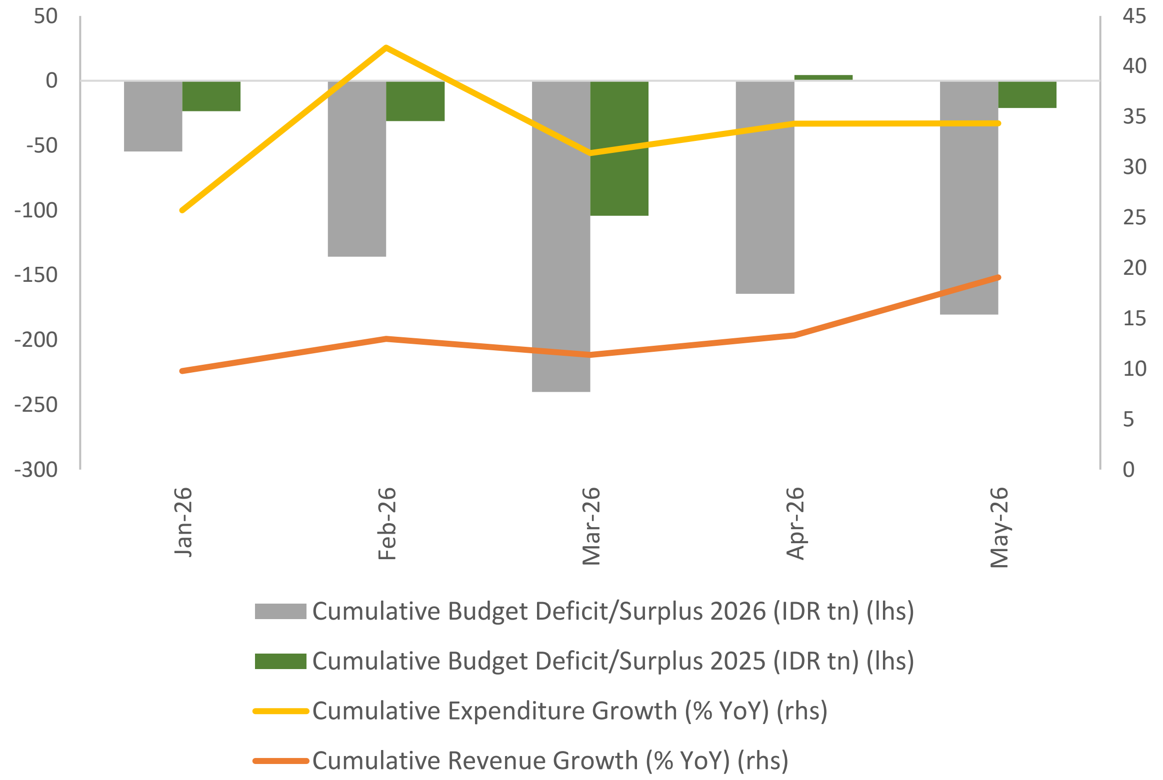
Self Fulfilling Cyle Between MYR and Bond Performance



Source: Bloomberg, Maybank FX Research & Strategy

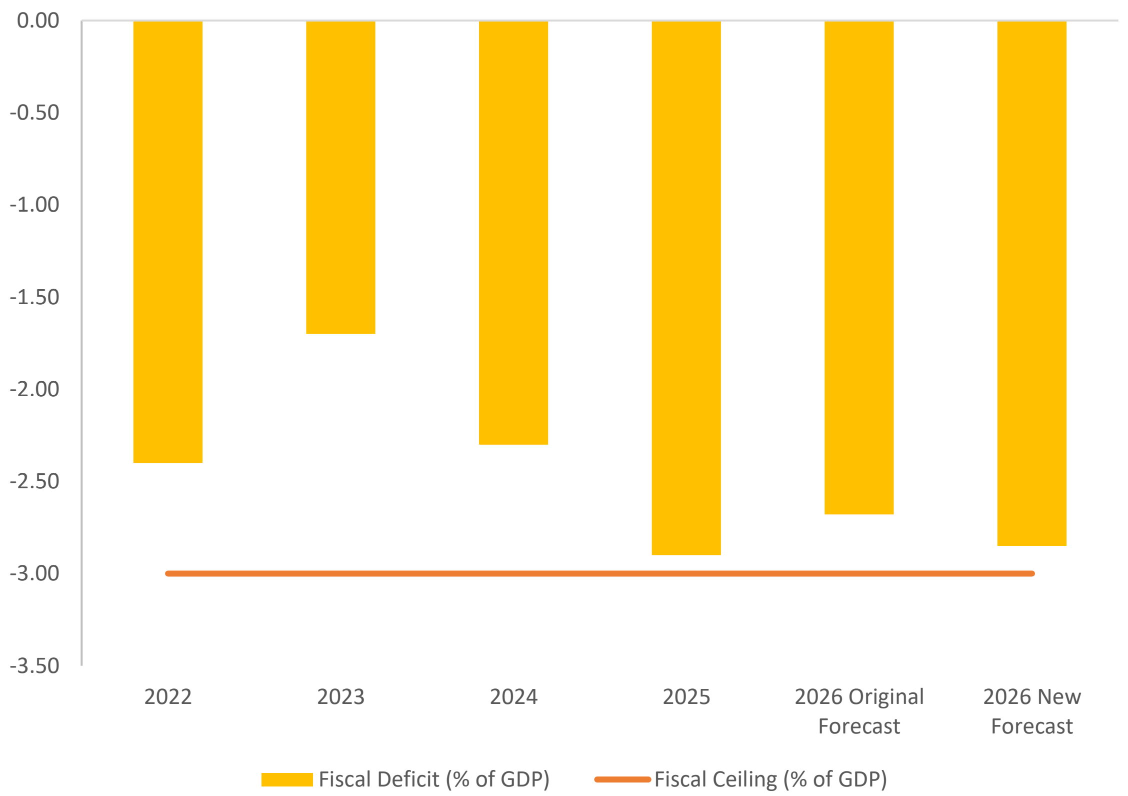
IDR: Fiscal Risks are Closely Watched

Deficit is Standing Wider Compared to Last Year



Source: Macrobond, Maybank FX Research & Strategy

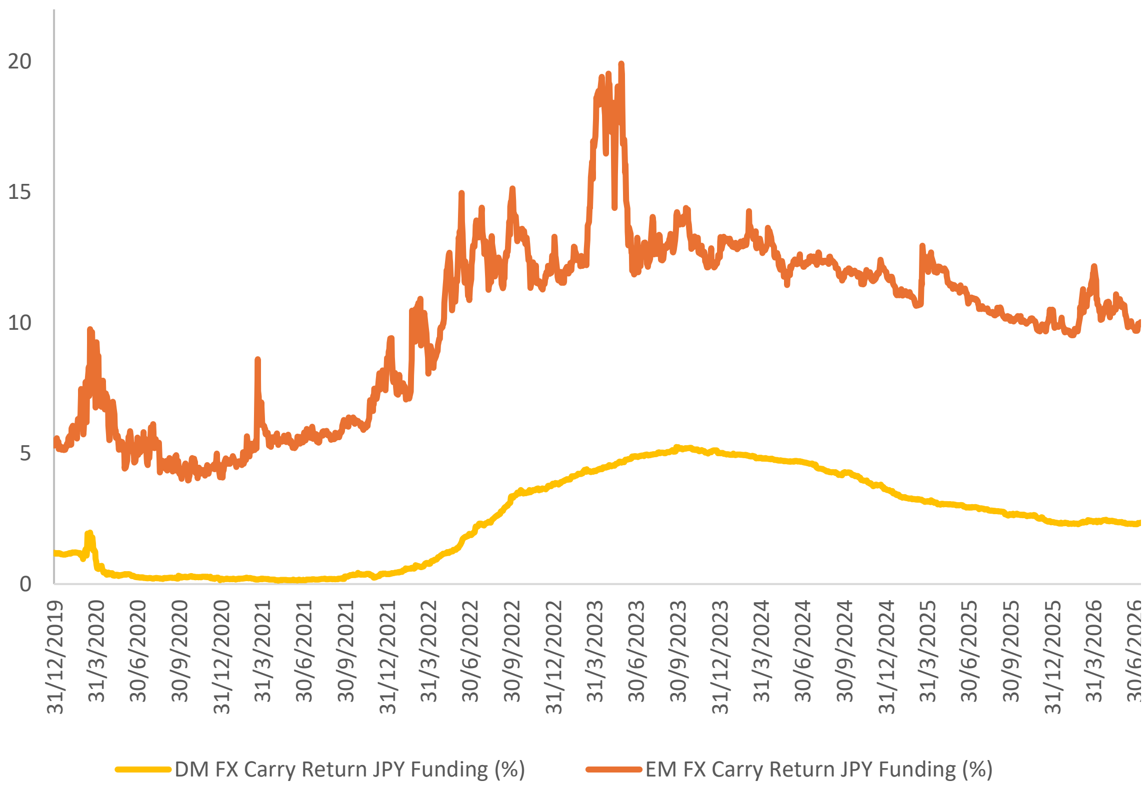
Government Forecast Fiscal Deficit Close to 3.00% Mark



Source: Macrobond, Maybank FX Research & Strategy

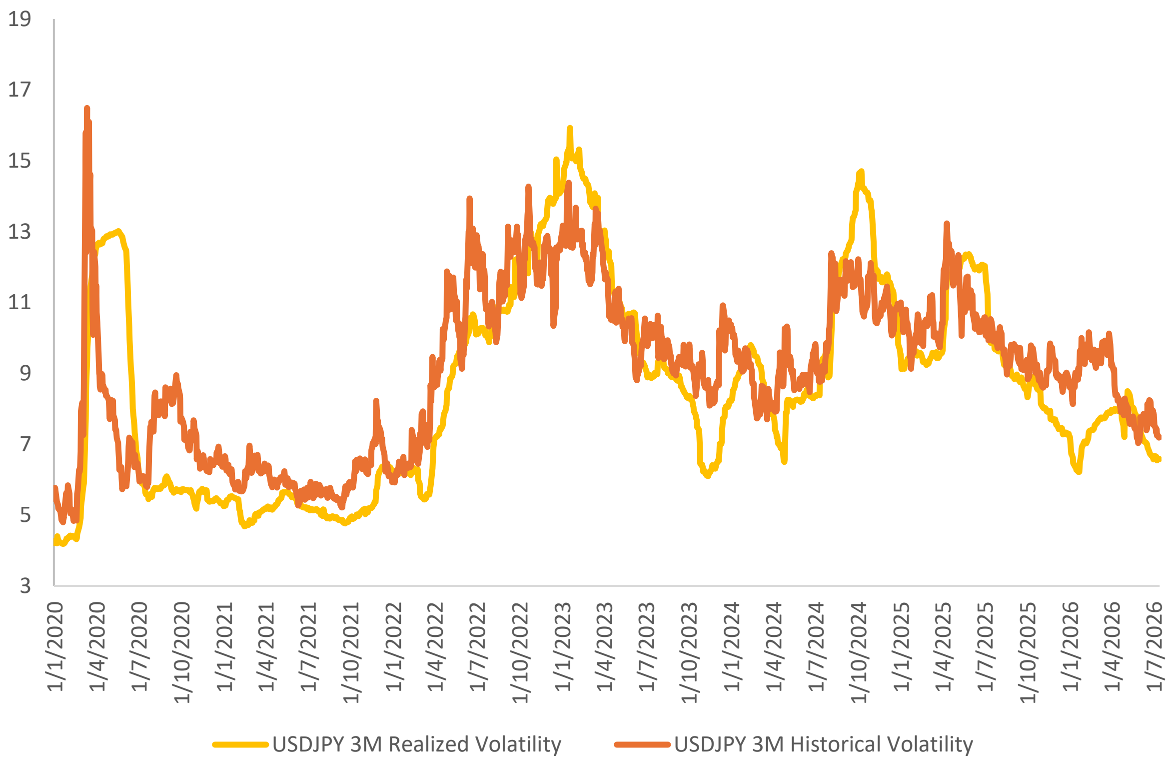
Conditions Favor JPY Funding for the Carry Trade

JPY Funded Carry Return Have Halted Decline



Source: Bloomberg, Maybank FX Research & Strategy

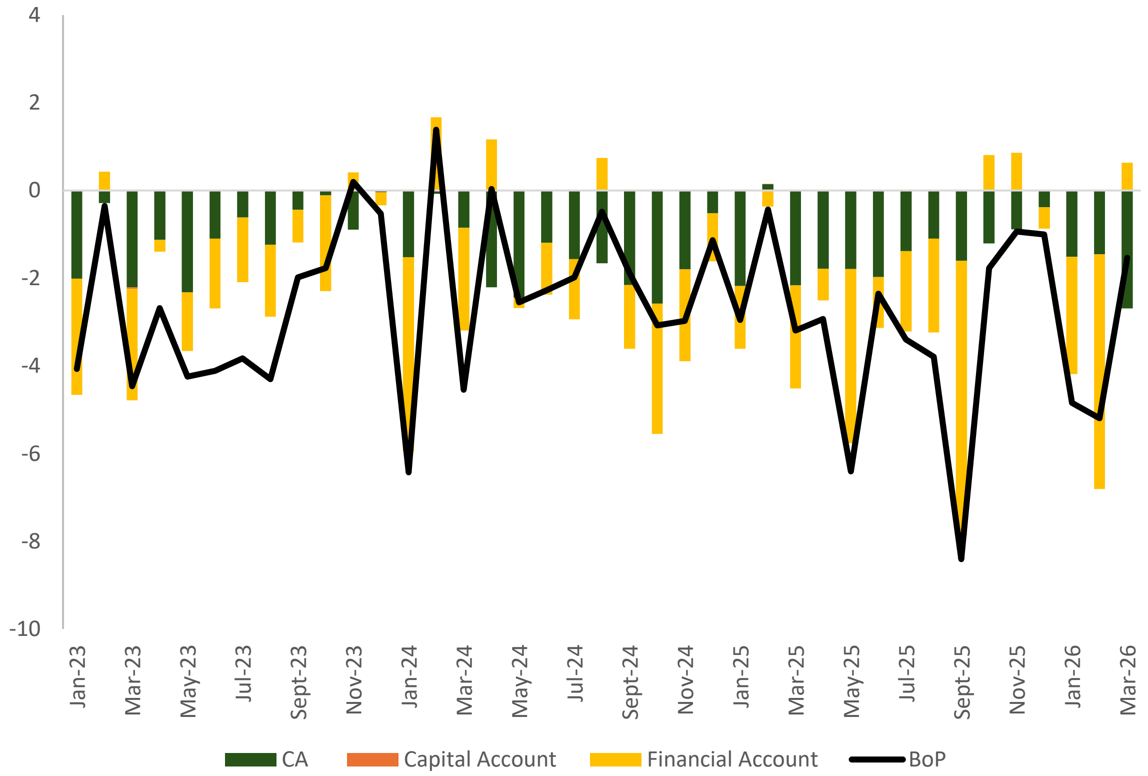
Whilst JPY Volatility has Substantially Fallen



Source: Bloomberg, Maybank FX Research & Strategy

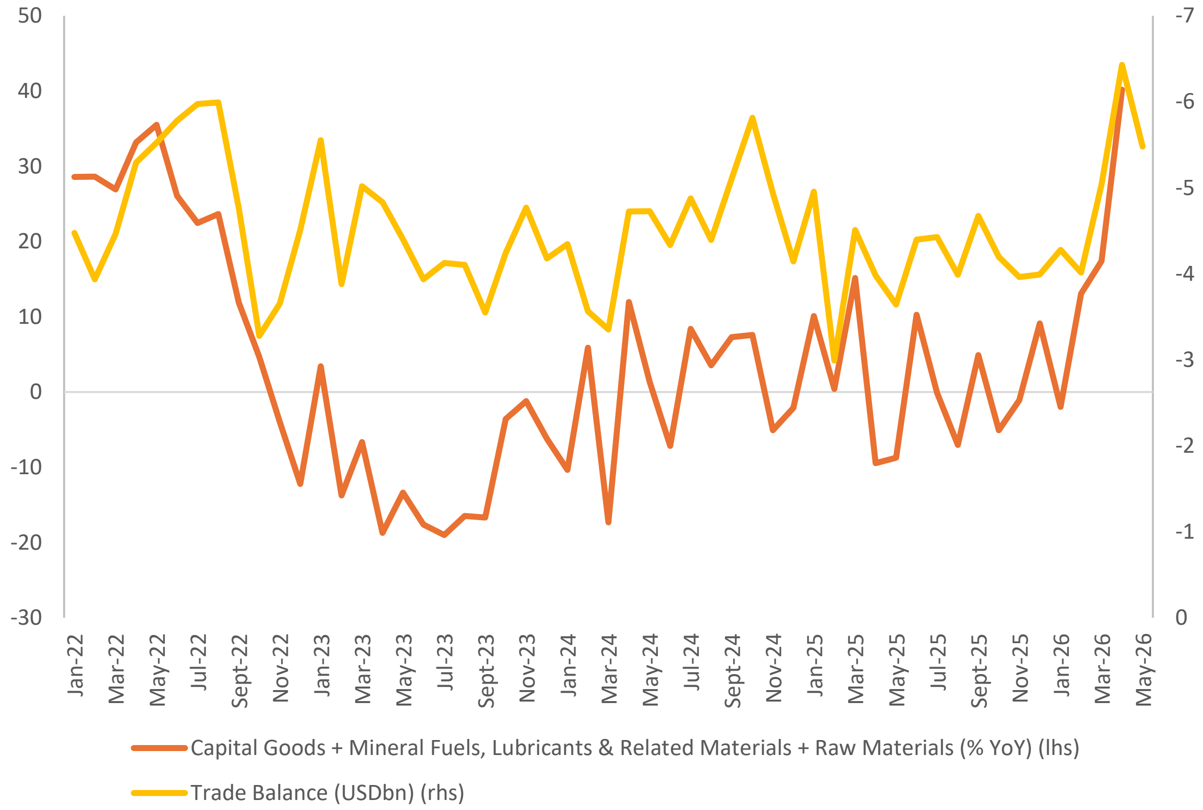
PHP: However, External Position to Remain Highly Unfavorable

Weak BoP Positions to be a Bane for the PHP



Source: Bloomberg, Maybank FX Research & Strategy

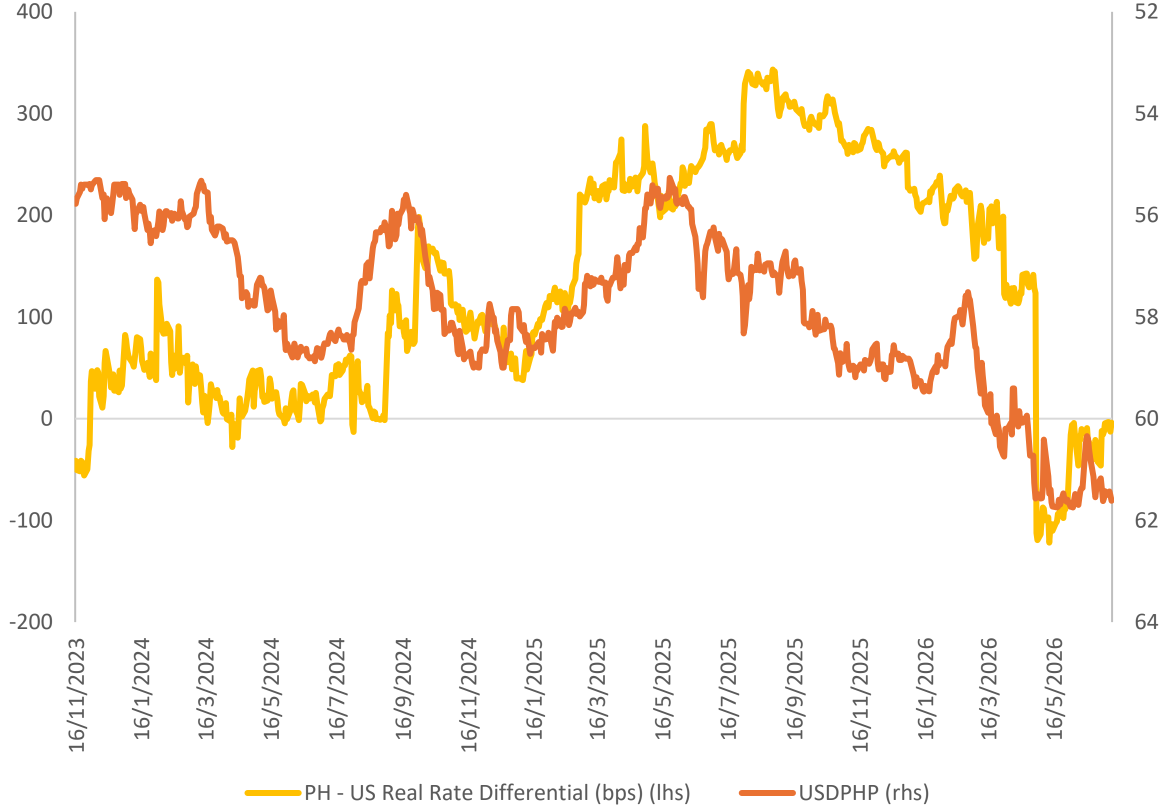
Capital Goods Imports Pick Up Risks Weakening Trade Position Even as Oil Prices Fall



Source: Bloomberg, Maybank FX Research & Strategy

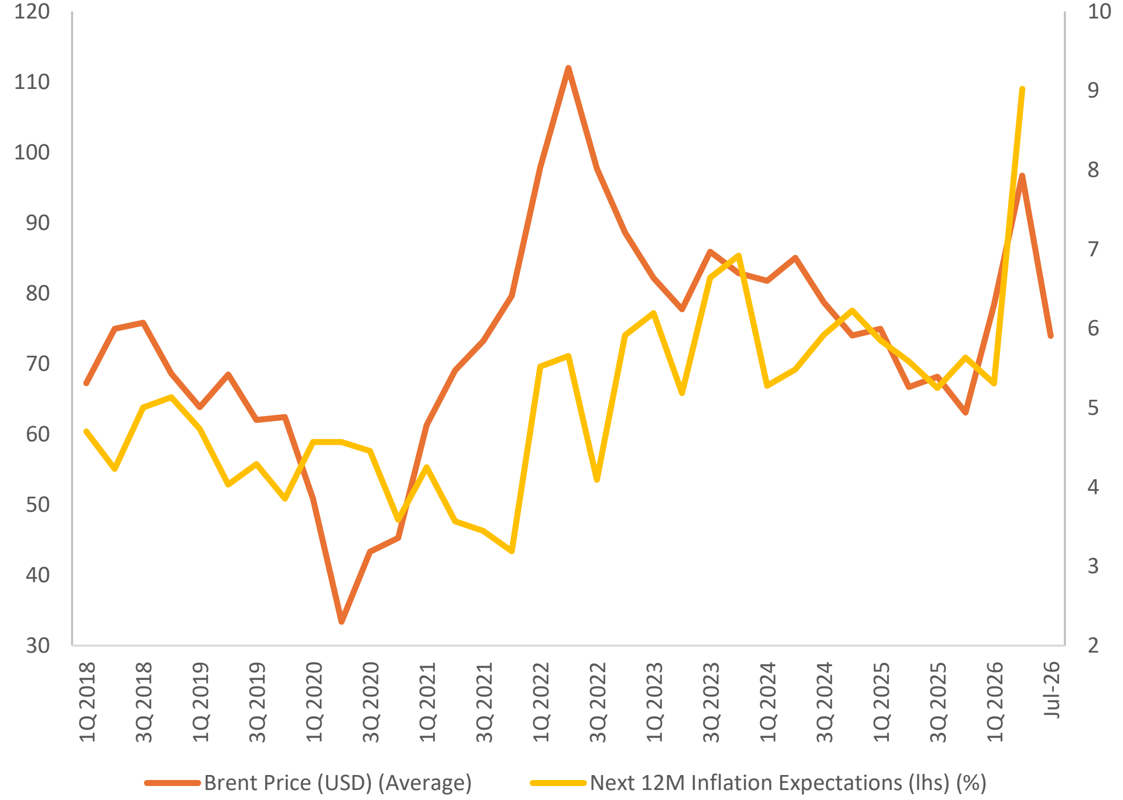
PHP: Reducing Inflation Key to Driving Up Real Rates

USDPHP Movements Traces Real Rates



Source: Bloomberg, Maybank FX Research & Strategy

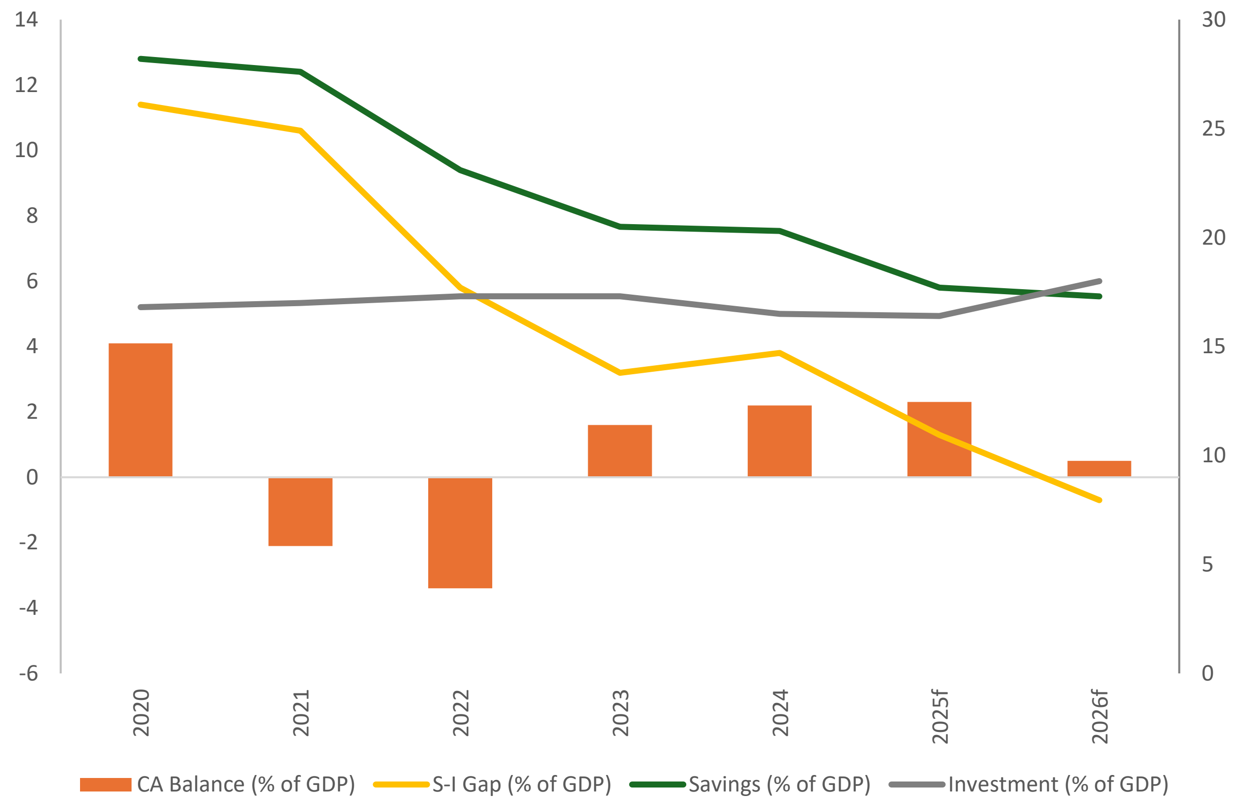
Inflation Expectations Stand Elevated for Philippines



Source: Macrobond, Bloomberg, Maybank FX Research & Strategy

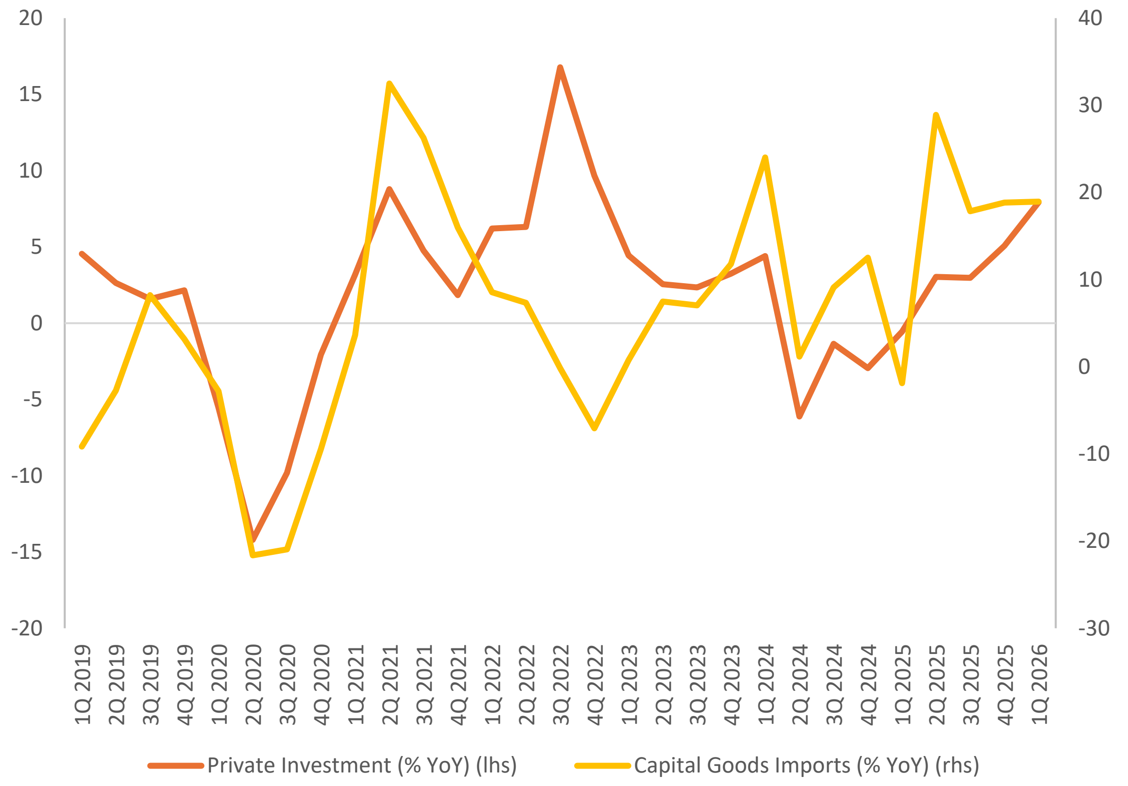
THB: Structural Shift of Rising Investments Weigh In

S-I Gap and CA Surplus Narrows as Investment Picks Up



Source: IMF, Macrobond, Maybank FX Research & Strategy

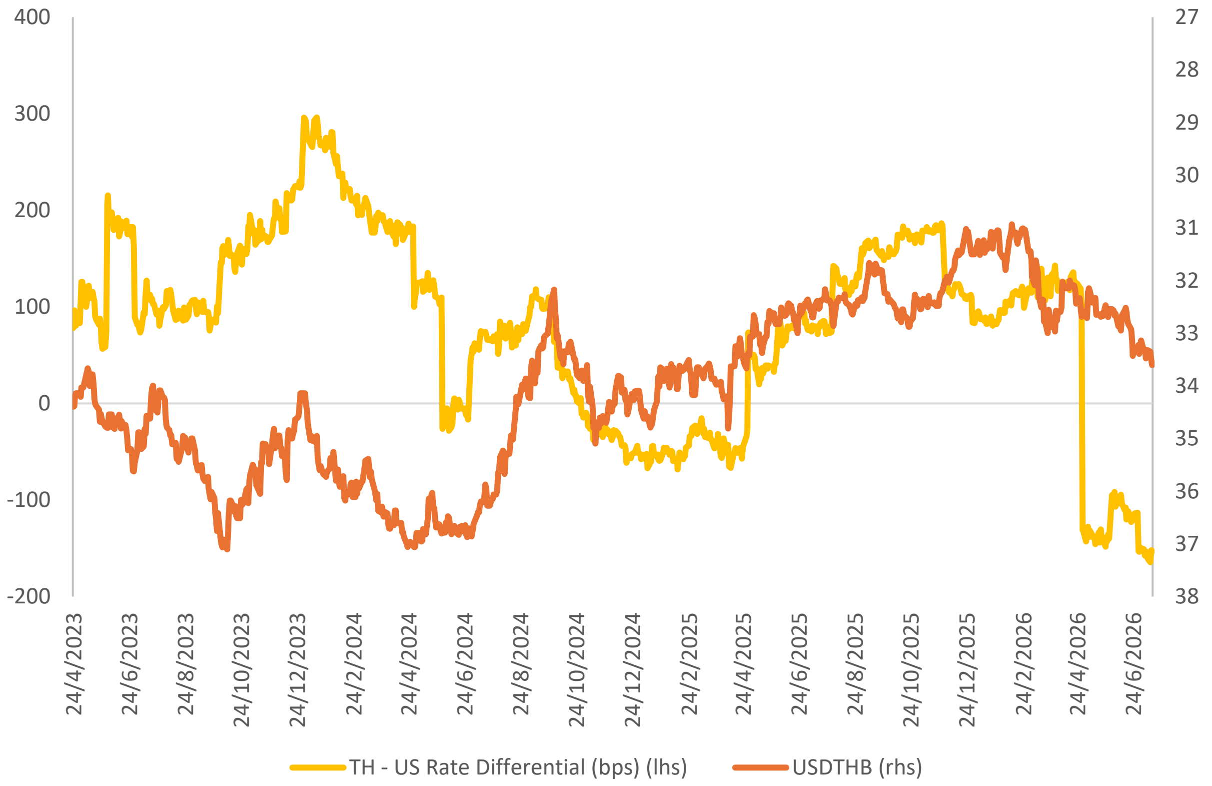
Capital Imports Rise on Increased Investment



Source: Macrobond, Maybank FX Research & Strategy

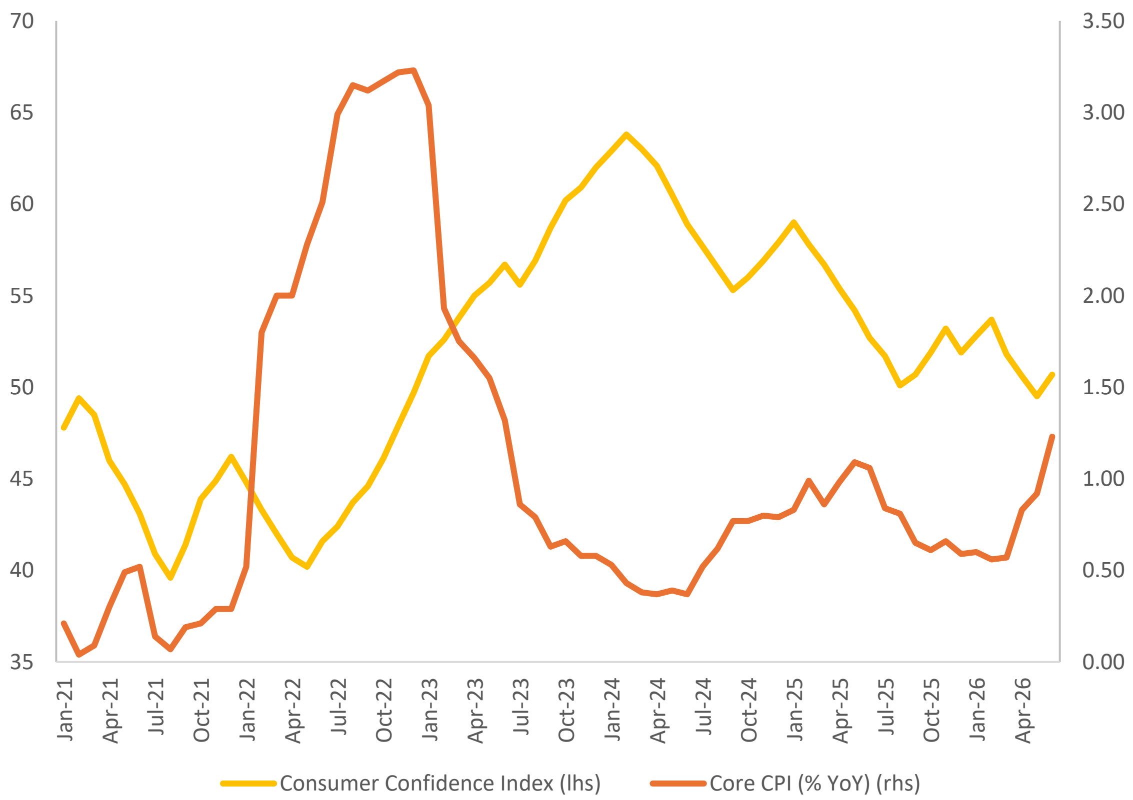
THB: Currency's Low Yielding Nature Heavily Disadvantages it

Thai Real Rates Remain Extremely Unfavorable



Source: Bloomberg, Maybank FX Research & Strategy

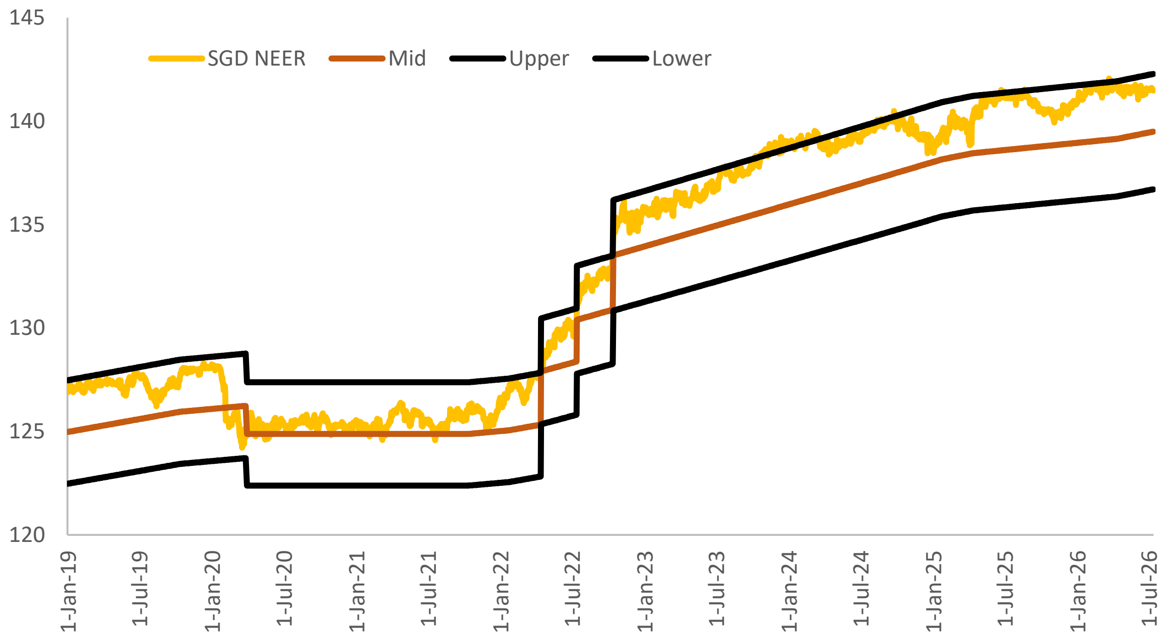
Domestic Softness, Low Inflation Keeps BOT on Hold



Source: Bloomberg, Maybank FX Research & Strategy

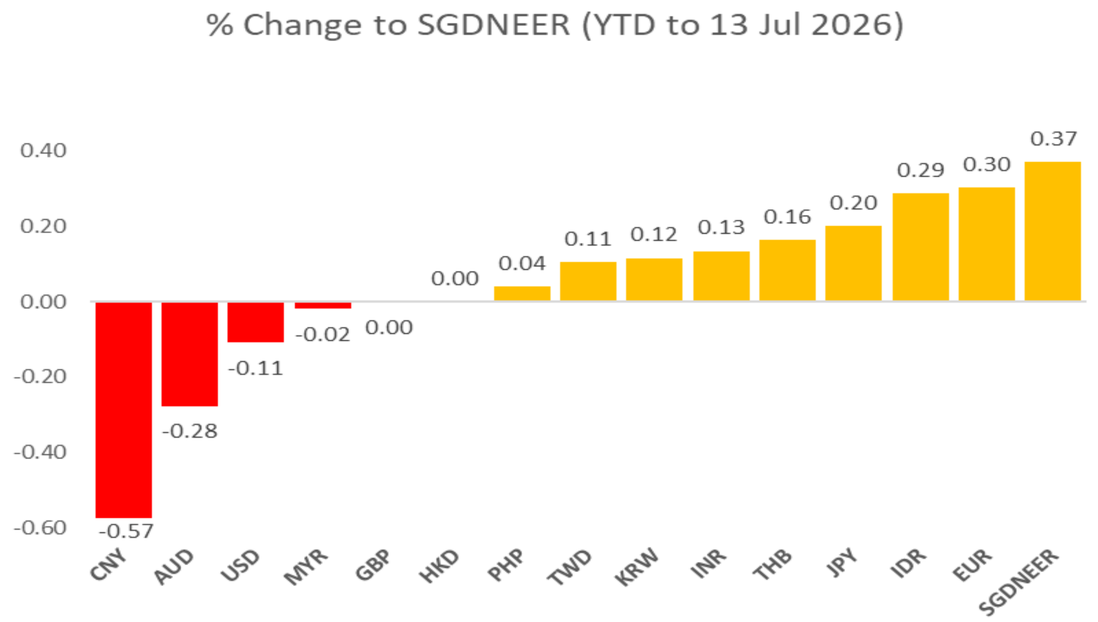
SGD: Current Stance Remains Supportive

SGDNEER is Usually in the Upper Half of the Band



Source: Bloomberg, Maybank FX Research & Strategy

SGDNEER Strength Moderated by CNY, AUD and USD (YTD)



Source: Bloomberg, Maybank FX Research & Strategy

MAS SGD NEER Slope Now: +1.00% p.a.;
Next Meeting in Jul: Likely Stand Pat.
[MBB View End 2026: +1.00% p.a.]

Forecast	3Q 2026	4Q 2026	1Q 2027	2Q 2027
USD/SGD	1.3000	1.2850	1.2750	1.2700
SGD/MYR	3.12	3.13	3.14	3.15

Our economists now see no further move by MAS in 2026 as inflation has not stepped up as much as initially anticipated. Nevertheless, we remain positive on the SGD, with the current 1.00% p.a. appreciation in the SGDNEER still a support for the SGD. YTD, SGD is only weaker against CNY, AUD, USD and MYR.